

- (c) At least 25% of agricultural land is under organic farming management, and the uptake of agro-ecological practices is significantly increased.
- (d) Three billion additional trees are planted in the EU, in full respect of ecological principles.
- (e) Significant progress in the **remediation** of contaminated **soil sites**.
- (f) At least 25 000 km of free-flowing rivers are restored.
- (g) The losses of nutrients from fertilisers are reduced by 50%, resulting in the reduction of the use of fertilisers by at least 20%.
- (h) The negative impacts on sensitive species and habitats, including on the seabed through fishing and extraction activities, are substantially reduced to achieve good environmental status.

AR 3. If disclosing a transition plan, the undertaking may also refer to the Sustainable Development Goals, in particular:

- (a) SDG 2 - End hunger, achieve food security and improved nutrition and promote sustainable agriculture;
- (b) SDG 6 - Ensure availability and sustainable management of water and sanitation for all;
- (c) SDG 14 - Conserve and sustainably use the oceans, seas and **marine resources** for sustainable development; and
- (d) SDG 15 - Protect, restore and promote sustainable use of terrestrial **ecosystems**, sustainably manage forests, combat **desertification**, and halt and reverse **land degradation** and halt **biodiversity loss**.

Impact, risk and opportunity management

Disclosure requirements related to ESRS 2 IRO-1 – Description of the processes to identify and assess material biodiversity and ecosystem-related impacts, risks and opportunities

AR 4. The **materiality** assessment under ESRS E4 includes the undertaking's:

- (a) contribution to direct **impact drivers** on **biodiversity loss** ⁽⁸¹⁾:
 - i. climate change;
 - ii. **land-use change** (e.g., land artificialisation), **freshwater**-use change and sea-use change;
 - iii. direct exploitation;
 - iv. **invasive alien species**;
 - v. **pollution**; and
 - vi. others.
- (b) **impacts** on the state of species (i.e., species population size, species global extinction risk);
- (c) impacts on the extent and condition of **ecosystems** including through **land degradation**, **desertification** and **soil sealing**; and
- (d) impacts and **dependencies** on **ecosystem services**.

AR 5. When assessing the **materiality** of **impacts**, **dependencies**, **risks** and **opportunities** the undertaking shall consider the provisions in ESRS 2 IRO-1 and ESRS 1 Chapter 3 *Double materiality as the basis for sustainability disclosures* and describe its considerations.

⁽⁸¹⁾ The direct driver climate change is to be reported under ESRS E1 Climate Change and pollution under ESRS E2 Pollution.

- AR 6. The undertaking shall assess the materiality of biodiversity and ecosystems in its own operations and its upstream and downstream **value chain**, and may conduct its **materiality** assessment in line with the first three phases of the LEAP approach: Locate (paragraph AR 7), Evaluate (paragraph AR 8) and Assess (paragraph AR 9).
- AR 7. Phase 1 relates to the localisation of relevant **sites** regarding its interface with **biodiversity** and **ecosystems**. To identify these relevant sites the undertaking may:
- (a) develop a list of locations of direct assets and operations and related upstream and downstream **value chain** that are relevant to the undertakings business activities. Furthermore, the undertaking may provide information about sites for which future operations have been formally announced;
 - (b) list the biomes and ecosystems it is interfacing with based on the list of locations identified under paragraph AR 7(a);
 - (c) identify the current integrity and importance of biodiversity and ecosystem at each location taking into consideration the information provided in paragraphs 16 and 17;
 - (d) develop a list of locations where the undertaking is interfacing with locations in or near **biodiversity-sensitive areas** taking into consideration the information provided in paragraphs 16 and 17; and
 - (e) identify which sectors, business units, value chains or asset classes are interfacing with biodiversity and ecosystems in these material sites. Instead of identifying these interfaces per site, the undertaking may choose to identify them per **raw material** procured or sold by weight in tons, if such practice offers greater transparency.
- AR 8. In Phase 2, to evaluate its actual or potential impacts and **dependencies** on **biodiversity** and **ecosystems** for relevant **sites**, the undertaking may:
- (a) identify business processes and activities that interface with biodiversity and ecosystems;
 - (b) identify actual and potential impacts and dependencies;
 - (c) indicate the size, scale, frequency of occurrence and timeframe of the impacts on biodiversity and ecosystems taking into consideration the disclosures under paragraphs 16 and 17. Furthermore, the undertaking may disclose:
 - i. the percentage of its **suppliers'** facilities which are located in risk prone areas (with **threatened species** on the IUCN Red List of Species, the Birds and Habitats Directive or nationally list of threatened species, or in officially recognised Protected Areas, the Natura 2000 network of protected areas and Key Biodiversity Areas);
 - ii. the percentage of its procurement spend from suppliers with facilities which are located in risk prone areas (with threatened species on the IUCN Red List of Species, the Birds and Habitats Directive or nationally list of threatened species, or in officially recognised Protected Areas, the Natura 2000 network of protected areas and Key Biodiversity Areas); and
 - (d) indicate the size and scale of the dependencies on biodiversity and ecosystems, including on raw materials, **natural resources** and **ecosystem services**. The undertaking may rely on the international classifications such as the Common International Classification of Ecosystem Services (CICES).
- AR 9. In Phase 3, to assesses its material **risks** and **opportunities** based on the results of Phases 1 and 2, the undertaking may consider the following categories:
- (a) **physical risks**:
 - i. acute risks (e.g., natural disasters exacerbated by loss of coastal protection from **ecosystems**, leading to costs of storm damage to coastal infrastructure, disease or pests affecting the species or variety of crop the undertaking relies on, especially in the case of no or low genetic diversity, species loss and ecosystem **degradation**); and

- ii. chronic risks (e.g., loss of crop yield due to decline in pollination services, increasing scarcity or variable production of key natural inputs, ecosystem degradation due to operations leading to, for example, coastal erosion and forest fragmentation, ocean acidification, land loss to **desertification** and **soil degradation** and consequent loss of soil fertility, species loss).
- (b) **transition risks**, including:
- i. **policy** and legal: e.g. introduction of regulation or policy (e.g. changes such as increased land protection); exposure to sanctions and litigation (e.g. spills of polluting effluents that damage human and ecosystem health; or violation of biodiversity-related rights, permits or allocations; or negligence towards or killing of **threatened species**); enhanced reporting obligations on biodiversity, ecosystems and related services;
 - ii. technology: e.g. substitution of products or services by products or services with a lower impact on **biodiversity** or dependence on **ecosystem services**, lack of access to data or access to poor quality data that hamper biodiversity-related assessments, transition to more efficient and cleaner technologies (i.e. with lower impacts on biodiversity), new monitoring technologies (e.g. satellite), requirements to use certain technologies (e.g. climate resistant crops, mechanical pollinators, water purification, flood protection);
 - iii. market: e.g., shifting supply, demand and financing, volatility or increased costs of raw materials (e.g., biodiversity-intense inputs for which price has risen due to ecosystem **degradation**);
 - iv. reputation: e.g., changing societal, customer or community perceptions as a result of an organisation's role in loss of biodiversity, violation of nature-related rights through operations, negative media coverage due to impacts on critical species and/or ecosystems, biodiversity-related social conflicts over endangered species, protected areas, resources or **pollution**.
- (c) **systemic risks**, including:
- i. ecosystem collapse risks that a critical natural system no longer functions, e.g., tipping points are reached and the collapse of ecosystems resulting in wholesale geographic or sector losses (summing physical risks);
 - ii. aggregated risk linked to fundamental impacts of **biodiversity loss** to levels of transition and physical risk across one or more sectors in a portfolio (corporate or financial); and
 - iii. contagion risks that financial difficulties of certain corporations or financial institutions linked to failure to account for exposure to biodiversity-related risks spill over to the economic system as a whole.
- (d) opportunities, including for example:
- i. business performance categories: resource efficiency; products and services; markets; capital flow and financing; reputational capital; and
 - ii. sustainability performance categories: ecosystem protection, restoration and **regeneration**; sustainability use of natural resources.

Presentation of information:

AR 10. The undertaking may consider the tables below to facilitate its **materiality** assessment of material **sites** identified under paragraph AR 7:

Ecosystem service...	Actual or potential dependencies	
...	Change of functionality	Financial loss
...	Limited, moderate or significant	Limited, moderate or significant
...	...	...

Site location	Threatened species, protected areas, key biodiversity areas	Actual or potential impacts			
		Frequency of occurrence	Speed of impact	Severity of impact	Potential for mitigation
...	...	High, medium or low	<1 year or 1-3 years or >3 years	High, medium or low	High, medium or low
...	...	...	...	...	...

With regard to AR 7(e), the undertaking may consider using the table below:

Where are the raw materials produced or sourced from?	Absolute weight of raw materials (and percentage of the raw material weight)
In areas with species listed on the IUCN Red List of Threatened Species, the Birds and Habitats Directive or on national lists of threatened species	...
In officially recognised protected Areas	...
In other Key Biodiversity Areas	...

Disclosure Requirement E4-2 – Policies related to biodiversity and ecosystems

AR 11. The **policies** described under this Disclosure Requirement may be integrated in broader environmental or sustainability policies covering different subtopics.

AR 12. The undertaking may also provide information on how the **policy** refers to the production, sourcing or consumption of raw materials, and in particular how it:

- (a) limits procurement from **suppliers** that cannot demonstrate that they are not contributing to significant damage to protected areas or key **biodiversity** areas (e.g., through certification);
- (b) refers to recognised standards or third-party certifications overseen by regulators; and
- (c) addresses raw materials originating from **ecosystems** that have been managed to maintain or enhance conditions for biodiversity, as demonstrated by regular monitoring and reporting of biodiversity status and gains or losses.

AR 13. The undertaking may disclose connections and alignment with other global goals and agreements such as the SDGs 2, 6, 14 and 15 or any other well established global convention related to biodiversity and ecosystems.

AR 14. When disclosing **policies** related to social consequences of **biodiversity** and **ecosystems** related **dependencies** and **impacts** under 23 (f), the undertaking may notably refer to the Nagoya Protocol and the Convention for Biological Diversity (CBD).

AR 15. When disclosing information about whether and how its **policies** address the social consequences of biodiversity and ecosystems-related **impacts** under paragraph 23(f), the undertaking may provide information in relation to:

- (a) the fair and equitable sharing of the benefits arising from the utilisation of genetic resources; and
- (b) the **free, prior and informed consent** for access to genetic resources.

AR 16. The undertaking may also explain how its **policy** enables it to:

- (a) avoid negative impacts on **biodiversity** and **ecosystems** in its own operations and related upstream and downstream **value chain**;
- (b) reduce and minimise its negative impacts on biodiversity and ecosystems in its operations and throughout the upstream and downstream value chain that cannot be avoided;
- (c) restore and rehabilitate degraded ecosystems or restore cleared ecosystems following exposure to impacts that cannot be completely avoided and/or minimised; and
- (d) mitigate its contribution to material **biodiversity loss** drivers.

AR 17. When disclosing its **policies**, if referring to third-party standards of conduct, the undertaking may disclose whether the standard used:

- (a) is objective and achievable based on a scientific approach to identifying issues, and realistic in assessing how these issues can be addressed on the ground under a variety of practical circumstances;
- (b) is developed or maintained through a process of ongoing consultation with **stakeholders** with balanced input from all relevant stakeholder groups, including producers, traders, processors, financiers, local people and communities, **indigenous peoples**, and civil society organisations representing **consumer**, environmental and social interests, with no group holding undue authority or veto power over the content;
- (c) encourages a step-wise approach and continuous improvement, both in the standard and its application of better management practices, and requires the establishment of meaningful **targets** and specific milestones to indicate progress against principles and criteria over time;
- (d) is verifiable through independent certifying or verifying bodies, which have defined and rigorous assessment procedures that avoid conflicts of interest, and are compliant with ISO guidance on accreditation and verification procedures or Article 5(2) of Regulation (EC) No 765/2008; and
- (e) conforms to the ISEAL Code of Good Practice.

Disclosure Requirement E4-3 – Actions and resources related to biodiversity and ecosystems

AR 18. The undertaking may relate significant monetary amounts of CapEx and OpEx required to implement the actions taken or planned to:

- (a) the relevant line items or notes in the financial statements;
- (b) the key performance indicators required under article 8 of Regulation (EU) 2020/852 and under Commission Delegated Regulation (EU) 2021/2178; and
- (c) if applicable, the CapEx plan required by Commission Delegated Regulation (EU) 2021/2178.

AR 19. The undertaking may disclose whether it considers an “avoidance” action plan, which prevents damaging **actions** before they take place. Avoidance often involves a decision to deviate from the business-as-usual project development path. An example of avoidance is altering the **biodiversity** and ecosystem footprint of a project to avoid destruction of natural **habitat** on the **site** and/or establishing set-asides where priority biodiversity values are present and will be conserved. At a minimum, avoidance should be considered where there are biodiversity and ecosystem-related values that are in one of the following categories: particularly vulnerable and irreplaceable, of particular concern to **stakeholders**, or where a cautious approach is warranted due to uncertainty about impact assessment or about the efficacy of management measures. The three main types of avoidance are defined below:

- (a) avoidance through site selection (Locate the entire project away from areas recognised for important biodiversity values);
- (b) avoidance through project design (Configure infrastructure to preserve areas at the project site with important biodiversity values); and
- (c) avoidance through scheduling (Time project activities to account for patterns of species behaviour (e.g., breeding, migration) or ecosystem functions (e.g., river dynamics).

AR 20. With regard to key **actions**, the undertaking may disclose:

- (a) a list of key **stakeholders** involved (e.g., competitors, suppliers, retailers, other business partners, affected communities and authorities, government agencies) and how they are involved, mentioning key stakeholders negatively or positively impacted by actions and how they are impacted, including impacts or benefits created for affected communities, smallholders, **indigenous peoples** or other persons in vulnerable situations;
- (b) where applicable, an explanation of the need for appropriate consultations and the need to respect the decisions of affected communities;
- (c) a brief assessment of whether the key actions may induce significant negative sustainability **impacts**;
- (d) an explanation of whether the key action is intended to be a one-time initiative or systematic practice;
- (e) an explanation of whether the key action plan is carried out only by the undertaking, using the undertaking's resources, or whether it is part of a wider initiative to which the undertaking significantly contributes. If the key action plan is part of a wider initiative, the undertaking may provide more information on the project, its sponsors and other participants;
- (f) a description of how it contributes to systemwide change, notably to alter the drivers of biodiversity and ecosystem change, e.g., through technological, economic, institutional, and social factors and changes in underlying values and behaviours;

AR 21. In the context of this Disclosure Requirement, "local and indigenous knowledge" refer to the understandings, skills and philosophies developed by societies with long histories of interaction with their natural surroundings. For rural and **indigenous peoples**, local knowledge informs decision-making about fundamental aspects of day-to-day life.

Metrics and targets

Disclosure Requirement E4-4 – Targets related to biodiversity and ecosystems

AR 22. The undertaking may specify whether the **target** addresses shortcomings related to the Substantial Contribution criteria for Biodiversity as defined in the delegated acts adopted pursuant to Article 15(2) of Regulation (EU) 2020/852. Where the Do No Significant Harm (DNSH) criteria for Biodiversity as defined in delegated acts adopted pursuant to Article 10(3), Article 11(3), Article 12(2), Article 13(2), and Article 14(2) of Regulation (EU) 2020/852 are not met, the undertaking may specify whether the target addresses shortcomings related those DNSH criteria.

AR 23. When disclosing information required under paragraph 29 for the purpose of setting **targets** the undertaking shall consider the need for an informed and willing consent of local and **indigenous peoples**, the need for appropriate consultations and the need to respect the decisions of these communities.

AR 24. The **targets** related to material impacts may be presented in a table as illustrated below:

Type of target according to mitigation hierarchy	Baseline value and base year	Target value and geographical scope			Connected policy or legislation if relevant
		2025	2030	Up to 2050	
Avoidance					
Minimisation					
Rehabilitation and restoration					
Compensation or offsets					

AR 25. The **targets** related to the potentially material sustainability matters listed in paragraph AR 4 of this Standard, may be presented in a table as illustrated below:

Type of target according to sustainability matter	Baseline value and base year	Target value and geographical scope			Connected policy or legislation if relevant
		2025	2030	Up to 2050	

AR 26. Measurable **targets** related to **biodiversity** and **ecosystems** may be expressed as:

- (a) size and location of all **habitat** areas protected or restored, whether directly or indirectly controlled by the undertaking, and whether the success of the restoration measure was or is approved by independent external professionals;
- (b) recreated surfaces (environments in which management initiatives are implemented so as to create a habitat on a **site** where it did not exist initially); or
- (c) number or percentage of projects / sites whose ecological integrity was improved (e.g., installation of fish passes, wildlife corridors).

Disclosure Requirement E4-5 – Impact metrics related to biodiversity and ecosystems change

AR 27. When preparing the information required under this Disclosure Requirement, the undertaking shall consider and may describe:

- (a) the methodologies and **metrics** used and an explanation for why these methodologies and metrics are selected, as well as their assumptions, limitations and uncertainties, and any changes in methodologies made over time and why they occurred;
- (b) the scope of the metrics and methodologies, for example:
 - i. undertaking, **site**, brand, commodity, corporate business unit, activity;
 - ii. aspects (as set out in paragraph AR 4) covered.
- (c) the **biodiversity** components of the metrics: species specific, ecosystem specific;
- (d) the geographies covered by the methodology and an explanation of why any relevant geographies were omitted;
- (e) how the metrics integrate **ecological thresholds** (e.g., the **biosphere integrity** and **land-system change, planetary boundaries**) and allocations;
- (f) the frequency of monitoring, key metrics being monitored, and the baseline condition/value and baseline year/period, as well as the reference period;
- (g) whether these metrics rely on primary data, secondary data, modelled data or on expert judgement, or a mixture of these;
- (h) an indication of which action is measured and monitored via the metrics and how they relate to the achievement of **targets**;
- (i) whether metrics are mandatory (required by legislation) or voluntary. If they are mandatory, the undertaking may indicate the relevant legislation; if voluntary, the undertaking may refer to any voluntary standard or procedure used; and
- (j) whether the metrics are informed by or correspond to expectations or recommendations of relevant and authoritative national, EU-level or intergovernmental guidelines, **policies**, legislation or agreements, such as the Convention for Biological Diversity (CBD) or IPBES.

AR 28. The undertaking shall disclose **metrics** that are verifiable and that are technically and scientifically robust considering the appropriate time scales geographies, and may disclose how its selected metrics correspond to those criteria. To ensure that the metric is relevant there should be a clear relationship between the indicator and the purpose of the measurement. Uncertainties should be reduced as far as possible. Data or mechanisms used should be supported by well-established organisations and updated over time. Robust modelled data and expert

judgment can be used where data gaps exist. The methodology shall be sufficiently detailed to allow for meaningful comparison of impacts and mitigation activities over time. Information gathering processes and definitions must be systematically applied. This enables a meaningful review of the undertaking's performance over time and helps internal and peer comparison.

- AR 29. If a metric corresponds to a target, the baseline for both shall be aligned. The **biodiversity** baseline is an essential component of the larger biodiversity and **ecosystems** management process. The baseline is necessary to inform impact assessment and management planning, as well as monitoring and adaptive management.
- AR 30. Methodologies available to collect data and measure the undertakings' impacts on **biodiversity** and **ecosystems** may be separated into three categories as follows:
- (a) primary data: collected in-situ using on the ground surveys;
 - (b) secondary data: including geospatial data layers that are overlaid with geographic location data of business activities.
 - i. At the species level, data layers on the ranges of different species can be used to predict the species that may be present at different locations. This includes operation **sites** and sourcing locations. Different range layers will have different levels of accuracy depending on certain factors (e.g., whether species ranges have been refined based on availability of **habitat**). Information on the threat status of the species, and the activities that threaten them, can provide an indication of the likely contribution that business activities may be having on driving population trends and threat status.
 - ii. At the ecosystem level, data layers reflecting change in the extent and condition of ecosystems can be applied, including levels of **habitat fragmentation** and connectivity.
 - (c) modelled biodiversity state data: Model-based approaches are commonly used for measuring ecosystem level indicators (e.g., extent, condition, or function). Models quantify how the magnitude of different pressures affects the state of biodiversity. These are referred to as pressure-state relationships and are based on globally collected data. Modelling results are applied locally to estimate how undertaking-level pressures will cause changes in ecosystem condition. An impact driver generally has three main characteristics: magnitude (e.g., amount of contaminant, noise intensity), spatial extent (e.g., area of land contaminated) and temporal extent (duration of persistence of contaminant).
- AR 31. With regard to life cycle assessment for land-use, the undertaking may refer to the "Land-use related environmental indicators for Life Cycle Assessment" by the Joint Research Center.
- AR 32. With regard to the introduction of invasive alien species, the undertaking may disclose the pathways and number of **invasive alien species** and the extent of surface covered by invasive alien species.
- AR 33. With regard to metrics on the extent and condition of **ecosystems**, useful guidance can be found in the work of the United Nations System of Environmental Economic Accounting Ecosystem Accounting (UN SEEA EA).
- AR 34. The undertaking may disclose in units of area (e.g., m² or ha) on land-use using guidance provided by the Eco-Management and Audit Scheme (EMAS) ⁽⁸²⁾:
- (a) total use of land;
 - (b) total sealed area;
 - (c) total nature-oriented area on **site**; and
 - (d) total nature-oriented area off site.

⁽⁸²⁾ As proposed by Commission Regulation (EU) 2018/ 2026 of 19 December 2018 amending Annex IV to Regulation (EC) No 1221/2009 of the European Parliament and of the Council on the voluntary participation by organisations in a Community eco-management and audit scheme (EMAS) (OJ L 325, 20.12.2018, p. 18).

- AR 35. The undertaking may disclose, for example, land cover change, which is the physical representation of the drivers “habitat modification” and “industrial and domestic activities”, i.e., the man-made or natural change of the physical properties of the earth’s surface at a specific location.
- AR 36. Land cover is a typical variable that can be assessed with earth observation data.
- AR 37. When reporting on material impacts related to the **ecosystems**, the undertaking may, in addition to the extent and condition of ecosystems, also consider the functioning of ecosystems by using:
- (a) a metric that measures a process or function that the ecosystem completes, or that reflects the ability of the ecosystem to undertake that specific process or function: e.g. net primary productivity, which is a measure of plant productivity based on the rate at which energy is stored by plants and made available to other species in the ecosystem. It is a core process that occurs for ecosystems to function. It is related to many factors, such as species diversity, but does not measure these factors directly; or
 - (b) A metric that measures changes to the population of scientifically identified species under threat.
- AR 38. At the ecosystem level, data layers reflecting change in the extent and condition of **ecosystems** may be applied, including levels of **habitat fragmentation** and connectivity.

Disclosure Requirement E4-6 – Anticipated financial effects from material biodiversity and ecosystem-related risks and opportunities

- AR 39. The undertaking may include an assessment of its related products and services at risk over the short-, medium- and long-term, explaining how these are defined, how financial amounts are estimated, and which critical assumptions are made.
- AR 40. The quantification of the **anticipated financial effects** in monetary terms under paragraph 45(a) may be a single amount or a range.

ESRS E5

RESOURCE USE AND CIRCULAR ECONOMY

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Objective

1. The objective of this Standard is to specify Disclosure Requirements which will enable users of the **sustainability statement** to understand:
 - (a) how the undertaking affects resource use, including resource efficiency, avoiding the depletion of resources and the sustainable sourcing and use of renewable resources (referred to in this Standard as “resource use and circular economy”) in terms of material positive and negative actual or potential **impacts**;
 - (b) any **actions** taken, and the result of such actions, to prevent or mitigate actual or potential negative impacts arising from resource use, including its measures to help decoupling its economic growth from the use of materials, and to address risks and opportunities;

- (c) the plans and capacity of the undertaking to adapt its strategy and **business model** in line with **circular economy principles** including but not limited to minimising **waste**, maintaining the value of products, materials and other resources at their highest value and enhancing their efficient use in production and consumption;
 - (d) the nature, type and extent of the undertaking's material risks and opportunities related to the undertaking's impacts and **dependencies**, arising from resource use and circular economy, and how the undertaking manages them; and
 - (e) the **financial effects** on the undertaking over the short-, medium- and long-term of material risks and opportunities arising from the undertaking's impacts and dependencies on resource use and circular economy.
2. This Standard sets out Disclosure Requirements related to "resource use" and "circular economy" and in particular on:
 - (a) **resource inflows** including the circularity of material resource inflows, considering renewable and non-renewable resources; and
 - (b) **resource outflows** including information on products and materials; and
 - (c) **waste**.
 3. **Circular economy** means an economic system in which the value of products, materials and other resources in the economy is maintained for as long as possible, enhancing their efficient use in production and consumption, thereby reducing the environmental impact of their use, minimising **waste** and the release of hazardous **substances** at all stages of their life cycle, including through the application of the **waste hierarchy**. The goal is to maximise and maintain the value of the technical and biological resources, products and materials by creating a system that allows for **durability**, optimal use or re-use, refurbishment, remanufacturing, **recycling** and nutrient cycling.
 4. This Standard builds on relevant EU legislative frameworks and **policies** including the EU Circular Economy Action Plan, Directive 2008/98/EC of the European Parliament and of the Council ⁽⁸³⁾ (Waste Framework Directive) and the EU industrial strategy.
 5. To evaluate the transition from business as usual, meaning an economy in which finite resources are extracted to make products that are used and then thrown away ("take-make-waste"), to a circular economic system, this Standard relies on the identification of the physical flows of resources, materials and products used and generated by the undertaking through Disclosure Requirement E5-4 *Resource inflows* and Disclosure Requirement E5-5 *Resource outflows*.

Interactions with other ESRS

6. Resource use is a major driver of other environmental impacts such as climate change, **pollution**, water and **marine resources** and biodiversity. A **circular economy** is a system that tends towards sustainable use of resources in extraction, processing, production, consumption and management of **waste**. Such system brings multiple environmental benefits, in particular, the reduction of material and energy consumption and **emissions** into the air (greenhouse gas emissions or other pollution), the limitation of **water withdrawals** and **discharges** and the **regeneration** of nature limiting the impact on biodiversity.
7. To provide a comprehensive overview of which other environmental matters could be material to resource use and circular economy, relevant disclosure requirements are covered in other environmental ESRS as follows:
 - (a) ESRS E1 *Climate change*, which addresses, in particular, GHG **emissions** and energy resources (energy consumption);
 - (b) ESRS E2 *Pollution*, which addresses, in particular, emissions to water, air and **soil** as well as **substances of concern**;

⁽⁸³⁾ Directive 2008/98/EC of the European Parliament and of the Council of 19 November 2008 on waste and repealing certain Directives (OJ L 312, 22.11.2008, p. 3).

- (c) ESRS E3 *Water and marine resources*, which addresses, in particular, water resource (water consumption) and marine resources; and
 - (d) ESRS E4 *Biodiversity and ecosystems*, which addresses, in particular, ecosystems, species and raw materials.
8. The undertaking's impacts related to resource use and circular economy, in particular impacts related to **waste**, can affect people and communities. Material negative impacts on **affected communities** from resource use and **circular economy** attributable to the undertaking are covered in ESRS S3 *Affected communities*. The efficient and circular use of resources also benefits competitiveness and economic wellbeing
 9. This Standard should be read in conjunction with ESRS 1 *General requirements* and ESRS 2 *General disclosures*.

Disclosure Requirements

ESRS 2 *General disclosures*

10. The requirements of this section should be read in conjunction with and reported alongside the disclosures required by ESRS 2 chapter 4 *Impact, risk and opportunity management*.

Impact, risk and opportunity management

Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material resource use and circular economy-related impacts, risks and opportunities

11. The undertaking shall describe the process to identify material **impacts, risks and opportunities** related to resource use and circular economy, in particular regarding **resource inflows, resource outflows and waste**, and shall provide information on:
 - (a) whether the undertaking has screened its assets and activities in order to identify its actual and potential **impacts, risks and opportunities** in its own operations and its upstream and downstream value chain, and if so, the methodologies, assumptions and tools used in the screening;
 - (b) whether and how the undertaking has conducted consultations, in particular, with affected communities.

Disclosure Requirement E5-1 – Policies related to resource use and circular economy

12. The undertaking shall describe its policies adopted to manage its material impacts, risks and opportunities related to resource use and circular economy.
13. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking has **policies** that address the identification, assessment, management and/or **remediation** of its material **impacts, risks and opportunities** related to resource use and **circular economy**.
14. The disclosure required by paragraph 12 shall contain the information on the **policies** the undertaking has in place to manage its material **impacts, risks and opportunities** related to resource use and **circular economy** in accordance with ESRS 2 MDR-P *Policies adopted to manage material sustainability matters*.
15. In the summary, the undertaking shall indicate whether and how its policies address the following matters where material:
 - (a) transitioning away from use of virgin resources, including relative increases in use of secondary (recycled) resources;
 - (b) sustainable sourcing and use of renewable resources.
16. Policies shall address material impacts, risks and opportunities in its own operations and along its upstream and downstream value chain.

Disclosure Requirement E5-2 – Actions and resources related to resource use and circular economy

17. The undertaking shall disclose its resource use and circular economy actions and the resources allocated to their implementation.
18. The objective of this Disclosure Requirement is to enable an understanding of the key **actions** taken and planned to achieve the resource use and circular economy-related **policy** objectives and **targets**.
19. The description of the resource use and circular economy-related **actions** and resources allocated shall follow the principles defined in ESRS 2 MDR-A *Actions and resources in relation to material sustainability matters*.
20. In addition to ESRS 2 MDR-A, the undertaking may specify whether and how an action and resources cover:
 - (a) higher levels of resource efficiency in use of technical and biological materials and water, particularly in relation to critical raw materials and rare earths as listed in the Raw Materials Information System;
 - (b) higher rates of use of secondary raw materials (recyclates);
 - (c) application of circular design, leading to increased product **durability** and optimisation of use, and higher rates of: Reuse, Repair, Refurbishing, Remanufacture, Repurposing and Recycling.
 - (d) application of circular business practices such as (i) value retention **actions** (maintenance, repair, refurbishing, remanufacturing, component harvesting, upgrading and reverse logistics, closed loop systems, second-hand retailing), (ii) value maximisation actions (product-service systems, collaborative and sharing economy business models), (iii) end-of-life actions (**recycling**, upcycling, extended producer responsibility), and (iv) systems efficiency actions (industrial symbiosis);
 - (e) actions taken to prevent **waste** generation in the undertaking's upstream and downstream value chain; and
 - (f) optimisation of **waste management** in line with the **waste hierarchy**.

*Metrics and targets***Disclosure Requirement E5-3 – Targets related to resource use and circular economy**

21. The undertaking shall disclose the resource use and circular economy-related targets it has set.
22. The objective of this Disclosure Requirement is to enable an understanding of the **targets** the undertaking has adopted to support its resource use and **circular economy policy** and to address its material impacts, risks and opportunities.
23. The description of the **targets** shall contain the information requirements defined in ESRS 2 MDR-T *Tracking effectiveness of policies and actions through targets*.
24. The disclosure required by paragraph 21 shall indicate whether and how the undertaking's **targets** relate to **resource inflows** and **resource outflows**, including **waste** and products and materials, and, more specifically to:
 - (a) the increase of circular product design (including for instance design for **durability**, dismantling, reparability, recyclability etc);
 - (b) the increase of **circular material use rate**;
 - (c) the minimisation of primary raw material;
 - (d) sustainable sourcing and use (in line with the cascading principle) of renewable resources;
 - (e) the **waste management**, including preparation for proper treatment; and
 - (f) other matters related to resource use or circular economy.

25. The undertaking shall specify to which layer of the **waste hierarchy** the target relates.
26. In addition to ESRS 2 MDR-T, the undertaking may specify whether **ecological thresholds** and entity-specific allocations were taken into consideration when setting **targets**. If so, the undertaking may specify:
 - (a) the ecological thresholds identified, and the methodology used to identify such thresholds;
 - (b) whether or not the thresholds are entity-specific and if so, how they were determined; and
 - (c) how responsibility for respecting identified ecological thresholds is allocated in the undertaking.
27. The undertaking shall specify as part of the contextual information, whether the **targets** it has set and presented are mandatory (required by legislation) or voluntary.

Disclosure Requirement E5-4 – Resource inflows

28. The undertaking shall disclose information on its resource inflows related to its material impacts, risks and opportunities.
29. The objective of this Disclosure Requirement is to enable an understanding of the resource use in the undertaking's own operations and its upstream value chain.
30. The disclosure required by paragraph 28 shall include a description of its **resource inflows** where material: products (including **packaging**) and materials (specifying critical raw materials and rare earths), water and property, plant and equipment used in the undertaking's own operations and along its upstream value chain.
31. When an undertaking assesses that resource inflows is a material sustainability matter, it shall disclose the following information about the materials used to manufacture the undertaking's products and services during the reporting period, in tonnes or kilogrammes:
 - (a) the overall total weight of products and technical and biological materials used during the reporting period;
 - (b) the percentage of biological materials (and biofuels used for non-energy purposes) used to manufacture the undertaking's products and services (including **packaging**) that is sustainably sourced, with the information on the certification scheme used and on the application of the cascading principle; and
 - (c) the weight in both absolute value and percentage, of secondary reused or recycled components, secondary intermediary products and secondary materials used to manufacture the undertaking's products and services (including packaging).
32. The undertaking shall provide information on the methodologies used to calculate the data. It shall specify whether the data is sourced from direct measurement or estimations, and disclose the key assumptions used.

Disclosure Requirement E5-5 – Resource outflows

33. The undertaking shall disclose information on its resource outflows, including waste, related to its material impacts, risks and opportunities.
34. The objective of this Disclosure Requirement is to provide an understanding of:
 - (a) how the undertaking contributes to the **circular economy** by i) designing products and materials in line with **circular economy principles** and ii) increasing or maximising the extent to which products, materials and **waste** processing are recirculated in practice after first use; and
 - (b) the undertaking's waste reduction and **waste management** strategy, the extent to which the undertaking knows how its pre-consumer waste is managed in its own activities.

Products and materials

35. The undertaking shall provide a description of the key products and materials that come out of the undertaking's production process and that are designed along circular principles, including **durability**, reusability, reparability, disassembly, remanufacturing, refurbishment, **recycling**, recirculation by the biological cycle, or optimisation of the use of the product or material through other circular business models.
36. Undertakings for which outflows are material shall disclose:
- (a) The expected **durability** of the products placed on the market by the undertaking, in relation to the industry average for each product group;
 - (b) The reparability products, using an established rating system, where possible;
 - (c) The rates of recyclable content in products and their **packaging**.

Waste

37. The undertaking shall disclose the following information on its total amount of **waste** from its own operations, in tonnes or kilogrammes:
- (a) the total amount of waste generated ;
 - (b) the total amount by weight diverted from disposal, with a breakdown between **hazardous waste** and non-hazardous waste and a breakdown by the following **recovery** operation types:
 - i. preparation for reuse;
 - ii. **recycling**; and
 - iii. other recovery operations.
 - (c) the amount by weight directed to disposal by waste treatment type and the total amount summing all three types, with a breakdown between **hazardous waste** and non-hazardous waste. The waste treatment types to be disclosed are:
 - i. **incineration**;
 - ii. landfill; and
 - iii. other disposal operations;
 - (d) the total amount and percentage of non-recycled waste ⁽⁸⁴⁾.
38. When disclosing the composition of the **waste**, the undertaking shall specify:
- (a) the waste streams relevant to its sector or activities (e.g. tailings for the undertaking in the mining sector, electronic waste for the undertaking in the **consumer** electronics sector, or food waste for the undertaking in the agriculture or in the hospitality sector); and;
 - (b) the materials that are present in the waste (e.g. biomass, metals, non-metallic minerals, plastics, textiles, critical raw materials and rare earths).

39. The undertaking shall also disclose the total amount of **hazardous waste** and radioactive waste generated by the undertaking, where radioactive waste is defined in Article 3(7) of Council Directive 2011/70/Euratom ⁽⁸⁵⁾.

⁽⁸⁴⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #13 in Table II of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Non-recycled waste ratio").

⁽⁸⁵⁾ Council Directive 2011/70/Euratom of 19 July 2011 establishing a Community framework for the responsible and safe management of spent fuel and radioactive waste (OJ L 199, 2.8.2011, p. 48). This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #9 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Hazardous waste and radioactive waste ratio").

40. The undertaking shall provide contextual information on the methodologies used to calculate the data and in particular the criteria and assumptions used to determine and classify products designed along circular principles under paragraph 35. It shall specify whether the data is sourced from direct measurement or estimations; and disclose the key assumptions used.

Disclosure Requirement E5-6 – Anticipated financial effects from material resource use and circular economy-related risks and opportunities

41. The undertaking shall disclose the anticipated financial effects of material risks and opportunities arising from resource use and circular economy-related impacts.
42. The information required by paragraph 41 is in addition the information on current financial effects on the entity's financial position, financial performance and cash flows for the reporting period required under ESRS 2 SBM-3 para 48 (d). The objective of this Disclosure Requirement is to provide an understanding of:
- (a) ***anticipated financial effects*** due to material ***risks*** arising from material resource use and ***circular economy***-related impacts and ***dependencies*** and how these risks have or could reasonably be expected to have) a material influence on the undertaking's financial position, financial performance performance, and cash flows over the short-, medium- and long-term; and
 - (b) anticipated financial effects due to material opportunities related to resource use and circular economy.
43. The disclosure shall include:
- (a) a quantification of the ***anticipated financial effects*** in monetary terms before considering resource use and circular economy-related actions, or where not possible without undue cost or effort, qualitative information. For ***financial effects*** arising from material opportunities, a quantification is not required if it would result in disclosure that does not meet the qualitative characteristics of information (see ESRS 1 Appendix B *Qualitative characteristics of information*);
 - (b) a description of the effects considered, the impacts and dependencies to which they relate and the time horizons in which they are likely to materialise;
 - (c) the critical assumptions used to quantify the ***anticipated financial effects***, as well as the sources and level of uncertainty of those assumptions.

Appendix A

Application Requirements

This appendix is an integral part of the ESRS E5. It supports the application of the disclosure requirements set out in this standard and has the same authority as the other parts of the standard.

ESRS 2 GENERAL DISCLOSURES*Impact, risk and opportunity management****Disclosure requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material resource use and circular economy-related impacts, risks and opportunities***

- AR 1. When conducting a **materiality** assessment on environmental subtopics, the undertaking shall assess the materiality of resource use and circular economy in its own operations and its upstream and downstream value chain, and may consider the four phases below, also known as the LEAP approach:
- (a) Phase 1: locate where in the undertaking's own operations and along its upstream and downstream **value chain** the interface with nature takes place;
 - (b) Phase 2: evaluate the **dependencies** and impacts;
 - (c) Phase 3: assess the material risks and opportunities;
 - (d) Phase 4: prepare and report the results of the materiality assessment.
- AR 2. With regard to ESRS E5, phases 1 and 2 rely mainly on the **materiality** assessments conducted under ESRS E1 (including energy consumption), ESRS E2 (pollution), ESRS E3 (marine resources, water consumption) and ESRS E4 (biodiversity, ecosystems, raw materials). Indeed, **circular economy** eventually aims at reducing the environmental impact of the use of products, materials and other resources, minimizing **waste** and the release of hazardous **substances** and hence at reducing impacts on nature. This application requirement focuses mainly on the third phase of this LEAP approach, while the fourth phase addresses the outcome of the process.
- AR 3. The process to assess the **materiality** of **impacts**, **dependencies**, **risks** and **opportunities** shall consider the provisions in ESRS 2 IRO-1 *Description of the processes to identify and assess material impacts, risks and opportunities* and IRO-2 *Disclosure Requirements in ESRS covered by the undertaking's sustainability statement*.
- AR 4. The sub-topics related to resource use and **circular economy** covered by the **materiality** assessment include:
- (a) **resource inflows** including the circularity of material resource inflows, considering resource use optimisation, intensity of materials and products and renewable and non-renewable resources;
 - (b) **resource outflows** related to products and services; and
 - (c) **waste**, including **hazardous waste** and non-hazardous **waste management**.
- AR 5. In Phase 3, to assess its material **risks** and **opportunities** based on the results of Phases 1 and 2, the undertaking may:
- (a) identify **transition risks** and opportunities in its own operations and its upstream and downstream **value chain**, including the risk of staying in a business-as-usual **scenario**:
 - i. **policy** and legal, e.g., bans on the extraction and use of non-renewable resources, regulations on **waste** treatment;
 - ii. technology, e.g., introduction on the market of new technologies to replace existing use of products and materials;
 - iii. market, e.g., shifting supply, demand and financing;
 - iv. reputation, e.g. changing societal, customer or community perceptions.

- (b) identify **physical risks** including depletion of stock and use of virgin and non-virgin renewable resources, and of non-renewable resources;
- (c) identify opportunities categorised by:
 - i. resource efficiency: e.g., transition to more efficient services and processes requiring less resources, eco-design for **longevity**, repair, reuse, recycle, by- products, take-back systems, decoupling activity from extraction of materials, intensifying circular material use, creation of a system that allows for dematerialization (e.g., digitisation, improving utilisation rates, weight reduction); practices to ensure products and materials are collected, sorted, and reused, repaired, refurbished, remanufactured;
 - ii. markets: e.g., demand for less resource-intensive products and services, and new consumption models such as product-as-a-service, pay-per-use, sharing, leasing;
 - iii. financing: e.g., access to green funds, bonds or loans;
 - iv. resilience: e.g., diversification of resources and business activities (e.g., start a new business unit to recycle new materials), investing in green infrastructures, adopting **recycling** and circularity mechanisms that reduce the **dependencies**, capability of the undertaking to safeguard future stocks and flows of resources; and
 - v. reputation.

AR 6. The undertaking may consider the following methodologies to assess its **impacts, risks** and **opportunities** in its own operations and along its upstream and downstream **value chain**:

- (a) Commission Recommendation 2021/2279 on the use of the Environmental Footprint methods to measure and communicate the life cycle environmental performance of products and organizations (Annex I – Product Environmental Footprint; Annex III – Organisation Environmental Footprint); and
- (b) Material Flow Analysis (MFA) from the European Environment Agency.

AR 7. When providing information on the outcome of the **materiality** assessment, the undertaking shall consider:

- (a) a list of business units associated to resource use and **circular economy** material impacts, risks and opportunities in the context of the products and services of the undertaking and the **waste** it generates;
- (b) a list and prioritisation of the material resources used by the undertaking;
- (c) the material impacts and risks of staying in business as usual;
- (d) the material opportunities related to a circular economy;
- (e) the material impacts and risks of a transition to a circular economy; and
- (f) the stages of the **value chain** where resource use, risks and negative impacts are concentrated.

Disclosure Requirement E5-1 – Policies related to resource use and circular economy

AR 8. The policies described under this Disclosure Requirement may be integrated in broader environmental or sustainability policies covering different subtopics.

AR 9. When providing information on its policies, the undertaking shall consider whether and how its policies address:

- (a) the **waste hierarchy**: (a) prevention; (b) preparing for re-use; (c) **recycling**; (d) other **recovery**, e.g., energy recovery; and (e) disposal. In this context, the **waste** treatment cannot be considered as a recovery;

- (b) the prioritisation of the avoidance or minimisation waste (Re-use, Repair, Refurbish, Remanufacture and Repurpose) over waste treatment (Recycling). The concepts of eco-design ⁽⁸⁶⁾, waste as a resource or post-consumer waste (at the end of a **consumer**-product lifecycle), should also be taken into consideration.

AR 10. When defining its policies, the undertaking may consider the Paper on “Categorisation system for the circular economy”, which describes circular design and production models, circular use models, circular value **recovery** models and circular support along the principles of the nine **circular economy** “R” strategies or principles: refuse, rethink, reduce, re-use, repair, refurbish, remanufacture, repurpose and recycle.

Disclosure Requirement E5-2 – Actions and resources in relation to resource use and circular economy

AR 11. When providing information under paragraph 17 and considering that resources are shared and that **circular economy** strategies may require collective actions, the undertaking may specify the **actions** taken to engage with its upstream and downstream **value chain** and/or its local network on the development of collaborations or initiatives increasing the circularity of products and materials.

AR 12. In particular, the undertaking may specify the following:

- (a) how it contributes to circular economy, including for instance smart **waste** collection systems;
- (b) the other **stakeholders** involved in the collective **actions**: competitors, **suppliers**, retailers, customers, other business partners, local communities and authorities, government agencies;
- (c) a description of the organisation of the collaboration or initiative, including the specific contribution of the undertaking and the roles of the different stakeholders in the project.

AR 13. The **actions** may cover the undertaking's own operations and/or its upstream and downstream value chain.

Metrics and targets

Disclosure Requirement E5-3 – Targets related to resource use and circular economy

AR 14. If the undertaking refers to **ecological thresholds** to set **targets**, it may refer to the guidance provided by the Science-Based Targets Initiative for Nature (SBTN) in its interim guidance (Initial Guidance for Business, September 2020) or any other guidance with a scientifically acknowledged methodology that allows to set science-based targets by identifying ecological thresholds and, if applicable, organisation-specific allocations. Ecological thresholds can be local, national and/or global.

AR 15. When providing information on **targets**, the undertaking shall prioritise targets in absolute value.

AR 16. When providing information **targets** according to paragraph 24, the undertaking shall consider the production phase, the use phase, and the end of functional life of products and materials.

AR 17. When providing information on **targets** related to virgin renewable **raw material** under paragraph 24(c), the undertaking shall consider how those targets may impact **biodiversity loss**, also in light of ESRS E4.

⁽⁸⁶⁾ As established by Directive 2009/125/EC. Directive 2009/125/EC of the European Parliament and of the Council of 21 October 2009 establishing a framework for the setting of ecodesign requirements for energy-related products (OJ L 285, 31.10.2009, p. 10).

- AR 18. The undertaking may disclose other **targets** under paragraph 24(f) including in relation to sustainable sourcing. If so, the undertaking shall explain the definition of sustainable sourcing it has adopted and how it relates to the objective set out in paragraph 22.
- AR 19. The **targets** may cover the undertaking's own operations and/or its upstream and downstream value chain.
- AR 20. The undertaking may specify whether the target addresses shortcomings related to the Substantial Contribution criteria for Circular Economy as defined in the delegated acts adopted pursuant to Article 13(2) of Regulation (EU) 2020/852. Where the Do No Significant Harm (DNSH) criteria for Circular Economy as defined in delegated acts adopted pursuant to Article 10(3), Article 11(3), Article 12(2), Article 14(2), and Article 15(2) of Regulation (EU) 2020/852 are not met, the undertaking may specify whether the target addresses shortcomings related those DNSH criteria.

Disclosure Requirement E5-4 - Resource inflows

- AR 21. **Resource inflows** may cover the following categories: IT equipment, textiles, furniture, buildings, heavy machinery, mid-weight machinery, light machinery, heavy transport, mid-weight transport, light transport and warehousing equipment. With regard to materials, resource inflow indicators include raw materials, **associated process materials**, and semi-manufactured goods or parts.
- AR 22. When the undertaking is subject to paragraph 31, it may also provide transparency on the materials that are sourced from **by-products/waste** stream (e.g., offcuts of a material that has not previously been in a product).
- AR 23. The denominator of the percentage indicator required under paragraphs 31(b) and 31(c) is the overall total weight of materials used during the reporting period.
- AR 24. The reported usage data are to reflect the material in its original state, and not to be presented with further data manipulation, such as reporting it as "dry weight".
- AR 25. In cases where there is an overlap between categories of reused, recycled, the undertaking shall specify how double counting was avoided and the choices that were made.

Disclosure Requirement E5-5 - Resource outflows

- AR 26. Products and materials information to be provided under paragraph 35 refers to all materials and products that come out of the undertaking's production process and that a company puts on the market (including **packaging**).
- AR 27. When compiling the rate, the undertaking shall use as denominator the overall total weight of materials used during the reporting period.
- AR 28. The undertaking may disclose its engagement in product end-of-life **waste management**, for example through extended producer responsibility schemes or take-back schemes.
- AR 29. Type of **waste** is to be understood as **hazardous waste** or non-hazardous waste. Some specific waste, such as radioactive waste, may also be presented as a separate type.
- AR 30. When considering the **waste** streams relevant to its sectors or activities, the undertaking may consider the list of waste descriptions from the European Waste Catalogue.
- AR 31. Examples of other types of **recovery** operations under paragraph 37(b)iii may be found in Annex II of Directive 2008/98/EC (Waste Framework Directive).
- AR 32. Examples of other types of disposal operations under paragraph 37(c)iii may be found in Annex I of Directive 2008/98/EC (Waste Framework Directive).

AR 33. When providing contextual information under paragraph 40 the undertaking may:

- (a) explain the reasons for high weights of **waste** directed to disposal (e.g., local regulations that prohibit landfill of specific types of waste);
- (b) describe sector practices, sector standards, or external regulations that mandate a specific disposal operation; and
- (c) specify whether the data has been modelled or sourced from direct measurements, such as waste transfer notes from contracted waste collectors.

Disclosure Requirement E5-6 – Anticipated financial effects from material resource use and circular economy-related risks and opportunities

AR 34. When providing information under paragraph 42(b), the undertaking may illustrate and describe how it intends to strengthen value retention.

AR 35. The undertaking may include an assessment of its related products and services at risk over the short-, medium- and long-term, explaining how these are defined, how financial amounts are estimated, and which critical assumptions are made.

AR 36. The quantification of the ***anticipated financial effects*** in monetary terms under paragraph 43(a) may be a range.

ESRS S1**OWN WORKFORCE**

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Appendix A.1: Application Requirements for ESRS 2 related disclosures

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Objective

1. The objective of this Standard is to specify disclosure requirements which will enable **users** of the **sustainability statement** to understand the undertaking's material **impacts** on its **own workforce**, as well as related material **risks** and **opportunities**, including:
 - (a) how the undertaking affects its **own workforce**, in terms of material positive and negative actual or potential impacts;
 - (b) any **actions** taken, and the result of such actions, to prevent, mitigate or remediate actual or potential negative impacts, and to address risks and opportunities;
 - (c) the nature, type and extent of the undertaking's material risks and opportunities related to its impacts and **dependencies** on its own workforce, and how the undertaking manages them; and
 - (d) the **financial effects** on the undertaking over the short-, medium- and long-term of material risks and opportunities arising from the undertaking's impacts and dependencies on its own workforce.

2. In order to meet the objective, this Standard also requires an explanation of the general approach the undertaking takes to identify and manage any material actual and potential **impacts** on its **own workforce** in relation to the following social, including human rights, factors or matters:
 - (a) working conditions, including:
 - i. secure employment;
 - ii. working time;
 - iii. **adequate wages**;
 - iv. **social dialogue**;
 - v. freedom of association, the existence of works councils and the information, consultation and participation rights of workers;
 - vi. **collective bargaining**, including the rate of the undertaking's workforce covered by collective agreements;
 - vii. work-life balance; and
 - viii. health and safety.
 - (b) **equal treatment** and **opportunities** for all, including:
 - i. gender equality and equal **pay** for work of equal value;
 - ii. **training** and skills **development**;
 - iii. employment and inclusion of **persons with disabilities**;
 - iv. measures against violence and **harassment** in the workplace; and
 - v. diversity.
 - (c) other work-related rights, including those that relate to:
 - i. child labour;
 - ii. **forced labour**;
 - iii. adequate housing; and
 - iv. privacy.
3. This Standard also requires an explanation of how such **impacts**, as well as the undertaking's **dependencies** on its **own workforce**, can create material **risks** or **opportunities** for the undertaking. For example, on the matter of equal opportunities, **discrimination** in hiring and promotion against women can reduce the undertaking's access to qualified labour and harm its reputation. Conversely, policies to increase the representation of women in the workforce and in upper levels of management can have positive effects, such as increasing the pool of qualified labour and improving the undertaking's reputation.
4. This Standard covers an undertaking's **own workforce**, which is understood to include both people who are in an employment relationship with the undertaking ("**employees**") and **non-employees** who are either people with contracts with the undertaking to supply labour ("self-employed people") or people provided by undertakings primarily engaged in "employment activities" (NACE Code N78). See Application Requirement 3 for examples of who falls under own workforce. The information required to be disclosed with regard to non-employees shall not affect their status pursuant to applicable labour law.
5. This Standard does not cover workers in the undertaking's upstream or downstream **value chain**; these categories of workers are covered in ESRS S2 *Workers in the value chain*.
6. The Standard requires undertakings to describe their **own workforce**, including key characteristics of the **employees** and **non-employees** that are part of it. This description provides **users** with an understanding of the structure of the undertaking's **own workforce** and helps to contextualise information provided through other disclosures.

7. The objective of the Standard is also to enable **users** to understand the extent to which the undertaking aligns or complies with international and European human rights instruments and conventions, including the International Bill of Human Rights, the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises, the International Labour Organization's Declaration on Fundamental Principles and Rights at Work and ILO fundamental conventions, the UN Convention on Persons with Disabilities, the European Convention of Human Rights, the revised European Social Charter, the Charter of Fundamental Rights of the European Union, the EU **policy** priorities as set out by the European Pillar of Social Rights, and Union legislation, including the EU labour law acquis.

Interaction with other ESRS

8. This Standard shall be read in conjunction with ESRS 1 *General principles* and ESRS 2 *General requirements*.
9. This Standard shall be read in conjunction with ESRS S2 *Workers in the value chain*, ESRS S3 *Affected communities* and ESRS S4 *Consumers and end-users*.
10. The reporting under this Standard shall be consistent, coherent and where relevant clearly linked with reporting on the undertaking's **own workforce** under ESRS S2, in order to ensure effective reporting.

Disclosure requirements

ESRS 2 General disclosures

11. The requirements of this section should be read in conjunction with the disclosures required by ESRS 2 on Strategy (SBM). The resulting disclosures shall be presented alongside the disclosures required by ESRS 2, except for ESRS 2 SBM-3, for which the undertaking has an option to present the disclosures alongside the topical disclosure.

Strategy

Disclosure Requirement related to ESRS 2 SBM-2 – *Interests and views of stakeholders*

12. When responding to ESRS 2 SBM-2, the undertaking shall disclose how the interests, views, and rights of people in its own workforce, including respect for their human rights, inform its strategy and **business model**. The undertaking's **own workforce** is a key group of affected **stakeholders**.

Disclosure Requirement related to ESRS 2 SBM-3 – *Material impacts, risks and opportunities and their interaction with strategy and business model*

13. When responding to ESRS 2 SBM-3 paragraph 48, the undertaking shall disclose:
 - (a) whether and how actual and potential **impacts** on its **own workforce** as identified in ESRS 2 IRO-1 *Description of the processes to identify and assess material impacts, risks and opportunities*: (i) originate from or are connected to the undertaking's strategy and **business models**, and (ii) inform and contribute to adapting the undertaking's strategy and business model; and
 - (b) the relationship between its material **risks** and **opportunities** arising from impacts and **dependencies** on own workforce and its strategy and business model.
14. When fulfilling the requirements of paragraph 48, the undertaking shall disclose whether all people in its **own workforce** who could be materially impacted by the undertaking are included in the scope of its disclosure under ESRS 2. These material **impacts** shall include impacts that are connected with the undertaking's own operations and its **value chain**, including through its products or services, as well as through its business relationships. In addition, the undertaking shall provide the following information:
 - (a) a brief description of the types of **employees** and **non-employees** in its own workforce subject to material impacts by its operations, and specify whether they are **employees**, self-employed people, or people provided by third party undertakings primarily engaged in employment activities;

- (b) in the case of material negative impacts, whether they are either (i) widespread or systemic in contexts where the undertaking operates (for example, **child labour** or **forced labour** or compulsory labour in specific countries or regions outside the EU), or (ii) related to individual **incidents** (for example, an industrial accident or an oil spill);
 - (c) in the case of material positive impacts, a brief description of the activities that result in the positive impacts, the types of employees and non-employees in its own workforce that are positively affected or could be positively affected; the undertaking may also disclose whether the positive impacts occur in specific countries or regions;
 - (d) any material **risks** and **opportunities** for the undertaking arising from impacts and **dependencies** on its own workforce;
 - (e) any material impacts on its **own workforce** that may arise from **transition plans** for reducing negative impacts on the environment and achieving greener and climate- neutral operations, including information on the impacts on own workforce caused by the undertaking's plans and **actions** to reduce carbon **emissions** in line with international agreements. Impacts, risks and opportunities include restructuring and employment loss as well as opportunities arising from job creation and reskilling or upskilling;
 - (f) operations at significant risk of **incidents** of **forced labour** or compulsory labour ⁽⁸⁷⁾ either in terms of:
 - i. type of operation (such as manufacturing plant); or
 - ii. countries or geographic areas with operations considered at risk;
 - (g) operations at significant risk of incidents of **child labour** ⁽⁸⁸⁾ either in terms of:
 - i. type of operation (such as manufacturing plant); or
 - ii. countries or geographic areas with operations considered at risk.
15. In describing the main types of people in its **own workforce** who are or could be negatively affected, based on the **materiality** assessment set out in ESRS 2 IRO 1, the undertaking shall disclose whether and how it has developed an understanding of how people with particular characteristics, those working in particular contexts, or those undertaking particular activities may be at greater risk of harm.
16. The undertaking shall disclose which, if any, of its material **risks** and **opportunities** arising from **impacts** and **dependencies** on people in its **own workforce** relate to specific groups of people (for example, particular age groups, or people working in a particular factory or country) rather than to all of its own workforce (for example, a general **pay** cut, or **training** offered to all people in its own workforce).

Impacts, risks and opportunities management

Disclosure Requirement S1-1 – Policies related to own workforce

17. **The undertaking shall describe its policies adopted to manage its material impacts on its own workforce, as well as associated material risks and opportunities.**
18. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking has **policies** that address the identification, assessment, management and/or **remediation** of material **impacts** on the undertaking's **own workforce** specifically, as well as policies that cover material impacts, **risks** and **opportunities** related to its own workforce.

⁽⁸⁷⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from additional indicators related to principal adverse impacts as set out by indicator #13 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Operations and suppliers at significant risk of incidents of forced or compulsory labour").

⁽⁸⁸⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from additional indicators related to principal adverse impacts as set out by indicator #12 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Operations and suppliers at significant risk of incidents of child labour").

19. The disclosure required by paragraph 17 shall contain the information on the undertaking's policies to manage its material **impacts, risks** and **opportunities** related to its **own workforce** in accordance with ESRS 2 MDR-P *Policies adopted to manage material sustainability matters*. In addition, the undertaking shall specify if such policies cover specific groups within its own workforce or all of its own workforce.
20. The undertaking shall describe its human rights **policy** commitments ⁽⁸⁹⁾ that are relevant to its **own workforce**, including those processes and mechanisms to monitor compliance with the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work and the OECD Guidelines for Multinational Enterprises ⁽⁹⁰⁾. In its disclosure it shall focus on those matters that are material in relation to, as well as its general approach to:
 - (a) respect for the human rights, including labour rights, of people in its own workforce;
 - (b) engagement with people in its **own workforce**; and
 - (c) measures to provide and/or enable **remedy** for human rights impacts.
21. The undertaking shall disclose whether and how its policies with regard to its own workforce are aligned with relevant internationally recognised instruments, including the UN Guiding Principles on Business and Human Rights ⁽⁹¹⁾.
22. The undertaking shall state whether its policies in relation to its **own workforce** explicitly address trafficking in human beings ⁽⁹²⁾, **forced labour** or compulsory labour and **child labour**.
23. The undertaking shall state whether it has a workplace accident prevention **policy** or management system ⁽⁹³⁾.
24. The undertaking shall disclose:
 - (a) whether it has specific policies aimed at the elimination of **discrimination**, including **harassment**, promoting **equal opportunities** and other ways to advance diversity and inclusion;
 - (b) whether the following grounds for **discrimination** are specifically covered in the **policy**: racial and ethnic origin, colour, sex, sexual orientation, gender identity, disability, age, religion, political opinion, national extraction or social origin, or other forms of discrimination covered by Union regulation and national law;
 - (c) whether the undertaking has specific **policy** commitments related to inclusion or positive action for people from groups at particular risk of vulnerability in its **own workforce** and, if so, what these commitments are; and
 - (d) whether and how these policies are implemented through specific procedures to ensure **discrimination** is prevented, mitigated and acted upon once detected, as well as to advance diversity and inclusion in general.

⁽⁸⁹⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #9 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Lack of a human rights policy").

⁽⁹⁰⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #11 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments.

⁽⁹¹⁾ This information supports the needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Exposure of the benchmark portfolio to companies without due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8" in section 1 and 2 of Annex II.

⁽⁹²⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #11 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Lack of processes and measures for preventing trafficking in human beings").

⁽⁹³⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impact as set out by indicator #1 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Investments in companies without workplace accident prevention policies").

Disclosure Requirement S1-2 – Processes for engaging with own workforce and workers’ representatives about impacts

25. **The undertaking shall disclose its general processes for engaging with people in its own workforce and workers’ representatives about actual and potential impacts on its own workforce.**
26. The objective of this Disclosure Requirement is to enable an understanding of how the undertaking engages, as part of its ongoing due diligence process, with people in its **own workforce** and **workers’ representatives** about material, actual and potential, positive and/or negative **impacts** that do or are likely to affect them, and whether and how perspectives of its own workforces are taken into account in the decision-making processes of the undertaking.
27. The undertaking shall disclose whether and how the perspectives of its **own workforce** inform its decisions or activities aimed at managing the actual and potential **impacts** on its own workforce. This shall include, where relevant, an explanation of:
- (a) whether engagement occurs directly with the undertaking’s own workforce or workers’ representatives;
 - (b) the stage(s) at which engagement occurs, the type of engagement and frequency of the engagement;
 - (c) the function and the most senior role within the undertaking that has operational responsibility for ensuring that this engagement happens and that the results inform the undertaking’s approach;
 - (d) where applicable, a Global Framework Agreement or other agreements that the undertaking has with **workers’ representatives** related to the respect of human rights of its **own workforce**, including an explanation of how the agreement enables the undertaking to gain insight into the perspectives of its own workforce; and
 - (e) where applicable, how the undertaking assesses the effectiveness of its engagement with its own workforce, including, where relevant, any agreements or outcomes that result.
28. Where applicable, the undertaking shall disclose the steps it takes to gain insight into the perspectives of people in its **own workforce** who may be particularly vulnerable to impacts and/or marginalised (for example, women, migrants, people with disabilities).
29. If the undertaking cannot disclose the above required information because it has not adopted a general process to engage with its **own workforce**, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a process in place.

Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workforce to raise concerns

30. **The undertaking shall describe the processes it has in place to provide for or cooperate in the remediation of negative impacts on people in its own workforce that the undertaking is connected with, as well as channels available to its own workforce to raise concerns and have them addressed.**
31. The objective of this Disclosure Requirement is to enable an understanding of the formal means by which the undertaking’s **own workforce** can make their concerns and needs known directly to the undertaking and/or through which the undertaking supports the availability of such channels (for example, **grievance mechanisms**) in the workplace, and how follow up is carried out with the people concerned regarding the issues raised and the effectiveness of these channels.
32. The undertaking shall describe the processes in place to cover the matters defined within paragraph 2 of the Objective section by disclosing the following information:
- (a) its general approach to and processes for providing or contributing to **remedy** where it has caused or contributed to a material negative **impact** on people in its **own workforce**, including whether and how the undertaking assesses that the **remedy** provided is effective;

- (b) any specific channels it has in place for its **own workforce** to raise their concerns or needs directly with the undertaking and have them addressed, including whether these are established by the undertaking itself and/or through participation in third-party mechanisms;
 - (c) whether or not the undertaking has a **grievance**/complaints handling **mechanism** related to employee matters ⁽⁹⁴⁾; and
 - (d) the processes through which the undertaking supports the availability of such channels in the workplace of its own workforce; and
 - (e) how it tracks and monitors issues raised and addressed, and, how it ensures the effectiveness of the channels, including through the involvement of **stakeholders** who are intended **users**.
33. The undertaking shall disclose whether and how it assesses that people in its **own workforce** are aware of, and trust, these structures or processes as a way to raise their concerns or needs and have them addressed. In addition, the undertaking shall disclose whether it has policies in place regarding the protection of individuals that use them, including workers' representatives, against retaliation. If such information has been disclosed in accordance with ESRS G1-1, the undertaking may refer to that information.
34. If the undertaking cannot disclose the above required information because it has not adopted a channel for raising concerns and/or does not support the availability of such a channel in the workplace for its own workforce, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a channel in place.

Disclosure Requirement S1-4 – Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions

35. **The undertaking shall disclose how it takes action to address material negative and positive impacts, and to manage material risks and pursue material opportunities related to its own workforce, and the effectiveness of those actions.**
36. The objective of this Disclosure Requirement is twofold. Firstly, it is to enable an understanding of any **actions** and initiatives through which the undertaking seeks to:
- (a) to prevent, mitigate and remediate negative material **impacts** on its **own workforce**; and/or
 - (b) to achieve positive material impacts for its own workforce.
- Secondly, it is to enable an understanding of the ways in which the undertaking is addressing the material **risks** and pursuing the material **opportunities** related to its own workforce.
37. The undertaking shall provide a summarised description of the action plans and resources to manage its material **impacts**, **risks**, and **opportunities** related to its **own workforce** in accordance with ESRS 2 MDR-A *Actions and resources in relation to material sustainability matters*.
38. In relation to the material **impacts** related to its **own workforce**, the undertaking shall describe:
- (a) **actions** taken, planned or underway to prevent or mitigate material negative impacts on its own workforce;
 - (b) whether and how it has taken action to provide or enable **remedy** in relation to an actual material impact;
 - (c) any additional actions or initiatives it has in place with the primary purpose of delivering positive impacts for its own workforce; and

⁽⁹⁴⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #5 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Lack of grievance/complaints handling mechanisms related to employee matters).

- (d) how it tracks and assesses the effectiveness of these actions and initiatives in delivering outcomes for its own workforce.
- 39. In relation to paragraph 36, the undertaking shall describe the processes through which it identifies what action is needed and appropriate in response to a particular actual or potential negative **impact** on its **own workforce**.
- 40. In relation to material **risks** and **opportunities**, the undertaking shall describe:
 - (a) what action is planned or underway to mitigate material risks for the undertaking arising from its impacts and **dependencies** on its **own workforce** and how it tracks effectiveness in practice; and
 - (b) what action is planned or underway to pursue material opportunities for the undertaking in relation to its own workforce.
- 41. The undertaking shall disclose whether and how it ensures that its own practices do not cause or contribute to material negative impacts on **own workforce**, including, where relevant, its practices in relation to procurement, sales and data use. This may include disclosing what approach is taken when tensions arise between the prevention or mitigation of material negative impacts and other business pressures.
- 42. When disclosing the information required under paragraph 40, the undertaking shall consider ESRS 2 MDR-T *Tracking effectiveness of policies and actions through targets* if it evaluates the effectiveness of an action by setting a target.
- 43. The undertaking shall disclose what resources are allocated to the management of its material impacts, with information that allows **users** to gain an understanding of how the material impacts are managed.

Metrics and targets

Disclosure Requirement S1-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

- 44. The undertaking shall disclose the time-bound and outcome-oriented targets it may have set related to:
 - (a) **reducing negative impacts on its own workforce; and/or**
 - (b) **advancing positive impacts on its own workforce; and/or**
 - (c) **managing material risks and opportunities related to its own workforce.**
- 45. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking is using outcome-oriented **targets** to drive and measure its progress in addressing its material negative **impacts** and/or advancing positive impacts on its **own workforce**, and/or in managing material **risks** and **opportunities** related to its own workforce.
- 46. The summarised description of the **targets** set to manage its material **impacts, risks** and **opportunities** related to the undertaking's **own workforce** shall contain the information requirements defined in ESRS 2 MDR-T.
- 47. The undertaking shall disclose the process for setting the **targets**, including whether and how the undertaking engaged directly with its **own workforce** or **workers' representatives** in:
 - (a) setting any such targets;
 - (b) tracking the undertaking's performance against them; and
 - (c) identifying any lessons or improvements as a result of the undertaking's performance.

Disclosure Requirement S1-6 – Characteristics of the undertaking's employees

- 48. The undertaking shall describe key characteristics of employees in its own workforce.

49. The objective of this Disclosure Requirement is to provide insight into the undertaking's approach to employment, including the scope and nature of **impacts** arising from its employment practices, to provide contextual information that aids an understanding of the information reported in other disclosures, and to serve as the basis for calculation for quantitative **metrics** to be disclosed under other disclosure requirements in this Standard.
50. In addition to the information required by paragraph 40(a)iii of ESRS 2 *General Disclosures*, the undertaking shall disclose:
- (a) the total number of **employees** by head count, and breakdowns by gender and by country for countries in which the undertaking has 50 or more employees representing at least 10% of its total number of employees;
 - (b) the total number by head count or full time equivalent (FTE) of:
 - i. permanent employees, and breakdown by gender;
 - ii. temporary employees, and breakdown by gender; and
 - iii. non-guaranteed hours employees, and breakdown by gender.
 - (c) the total number of employees who have left the undertaking during the reporting period and the rate of employee turnover in the reporting period.
 - (d) a description of the methodologies and assumptions used to compile the data, including whether the numbers are reported:
 - i. in head count or full-time equivalent (FTE) (including an explanation of how FTE is defined); and
 - ii. at the end of the reporting period, as an average across the reporting period, or using another methodology.
 - (e) where applicable, a provision of contextual information necessary to understand the data (for example, to understand fluctuations in number of employees during the reporting period); and
 - (f) a cross-reference of the information reported under (a) above to the most representative number in the financial statements.
51. For the information specified in point (b) of paragraph 50, the undertaking may in addition disclose the breakdown by region.
52. The undertaking may disclose by head count or full time equivalent (FTE) the following information:
- (a) full-time **employees**, and breakdowns by gender and by region; and
 - (b) part-time employees, and breakdowns by gender and by region.

Disclosure Requirement S1-7 – Characteristics of non-employees in the undertaking's own workforce

53. **The undertaking shall describe key characteristics of non-employees in its own workforce.**
54. The objective of this Disclosure Requirement is to provide insight into the undertaking's approach to employment, including the scope and nature of **impacts** arising from its employment practices, to provide contextual information that aids the understanding of the information reported in other disclosures, and to serve as the basis for calculation for quantitative **metrics** to be disclosed under other disclosure requirements in this Standard. It also allows an understanding of how much the undertaking relies on **non-employees** as part of its workforce.
55. The disclosure required by paragraph 53 shall include:
- (a) a disclosure of the total number of **non-employees** in the undertaking's **own workforce**, i.e., either people with contracts with the undertaking to supply labour ("self-employed people") or people provided by undertakings primarily engaged in "employment activities" (NACE Code N78).

- (b) an explanation of the methodologies and assumptions used to compile the data, including whether the number of non-employees is reported:
 - i. in headcount or full-time equivalent (FTE) (including a definition of how FTE is defined); and
 - ii. at the end of the reporting period, as an average across the reporting period, or using another methodology.
 - (c) where applicable, a provision of contextual information necessary to understand the data (for example, significant fluctuations in the number of non-employees in the undertaking's **own workforce** during the reporting period and between the current and the previous reporting period).
56. For the information specified in point (a) of paragraph 55, the undertaking may disclose the most common types of **non-employees** (for example, self-employed people, people provided by undertakings primarily engaged in employment activities, and other types relevant to the undertaking), their relationship with the undertaking, and the type of work that they perform.
57. Where data is not available, the undertaking shall estimate the number and state that it has done so. When the undertaking performs estimates, it shall describe the basis of preparation of this estimation.

Disclosure Requirement S1-8 – Collective bargaining coverage and social dialogue

58. **The undertaking shall disclose information on the extent to which the working conditions and terms of employment of its employees are determined or influenced by collective bargaining agreements and on the extent to which its employees are represented in social dialogue in the European Economic Area (EEA) at the establishment and European level.**
59. The objective of this Disclosure Requirement is to enable an understanding of the coverage of **collective bargaining** agreements and **social dialogue** for the undertaking's own **employees**.
60. The undertaking shall disclose:
- (a) the percentage of its total **employees** covered by **collective bargaining** agreements;
 - (b) in the EEA, whether it has one or more collective **bargaining agreements** and, if so, the overall percentage of its **employees** covered by such agreement(s) for each country in which it has significant employment, defined as at least 50 employees by head count representing at least 10% of its total number of employees; and
 - (c) outside the EEA, the percentage of its own employees covered by collective bargaining agreements by region.
61. For **employees** not covered by **collective bargaining** agreements, the undertaking may disclose whether it determines their working conditions and terms of employment based on collective bargaining agreements that cover its other employees or based on collective bargaining agreements from other undertakings.
62. The undertaking may disclose the extent to which the working conditions and terms of employment of **non-employees** in its **own workforce** are determined or influenced by **collective bargaining** agreements, including an estimate of the coverage rate.
63. The undertaking shall disclose the following information in relation to **social dialogue**:
- (a) the global percentage of **employees** covered by workers' representatives, reported at the country level for each EEA country in which the undertaking has significant employment; and
 - (b) the existence of any agreement with its employees for representation by a European Works Council (EWC), a Societas Europaea (SE) Works Council, or a Societas Cooperativa Europaea (SCE) Works Council.

Disclosure Requirement S1-9 – Diversity metrics

64. **The undertaking shall disclose the gender distribution at top management and the age distribution amongst its employees.**
65. The objective of this Disclosure Requirement is to enable an understanding of gender diversity at top management level and the age distribution of its **employees**.
66. The undertaking shall disclose:
- (a) the gender distribution in number and percentage at top management level; and
 - (b) the distribution of **employees** by age group: under 30 years old; 30-50 years old; over 50 years old.

Disclosure Requirement S1-10 – Adequate wages

67. **The undertaking shall disclose whether or not its employees are paid an adequate wage, and if they are not all paid an adequate wage, the countries and percentage of employees concerned.**
68. The objective of this Disclosure Requirement is to enable an understanding of whether or not all the undertaking's **employees** are paid an **adequate wage**, in line with applicable benchmarks.
69. The undertaking shall disclose whether all its **employees** are paid an **adequate wage**, in line with applicable benchmarks. If so, stating this will be sufficient to fulfil this disclosure requirement and no further information is needed.
70. If not all its **employees** are paid an **adequate wage** in line with applicable benchmarks, the undertaking shall disclose the countries where employees earn below the applicable adequate wage benchmark and the percentage of employees that earn below the applicable adequate wage benchmark for each of these countries.
71. The undertaking may also disclose the information specified in this disclosure requirement with regard to **non-employees** in its workforce.

Disclosure Requirement S1-11 – Social protection

72. **The undertaking shall disclose whether its employees are covered by social protection against loss of income due to major life events, and, if not, the countries where this is not the case.**
73. The objective of this Disclosure Requirement is to enable an understanding of whether the undertaking's **employees** are covered by **social protection** against loss of income due to major life events, and, if not, the countries where this is not the case.
74. The undertaking shall disclose whether all its **employees** are covered by **social protection**, through public programs or through benefits offered by the undertaking, against loss of income due to any of the following major life events:
- (a) sickness;
 - (b) unemployment starting from when the own worker is working for the undertaking;
 - (c) employment injury and acquired disability;
 - (d) parental leave; and
 - (e) retirement.
- If so, stating this is sufficient to fulfil this disclosure requirement and no further information is needed.

75. If not all of its **employees** are covered by **social protection** in accordance with paragraph 72, the undertaking shall in addition disclose the countries where employees do not have social protection with regard to one or more of the types of events listed in paragraph 72 and for each of those countries the types of employees who do not have social protection with regard to each applicable major life event.
76. The undertaking may also disclose the information specified in this disclosure requirement with regard to **non-employees** in its workforce.

Disclosure Requirement S1-12– Persons with disabilities

77. **The undertaking shall disclose the percentage of its own employees with disabilities.**
78. The objective of this Disclosure Requirement is to enable an understanding of the extent to which **persons with disabilities** are included among the undertaking's **employees**.
79. The undertaking shall disclose the percentage of **persons with disabilities** amongst its **employees** subject to legal restrictions on the collection of data.
80. The undertaking may disclose the percentage of **employees** with disabilities with a breakdown by gender.

Disclosure Requirement S1-13 – Training and skills development metrics

81. **The undertaking shall disclose the extent to which training and skills development is provided to its employees.**
82. The objective of this Disclosure Requirement is to enable an understanding of the **training** and skills **development** -related activities that have been offered to **employees**, within the context of continuous professional growth, to upgrade employees' skills and facilitate continued employability.
83. The disclosure required by paragraph 81 shall include:
- (a) the percentage of **employees** that participated in regular performance and career **development** reviews; such information shall be broken down by gender;
 - (b) the average number of **training** hours per employee and by gender.
84. The undertaking may disclose breakdowns by employee category for the percentage of employees that participated in regular performance and career development and for the average number of training hours per employee.
85. The undertaking may also disclose the information specified in this disclosure requirement with regard to **non-employees** in its workforce.

Disclosure Requirement S1-14 – Health and safety metrics

86. **The undertaking shall disclose information on the extent to which its own workforce is covered by its health and safety management system and the number of incidents associated with work-related injuries, ill health and fatalities of its own workforce. In addition, it shall disclose the number of fatalities as a result of work-related injuries and work-related ill health of other workers working on the undertaking's sites.**
87. The objective of this Disclosure Requirement is to allow an understanding of the coverage, quality and performance of the health and safety management system established to prevent **work-related injuries**.
88. The disclosure required by paragraph 86 shall include the following information, where applicable broken down between **employees** and **non-employees** in the undertaking's **own workforce**:
- (a) the percentage of people in its own workforce who are covered by the undertaking's health and safety management system based on legal requirements and/or recognised standards or guidelines;

- (b) the number of fatalities ⁽⁹⁵⁾ as a result of **work-related injuries** and **work-related ill health**;
- (c) the number and rate of recordable work-related accidents;
- (d) with regard to the undertaking's employees, the number of cases of **recordable work-related ill health**, subject to legal restrictions on the collection of data; and
- (e) with regard to the undertaking's employees, the number of days lost to work-related injuries and fatalities from work-related accidents, work-related ill health and fatalities from ill health ⁽⁹⁶⁾.

The information for (b) shall also be reported for other workers working on the undertaking's **sites**, such as **value chain workers** if they are working on the undertaking's sites.

- 89. The undertaking may also disclose the information specified in points (d) and (e) of paragraph 88 with regard to **non-employees**.
- 90. In addition, the undertaking may include the following additional information on the health and safety coverage: the percentage of its own workers covered by a health and safety management system which is based on legal requirements and/or recognised standards or guidelines and which has been internally audited and/or audited or certified by an external party.

Disclosure Requirement S1-15 – Work-life balance metrics

- 91. **The undertaking shall disclose the extent to which employees are entitled to and make use of family-related leave.**
- 92. The objective of this Disclosure Requirement is to provide an understanding of the entitlement and actual practices amongst the **employees** to take family-related leave in a gender equitable manner, as it is one of the dimensions of **work-life balance**.
- 93. The disclosure required by paragraph 91 shall include:
 - (a) the percentage of **employees** entitled to take family-related leave; and
 - (b) the percentage of entitled employees that took family-related leave, and a breakdown by gender.
- 94. If all of the undertaking's **employees** are entitled to family-related leave through social policy and/or **collective bargaining** agreements, it is sufficient to disclose this in order to meet the requirement of paragraph 93a.

Disclosure Requirement S1-16 – Remuneration metrics (pay gap and total remuneration)

- 95. **The undertaking shall disclose the percentage gap in pay between its female and male employees and the ratio between the remuneration of its highest paid individual and the median remuneration for its employees.**
- 96. The objective of this Disclosure Requirement is twofold: to allow an understanding of the extent of any gap in the **pay** between women and men amongst the undertaking's **employees**; and to provide insight into the level of remuneration inequality inside the undertaking and whether wide pay disparities exist.

⁽⁹⁵⁾ This information supports the information needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Weighted average ratio of accidents, injuries, fatalities" in section 1 and 2 of Annex II. This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #2 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Rate of accidents") and benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Weighted average ratio of accidents, injuries, fatalities" in section 1 and 2 of Annex II.

⁽⁹⁶⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #3 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Number of days lost to injuries, accidents, fatalities or illness").

97. The disclosure required by paragraph 95 shall include:
- (a) the gender **pay** gap, defined as the difference of average pay levels between female and male employees, expressed as percentage of the average pay level of male employees ⁽⁹⁷⁾;
 - (b) the **annual total remuneration** ratio of the highest paid individual to the median annual total remuneration for all **employees** (excluding the highest-paid individual) ⁽⁹⁸⁾; and
 - (c) where applicable, any contextual information necessary to understand the data and how the data has been compiled and other changes to the underlying data that are to be considered.
98. The undertaking may disclose a breakdown of the gender **pay** gap as defined in paragraph 97(a) by employee category and/or by country/segment. The undertaking may also disclose the gender pay gap between employees by categories of employees broken down by ordinary basic salary and complementary or variable components.
99. In relation to paragraph 97 (b), the undertaking may report this figure adjusted for purchasing power differences between countries, in which case it shall report the methodology used for the calculation.

Disclosure Requirement S1-17 – Incidents, complaints and severe human rights impacts

100. **The undertaking shall disclose the number of work-related incidents and/or complaints and severe human rights impacts within its own workforce, and any related material fines, sanctions or compensation for the reporting period.**
101. The objective of this Disclosure Requirement is to allow an understanding of the extent to which **work-related incidents** and severe cases of human rights **impacts** are affecting its **own workforce**.
102. The disclosure required by paragraph 100 shall include, subject to the relevant privacy regulations, **work-related incidents of discrimination** on the grounds of gender, racial or ethnic origin, nationality, religion or belief, disability, age, sexual orientation, or other relevant forms of discrimination involving internal and/or external **stakeholders** across operations in the reporting period. This includes incidents of **harassment** as a specific form of discrimination.
103. The undertaking shall disclose:
- (a) the total number of **incidents of discrimination**, including **harassment**, reported in the reporting period ⁽⁹⁹⁾;
 - (b) the number of complaints filed through channels for people in the undertaking's **own workforce** to raise concerns (including **grievance mechanisms**) and, where applicable, to the National Contact Points for OECD Multinational Enterprises related to the matters defined in paragraph 2 of this Standard, excluding those already reported in (a) above;

⁽⁹⁷⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #12 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Unadjusted gender pay gap"); and benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Weighted average gender pay gap" in section 1 and 2 of Annex II.

⁽⁹⁸⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #8 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Excessive CEO pay ratio").

⁽⁹⁹⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #7 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Incidents of discrimination").

- (c) the total amount of fines, penalties, and compensation for damages as a result of the **incidents** and complaints disclosed above, and a reconciliation of such monetary amounts disclosed with the most relevant amount presented in the financial statements; and
 - (d) where applicable, contextual information necessary to understand the data and how such data has been compiled.
104. The undertaking shall disclose the following information regarding identified cases of severe human rights **incidents** (e.g., **forced labour**, human trafficking or **child labour**):
- (a) the number of severe human rights incidents connected to the undertaking's workforce in the reporting period, including an indication of how many of these are cases of non-respect of the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises. If no such incidents have occurred, the undertaking shall state this ⁽¹⁰⁰⁾; and
 - (b) the total amount of fines, penalties and compensation for damages for the incidents described in (a) above, and a reconciliation of the monetary amounts disclosed in the most relevant amount in the financial statements.

⁽¹⁰⁰⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory and additional indicator related to principal adverse impacts as set out by indicator #10 in Table I of Annex I and by indicator #14 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Violations of UNGC principles and OECD Guidelines for Multinational Enterprises" and "Number of identified cases of severe human rights issues and incidents"); and the information needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Number of benchmark constituents subject to social violations (absolute number and relative divided by all benchmark constituents), as referred to in international treaties and conventions, United Nations principles and, where applicable, national law" in section 1 and 2 of Annex II.

Appendix A

Application Requirements

This appendix is an integral part of the ESRS S1 *Own workforce*. It supports the application of the disclosure requirements set out in this standard and has the same authority as the other parts of this Standard.

Objective

- AR 1. In addition to the issues listed in paragraph 2, the undertaking may also consider disclosing information about other issues relevant to a material impact for a shorter period of time, for instance initiatives regarding the health and safety of its **own workforce** during a pandemic.
- AR 2. The overview of social matters provided in paragraph 2 is not meant to imply that all of these issues should be reported on in each Disclosure Requirement in this Standard. Rather, they provide a list of matters derived from the sustainability reporting requirements set out in Directive 2013/34/EU that the undertaking shall consider for the ESRS 2 **materiality** assessment related to its **own workforce** and, as appropriate, report as material **impacts**, **risks** and **opportunities** within the scope of this Standard.
- AR 3. Examples of people that fall within the scope of “**Own workforce**” are:
- (a) Examples of contractors (self-employed persons) in the undertaking’s **own workforce** include:
 - i. Contractors hired by the undertaking to perform work that would otherwise be carried out by an **employee**
 - ii. Contractors hired by the undertaking to perform work in a public area (e.g., on a road, on the street).
 - iii. Contractors hired by the undertaking to deliver the work/service directly at the workplace of a client of the undertaking.
 - (b) Examples of people employed by a third party engaged in ‘employment activities’ include people who perform the same work that employees carry out, such as:
 - i. people who fill in for employees who are temporarily absent (due to illness, holiday, parental leave, etc.);
 - ii. people performing work additional to regular employees;
 - iii. people who are dispatched temporarily from another EU member state to work for the undertaking (‘posted workers’).

ESRS 2 General Disclosures*Strategy***Disclosure Requirement related to ESRS 2 SBM-2 – Interests and views of stakeholders**

- AR 4. ESRS 2 SBM-2 requires the undertaking to provide an understanding of whether and how it considers the role that its strategy and **business model** may play in creating, exacerbating or mitigating significant material **impacts** on its **own workforce**, and whether and how the business model and strategy are adapted to address such material impacts.
- AR 5. While the undertaking’s **own workforce** may not be engaging with the undertaking at the level of its strategy or **business model**, their views can inform the undertaking’s assessment of its strategy and business model. The undertaking shall consider the views of **workers’ representatives** when applicable to fulfil this disclosure.

Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model

- AR 6. **Impacts** on the undertaking's **own workforce** can originate in its strategy or **business model** in a number of different ways. For example, impacts may relate to the undertaking's value proposition (such as providing lowest cost products or services, or high-speed delivery, in ways that put pressure on labour rights in its own operations), or its cost structure and the revenue model (such as shifting inventory risk to **suppliers**, with knock-on effects on the labour rights of people who work for them).
- AR 7. Impacts on the undertaking's **own workforce** that originate in the strategy or **business model** can also bring material **risks** to the undertaking. For example, risks arise if some people in the workforce are at risk of **forced labour**, and the undertaking is importing products into countries where the law allows for the confiscation of imported goods that are suspected of being made with forced labour. An example of **opportunities** for the undertaking may result from providing opportunities for the workforce such as job creation and upskilling in the context of a "just transition". Another example, in the context of a pandemic or other severe health crisis, relates to the undertaking potentially relying on contingent labour with little to no access to sick care and health benefits that may face severe operational and business continuity risks as workers have no choice but to keep working while sick, further exacerbating the spread of the disease and causing major **supply chain** breakdowns. Reputational and business opportunity risks linked to the exploitation of low-skilled, low-paid workers in sourcing geographies with minimal protections for them are also increasing with media backlash and **consumer** preferences moving to more ethically sourced or sustainable goods.
- AR 8. Examples of particular characteristics of people in the undertaking's **own workforce** that may be considered by the undertaking when responding to paragraph 15 relate to young people that may be more susceptible to **impacts** on their physical and mental development, or women in a context where women are routinely discriminated against in the terms and conditions of work, or migrants in a context where the market for the supply of labour is poorly regulated and workers are routinely charged recruitment fees. For some people in the workforce, the inherent nature of the activity that they are required to undertake may put them at risk (for example, people required to handle chemicals or operate certain equipment or low paid employees who are on "zero hours" contracts).
- AR 9. With regard to paragraph 16, material **risks** could also arise because of the undertaking's **dependency** on its **own workforce** where low-likelihood but high-impact events may trigger **financial effects**; for example, where a global pandemic leads to severe health impacts on the undertaking's workforce resulting in major disruptions to production and distribution. Other examples of risk related to the undertaking's dependency on its workforce include a shortage in skilled workers or political decisions or legislation affecting its own operations and **own workforce**.

Impacts, risks and opportunities management

Disclosure Requirement S1-1 – Policies related to own workforce

- AR 10. The undertaking shall consider whether explanations of significant changes to the policies adopted during the reporting year (for example, new expectations for foreign subsidiaries, new or additional approaches to due diligence and remedy) provide contextual information for users and may disclose such explanations. This includes policies and commitments of the undertaking to prevent or mitigate the **risks** and negative **impacts** on people in its **own workforce** of reducing carbon **emissions** and transitioning to greener and climate-neutral operations as well as to provide **opportunities** for the workforce such as job creation and upskilling, including explicit commitments to a 'just transition'.
- AR 11. The **policy** may take the form of a stand-alone policy regarding the undertaking's own workforce or be included in a broader document such as a code of ethics or a general sustainability policy that has already been disclosed by the undertaking as part of another ESRS. In those cases, the undertaking shall provide an accurate cross-reference to identify the aspects of the policy that satisfy the requirements of this Disclosure Requirement.

- AR 12. When disclosing the alignment of its policies with the UN Guiding Principles on Business and Human Rights, the undertaking shall consider that the Guiding Principles refer to the International Bill of Human Rights, which consist of the Universal Declaration of Human Rights and the two Covenants that implement it, as well as the International Labour Organisation's Declaration on Fundamental Rights and Principles at Work and the core conventions that underpin it, and may report on alignment with these instruments.
- AR 13. When explaining how external-facing policies are embedded, the undertaking may, for example, consider internal policies of responsible sourcing, and alignment with other policies relevant to own workers, for example, regarding forced labour. With regard to supplier codes of conduct that the undertaking may have, it shall indicate whether they include provisions addressing the safety of workers, precarious work (i.e., use of workers on short-term or limited hours contracts, workers employed via third parties, sub-contracting to third parties or use of informal workers), human trafficking, the use of forced labour or child labour, and whether such provisions are fully in line with applicable ILO standards.
- AR 14. The undertaking may provide an illustration of the types of communication of its policies to those individuals, group of individuals or entities for whom they are relevant, either because they are expected to implement them (for example, the undertaking's **employees**, contractors and **suppliers**), or because they have a direct interest in their implementation (for example, people in its **own workforce**, investors). It may disclose communication tools and channels (for example, flyers, newsletters, dedicated websites, social media, face to face interactions, workers' representatives), aimed at ensuring that the **policy** is accessible and that different audiences understand its implications. The undertaking may also explain how it identifies and removes potential barriers for dissemination, such as through translation into relevant languages or the use of graphic depictions.
- AR 15. **Discrimination** in employment and occupation occurs when someone is treated differently or less favourably because of characteristics that are not related to merit or the inherent requirements of the job. These characteristics are commonly defined in national laws. Besides the grounds mentioned in the Disclosure Requirement, the undertaking shall consider other grounds for discrimination prohibited under national legislation.
- AR 16. **Discrimination** can arise in a variety of work-related activities. These include access to employment, particular occupations, **training** and vocational guidance and social security. Moreover, it can occur with respect to the terms and conditions of employment, such as: recruitment, remuneration, hours of work and rest, paid holidays, maternity protection, security of tenure, job assignments, performance assessment and advancement, training opportunities, promotion prospects, occupational safety and health, termination of employment. The undertaking may address these areas specifically when disclosing its policies and underlying procedures to fulfil the disclosure requirement.
- AR 17. The undertaking may disclose whether it:
- (a) has policies and procedures which make qualifications, skills and experience the basis for the recruitment, placement, **training** and advancement at all levels, while accounting for the fact that some individuals may have more difficulty than others to acquire such qualifications, skills and experience;
 - (b) assigns responsibility at top management level for **equal treatment** and **opportunities** in employment, issue clear company-wide policies and procedures to guide equal employment practices, and link advancement to desired performance in this area;
 - (c) provides staff training on non-**discrimination** policies and practices, with a particular focus on middle and upper management to raise awareness and address resolution strategies for preventing and addressing systemic and incidental discrimination;
 - (d) makes adjustments to the physical environment to ensure health and safety for workers, customers and other visitors with disabilities;
 - (e) evaluates whether job requirements have been defined in a way that could systematically disadvantage certain groups;

- (f) keeps up-to-date records on recruitment, training and promotion that provide a transparent view of opportunities for **employees** and their progression within the undertaking;
- (g) puts in place grievance procedures to address complaints, handle appeals and provide recourse for employees (especially in the context of negotiations and collective agreements) when discrimination is identified, and is alert to formal structures and informal cultural issues that can prevent employees from raising concerns and grievances; and
- (h) has programs to promote access to skills **development**.

Disclosure Requirement S1-2 – Processes for engaging with own workforce and workers’ representatives about impacts

- AR 18. When describing what function or role has operational responsibility for such engagement and/or ultimate accountability, the undertaking may disclose whether this is a dedicated role or function or part of a broader role or function, and whether any capacity building activities have been offered to support the staff to undertake engagement. If it cannot identify such a position or function, it may state that this is the case. This disclosure could also be fulfilled by making reference to information disclosed according to ESRS 2 GOV-1 *The role of the administrative, management and supervisory bodies*.
- AR 19. When preparing the disclosures described in paragraph 27 b) and c), the following illustrations may be considered:
- (a) examples of stages at which engagement occurs are i) determining the approach to mitigation and ii) evaluating the effectiveness of mitigation;
 - (b) for type of engagement, these could be participation, consultation and/or information;
 - (c) for the frequency of the engagement, information may be provided on whether engagement occurs on a regular basis, at certain points in a project or business process, (for example, when a new harvest season begins or a new production line is opened), as well as whether it occurs in response to legal requirements and/or in response to **stakeholder** requests and whether the result of the engagement is being integrated into the undertaking’s decision-making processes; and
 - (d) for the role with operational responsibility, whether the undertaking requires relevant staff to have certain skills, or whether it provides **training** or capacity building to relevant staff to undertake engagement.
- AR 20. Global Framework Agreements (GFA) serve to establish an ongoing relationship between a multinational enterprise and a Global Union Federation to ensure that the undertaking adheres to the same standards in every country in which it operates.
- AR 21. To illustrate how the perspectives of its **own workforce** have informed specific decisions or activities, the undertaking may provide examples from the current reporting period.
- AR 22. Where the undertaking has agreements with national, European or international trade unions or works councils related to the rights of people its own workforce, this can be disclosed to illustrate how the agreement enables the undertaking to gain insight into the perspectives of such people.
- AR 23. Where possible, the undertaking may disclose examples from the reporting period to illustrate how the perspectives of its **own workforce** and **workers’ representatives** have informed specific decisions or activities of the undertaking.
- AR 24. The undertaking shall consider the following aspects when fulfilling this Disclosure Requirement:
- (a) The type of engagement (for example, information, consultation or participation) and its frequency (for example, ongoing, quarterly, annually);

- (b) how feedback is recorded and integrated into decision-making, and how people in the workforce are informed about the way in which their feedback has influenced decisions;
- (c) whether engagement activities take place at the organisational level or at a lower level, such as at the **site** or project level, and in the latter case, how information from engagement activities is centralised;
- (d) the resources (for example, financial or human resources) allocated to engagement; and
- (e) how it engages with people in its workforce and **workers' representatives** on the impacts on its **own workforce** that may arise from reducing carbon **emissions** and transitioning to greener and climate-neutral operations, in particular restructuring, employment loss or creation, training and up/reskilling, gender and social equity, and health and safety.

AR 25. The undertaking may also disclose the following information in relation to paragraph 24 on diversity:

- (a) how it engages with at-risk or persons in vulnerable situations (for example whether it takes specific approaches and gives special attention to potential barriers);
- (b) how it takes into account potential barriers to engagement with people in its workforce (for example, language and cultural differences, gender and power imbalances, divisions within a community or group);
- (c) how it provides people in its workforce with information that is understandable and accessible through appropriate communication channels;
- (d) any conflicting interests that have arisen among its workforce and how the undertaking has resolved these conflicting interests; and
- (e) how it seeks to respect the human rights of all stakeholders engaged, for example, their rights to privacy, freedom of expression, and peaceful assembly and protest.

AR 26. The undertaking may also report information about the effectiveness of processes for engaging with its **own workforce** from previous reporting periods. This applies in cases where the undertaking has assessed the effectiveness of these processes or derived lessons during the current reporting period. Processes used to track effectiveness can include internal or external auditing or verification, impact assessments, measurement systems, **stakeholder** feedback, **grievance mechanisms**, external performance ratings, and benchmarking.

Disclosure Requirement S1-3 – Processes to remediate negative impacts and channels for own workers to raise concerns

AR 27. In fulfilling the requirements set out by the disclosure criteria of Disclosure Requirement ESRS S1-3, the undertaking may be guided by the content of the UN Guiding Principles on Business and Human Rights and the OECD Due Diligence Guidance for Responsible Business Conduct focused on **remediation** and **grievance mechanisms**.

AR 28. Channels for raising concerns or needs include **grievance mechanisms**, hotlines, trade unions (where people in the workforce are unionised), works councils, dialogue processes or other means through which the undertaking's **own workforce** or **workers' representatives** can raise concerns about **impacts** or explain needs that they would like the undertaking to address. This could include both channels provided by the undertaking directly and channels provided by the entities where their own workforce is working, in addition to any other mechanisms an undertaking may use to gain insight into the management of impacts on its own workforce, such as compliance audits. Where the undertaking is relying solely on information about the existence of such channels provided by its **business relationships** to answer this requirement, it may state that.

- AR 29. Third party mechanisms could include those operated by the government, NGOs, industry associations and other collaborative initiatives. The undertaking may disclose whether these are accessible to all of its **own workforce** (or **workers' representatives** or, in their absence, individuals or organisations acting on their behalf or who are otherwise in a position to be aware of negative **impacts**).
- AR 30. The undertaking shall consider whether and how people in its **own workforce** that may be affected and their **workers' representatives** are able to access channels at the level of the undertaking they are employed by, or contracted to work for, in relation to each material **impact**. Relevant channels may include hotlines, trade unions (where people in the workforce are unionised) or works councils, or other **grievance mechanisms** operated by the relevant undertaking or by a third party.
- AR 31. In explaining whether and how the undertaking knows that people in its own workforce are aware of and trust any of these channels, the undertaking may provide relevant and reliable data about the effectiveness of these channels from the perspective of the people concerned. Examples of sources of information are surveys of people in the undertaking's workforce that have used such channels and their levels of satisfaction with the process and outcomes.
- AR 32. In describing the effectiveness of channels for its **own workforce** and **workers' representatives** to raise concerns, the undertaking may be guided by the following questions, based on the "effectiveness criteria for non-judicial **grievance mechanisms**", as laid out in the UN Guiding Principles on Business and Human Rights, in particular principle 31. The considerations below may be applied to individual channels or to a collective system of channels:
- (a) do the channels have legitimacy by providing appropriate accountability for their fair conduct and building stakeholder trust?
 - (b) are the channels known and accessible to **stakeholders**?
 - (c) do the channels have clear and known procedures, with indicative timeframes?
 - (d) do the channels ensure reasonable access for **stakeholders** to sources of information, advice and expertise?
 - (e) do the channels offer transparency by providing sufficient information both to complainants and, where applicable, to meet any public interest?
 - (f) do outcomes achieved through the channels accord with internationally recognised human rights?
 - (g) does the undertaking identify insights from the channels that support continuous learning in both improving the channels and preventing future impacts?
 - (h) does the undertaking focus on dialogue with complainants as the means to reach agreed solutions, rather than seeking to unilaterally determine the outcome?

Disclosure Requirement S1-4 – Taking action on material impacts and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions and approaches

- AR 33. It may take time to understand negative **impacts** and how the undertaking may be involved with them through its **own workforce**, as well as to identify appropriate responses and put them into practice). Therefore, the undertaking may disclose:
- (a) its general and specific approaches to addressing material negative impacts;
 - (b) its initiatives aimed at contributing to additional material positive impacts;
 - (c) how far it has progressed in its efforts during the reporting period; and
 - (d) its aims for continued improvement.
- AR 34. Appropriate action can vary according to whether the undertaking causes or contributes to a material **impact**, or whether it is involved because the impact is directly linked to its operations, products or services by a business relationship.

- AR 35. Given that material negative **impacts** affecting its **own workforce** that have occurred during the reporting period may also be connected with other entities or operations outside its direct control, the undertaking may disclose whether and how it seeks to use its leverage in its **business relationships** to manage those impacts. This may include using commercial **leverage** (for example, enforcing contractual requirements with business relationships or implementing incentives), other forms of leverage within the relationship (such as providing **training** or capacity-building on workers' rights to entities with which the undertaking has a business relationship) or collaborative leverage with peers or other actors (such as initiatives aimed at responsible recruitment or ensuring workers receive an **adequate wage**).
- AR 36. When the undertaking discloses its participation in an industry or multi-stakeholder initiative as part of its **actions** to address material negative impacts, the undertaking may disclose how the initiative, and its own involvement, is aiming to address the material impact concerned. It may report under ESRS S1-5 the relevant **targets** set by the initiative and progress towards them.
- AR 37. When disclosing whether and how the undertaking considers actual and potential impacts on its **own workforce** in decisions to terminate **business relationships** and whether and how it seeks to address any negative impacts that may result from termination, the undertaking may include examples.
- AR 38. Processes used to track the effectiveness of **actions** can include internal or external auditing or verification, court proceedings and/or related court decisions, impact assessments, measurement systems, stakeholder feedback, **grievance mechanisms**, external performance ratings, and benchmarking.
- AR 39. Reporting on effectiveness is aimed at enabling the understanding of the links between actions taken by an undertaking and the effective management of impacts. Additional information that the undertaking may provide includes data showing a decrease in the number of **incidents** identified.
- AR 40. With regard to initiatives or processes whose primary aim is to deliver positive impacts for people in the undertaking's **own workforce** that are based on their needs, and with regard to progress in the implementation of such initiatives or processes, the undertaking may disclose:
- (a) information about whether and how people in its own workforce and **workers' representatives** play a role in decisions regarding the design and implementation of these programmes or processes; and
 - (b) information about the intended or achieved positive outcomes for the undertaking's own workforce of these programmes or processes.
- AR 41. The undertaking may explain whether any such initiatives are designed also to support the achievement of one or more Sustainable Development Goals. For example, an undertaking committing to SDG 8 to "promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all" may be actively working towards eliminating **forced labour** or compulsory labour or supporting higher levels of productivity on activities in developing countries through technological upgrades and **training** of local labour, which can benefit both the specific people in its **own workforce** targeted by the **actions**, and also their local communities.
- AR 42. When disclosing the intended or achieved positive outcomes of its **actions** for the undertaking's **own workforce**, a distinction is to be made between evidence of certain activities having occurred (for example, that x number of people have received financial literacy **training**) from evidence of actual outcomes for the people concerned (for example, that x people report that they are able to better manage their pay and their household budgets).
- AR 43. If the undertaking has taken measures to mitigate negative **impacts** on its **own workforce** that arise from the transition to a greener, climate-neutral economy, such as **training** and reskilling, employment guarantees, and in the case of downscaling or mass dismissal, measures such as job counselling, coaching, intra-company placements and early retirement plans, the undertaking shall disclose those measures. This includes measures to

comply with prevailing regulation. The undertaking may highlight present and/or expected external developments that influence whether **dependencies** turn into **risks**. This includes consideration of impacts that may arise from the transition to greener and climate-neutral operations.

- AR 44. When disclosing the material **risks** and **opportunities** related to its **impacts** or **dependencies** on its **own workforce**, the undertaking may consider the following:
- (a) risks related to the undertaking's impacts on its own workforce may include the reputational or legal exposure where people in the undertaking's workforce are found to be subject to **forced labour** or **child labour**;
 - (b) risks related to the undertaking's dependencies on its own workforce may include disruption of business operations where significant employee turnover or lack of skills/**training development** threaten the undertaking's business; and
 - (c) opportunities related to the undertaking's impacts on its own workforce may include market differentiation and greater customer appeal from guaranteeing decent **pay** and conditions for non-employees.
- AR 45. When explaining whether **dependencies** turn into **risks**, the undertaking shall consider external developments.
- AR 46. When disclosing **policies**, **actions** and resources and **targets** related to the management of material **risks** and **opportunities**, in cases where risks and opportunities arise from a material **impact**, the undertaking may cross-reference its disclosures on policies, actions and resources and targets in relation to that impact.
- AR 47. The undertaking shall consider whether and how its process(es) to manage material **risks** related to **own workforce** are integrated into its existing risk management process(es).
- AR 48. When disclosing the resources allocated to the management of material impacts, the undertaking may explain which internal functions are involved in managing the impacts and what types of action they take to address negative and advance positive impacts.

Metrics and targets

Disclosure Requirement S1-5 – Targets related to managing material impacts, advancing positive impacts, as well as to risks and opportunities

- AR 49. When disclosing information about **targets** in accordance with paragraph 46, the undertaking may disclose:
- (a) the intended outcomes to be achieved in the lives of a certain number of people in its **own workforce**;
 - (b) the stability of the **targets** over time in terms of definitions and methodologies to enable comparability over time; and/or
 - (c) the standards or commitments which the targets are based on (for instance codes of conduct, sourcing policies, global frameworks, or industry codes).
- AR 50. **Targets** related to **risks** and **opportunities** may be the same as or distinct from targets related to **impacts**. For example, a target to reach **adequate wages** for **non-employees** could both reduce impacts on those people and reduce associated risks in terms of the quality and reliability of their output.
- AR 51. The undertaking may also distinguish between short-, medium- and long-term **targets** covering the same **policy** commitment. For example, the undertaking may have a long-term target to achieve an 80% reduction in health and safety **incidents** affecting its delivery drivers by 2030 and a near-term target to reduce the **overtime** hours of delivery drivers by x% while maintaining their income by 2024.

- AR 52. When modifying or replacing a **target** in the reporting period, the undertaking may explain the change by cross-referencing it to significant changes in the **business model** or to broader changes in the accepted standard or legislation from which the target is derived to provide contextual information as per ESRS 2 BP-2 *Disclosures in relation to specific circumstances*.

Disclosure Requirement S1-6 – Characteristics of the Undertaking’s Employees

- AR 53. This Disclosure Requirement covers all **employees** who perform work for any of the undertaking’s entities included in its sustainability reporting.
- AR 54. Providing a breakdown of **employees** by country gives insight into the distribution of activity across countries. The number of employees in each country is also a key trigger for many information, consultation and participation rights for workers and workers’ representatives, both in the Union labour law acquis (for example, Directive 2009/38/EC of the European Parliament and of the Council ⁽¹⁰¹⁾ “European Works Councils Directive” and Directive 2002/14/EC of the European Parliament and of the Council ⁽¹⁰²⁾ “Information and Consultation Directive”) and in national law (for example, rights to establish a works council or to have board level employee representation). Providing a breakdown of employees by gender and type of employment relationship gives insight into gender representation across the undertaking. Additionally, providing a breakdown of employees by region gives insight into regional variations. A region can refer to a country or other geographic locations, such as a region within a country or a world region.
- AR 55. The undertaking shall disclose the requested disclosures in the following tabular formats:

Table 1

Template for presenting information on employee head count by gender

Gender	Number of employees (head count)
Male	
Female	
Other	
Not reported	
Total Employees	

In some Member States it is possible for persons to legally register themselves as having a third, often neutral, gender, which is categorised as “other” in the table above. However, if the undertaking is disclosing data about **employees** where this is not possible, it may explain this and indicate that the “other” category is not applicable.

Table 2

Template for presenting employee head count in countries where the undertaking has at least 50 employees representing at least 10% of its total number of employees.

Country	Number of employees (head count)
Country A	
Country B	

⁽¹⁰¹⁾ Directive 2009/38/EC of the European Parliament and of the Council of 6 May 2009 on the establishment of a European Works Council or a procedure in Community-scale undertakings and Community-scale groups of undertakings for the purposes of informing and consulting employees (OJ L 122, 16.5.2009, p. 28).

⁽¹⁰²⁾ Directive 2002/14/EC of the European Parliament and of the Council of 11 March 2002 establishing a general framework for informing and consulting employees in the European Community - Joint declaration of the European Parliament, the Council and the Commission on employee representation (OJ L 80, 23.3.2002, p. 29).

Country C	
Country D	

Table 3

**Template for presenting information on employees by contract type, broken down by gender (head count or FTE)
(reporting on full-time and part-time employees is voluntary)**

[Reporting period]				
FEMALE	MALE	OTHER (*)	NOT DISCLOSED	TOTAL
Number of employees (head count / FTE)				
Number of permanent employees (head count / FTE)				
Number of temporary employees (head count / FTE)				
Number of non-guaranteed hours employees (head count / FTE)				
Number of full-time employees (head count / FTE)				
Number of part-time employees (head count / FTE)				
(*) Gender as specified by the employees themselves.				

Table 4

**Template for presenting information on employees by contract type, broken down by region (head count or FTE)
(reporting on full-time and part-time employees is voluntary)**

[Reporting period]		
REGION A	REGION B	TOTAL
Number of employees (head count / FTE)		
Number of permanent employees (head count / FTE)		
Number of temporary employees (head count / FTE)		
Number of non-guaranteed hours employees (head count / FTE)		
Number of full-time employees (head count / FTE)		
Number of part-time employees (head count / FTE)		

- AR 56. The definitions of permanent, temporary, non-guaranteed hours, full-time, and part-time **employees** differ between countries. If the undertaking has employees in more than one country, it shall use the definitions as per the national laws of the countries where the employees are based to calculate country-level data. The country-level data shall then be added up to calculate total numbers, disregarding differences in national legal definitions. Non-guaranteed hours employees are employed by the undertaking without a guarantee of a minimum or fixed number of working hours. The employee may need to make themselves available for work as required, but the undertaking is not contractually obliged to offer the employee a minimum or fixed number of working hours per day, week, or month. Casual employees, employees with zero-hour contracts, and on-call employees are examples that fall under this category.
- AR 57. Disclosing the number of **employees** at the end of the reporting period provides information for that point in time, without capturing fluctuations during the reporting period. Disclosing these numbers in averages across the reporting period takes into account fluctuations during the reporting period.
- AR 58. Quantitative data, such as the number of temporary or part-time **employees**, is unlikely to be sufficient on its own. For example, a high proportion of temporary or part-time employees could indicate a lack of employment security for employees, but it could equally signal workplace flexibility when offered as a voluntary choice. For this reason, the undertaking is required to disclose contextual information to help information **users** interpret the data. The undertaking can explain the reasons for temporary employment. An example of such a reason is the recruitment of employees to undertake work on a temporary or seasonal project or event. Another example is the standard practice of offering a temporary contract (for example, six months) to new employees before an offer of permanent employment is made. The undertaking may also explain the reasons for non-guaranteed hours employment.
- AR 59. For the own employee turnover calculation, the undertaking shall calculate the aggregate of the number of **employees** who leave voluntarily or due to dismissal, retirement, or death in service. The undertaking shall use this number for the numerator of the employee turnover rate and may determine the denominator used to calculate this rate and describe its methodology.
- AR 60. Where data is not available for detailed information, the undertaking shall use an estimation of the employee number or ratios, in accordance with ESRS 1, and clearly identify where the use of estimates has taken place.

Disclosure Requirement S1-7 – Characteristics of non-employees in the undertaking's own workforce

- AR 61. This Disclosure Requirement provides insight into the undertaking's approach to employment, as well as the scope and nature of impacts arising from its employment practices. It also provides contextual information that aids an understanding of the information reported in other disclosures. This disclosure covers both individual contractors supplying labour to the undertaking ("self-employed people") and workers provided by undertakings primarily engaged in "employment activities" (NACE Code N78). If all the people performing work for the undertaking are **employees** and the undertaking does not have any people in its workforce who are not employees, this Disclosure Requirement is not material for the undertaking; notwithstanding, the undertaking may state this fact when disclosing the information required by Disclosure Requirement S1-6 as contextual information as this information can be relevant for the **users** of the **Sustainability Statement**.
- AR 62. Examples of contractors (self-employed people) in the undertaking's **own workforce** include: contractors hired by the undertaking to perform work that would otherwise be carried out by an employee; contractors hired by the undertaking to perform work in a public area (for example, on a road, on the street); and contractors hired by the undertaking to deliver the work/service directly at the workplace of a client of the organization. Examples of people employed by a third party engaged in 'employment activities' whose work is under the direction of the undertaking include: people who perform the same work that **employees** carry out, such as people who fill in for employees who are temporarily absent (due to illness, holiday, parental leave, etc.); people performing regular work at the same **site** as employees; and workers who are dispatched temporarily from another EU member state to work for the undertaking ("posted workers"). Examples of **value chain workers** (and thus of workers not in the

undertaking's own workforce and reported under the scope of ESRS S2) include: workers for a **supplier** contracted by the undertaking who work on the supplier's premises using the supplier's work methods; workers for a 'downstream' entity which purchases goods or services from the undertaking; and workers of an equipment supplier to the undertaking who, at one or more of the undertaking's workplaces, perform regular maintenance on the supplier's equipment (for example, photocopier) as stipulated in the contract between the equipment supplier and the undertaking.

- AR 63. If the undertaking cannot report exact figures, it shall use estimates according to the provisions in ESRS 1 to disclose the number of people in its **own workforce** who are not **employees** to the nearest ten or, where the number of people in its own workforce who are not employees is greater than 1 000, to the nearest 100, and explain this. In addition, it shall clearly identify the information that derives from actual data and estimates.
- AR 64. Disclosing the number of people in the undertaking's **own workforce** who are not **employees** at the end of the reporting period provides information for that point in time without capturing fluctuations during the reporting period. Disclosing this number as an average across the reporting period considers fluctuations during the reporting period and can provide more insightful and relevant information for **users**.
- AR 65. The information disclosed by the undertaking allows **users** to understand how the number of **non-employees** in the undertaking's **own workforce** varies during the reporting period or compared to the previous reporting period (i.e., whether the numbers have increased or decreased). The undertaking may also disclose the reasons for the fluctuations. For example, an increase in the number of non-employees during the reporting period could be due to a seasonal event. Conversely, a decrease in the number of non-employees compared to the previous reporting period could be due to the completion of a temporary project. If the undertaking discloses fluctuations, it shall also explain the criteria used to determine which fluctuations it discloses. If there are no significant fluctuations in the number of non-employees during the reporting period or between the current and previous reporting period, the undertaking may disclose this information.

Disclosure Requirement S1-8 – Collective bargaining coverage and social dialogue

Collective bargaining coverage

- AR 66. The percentage of **employees** covered by **collective bargaining** agreements is calculated using the following formula:

$$\frac{\text{Number of employees covered by collective bargaining agreements}}{\text{Number of employees}} \times 100$$

- AR 67. The **employees** in the undertaking's **own workforce** covered by **collective bargaining** agreements are those individuals to whom the undertaking is obliged to apply the agreement. This means that if none of the employees are covered by a collective bargaining agreement, the percentage reported is zero. An employee in the undertaking's own workforce covered by more than one collective bargaining agreement only needs to be counted once.
- AR 68. This requirement is not aimed at obtaining the percentage of **employees** represented by a works council or belonging to trade unions, which can be different. The percentage of employees covered by **collective bargaining** agreements can be higher than the percentage of unionised employees when the collective bargaining agreements apply to both union and non-union members. Alternatively, the percentage of employees covered by collective bargaining agreements can be lower than the percentage of unionised employees. This may be the case when there are no collective bargaining agreements available or when the collective bargaining agreements do not cover all unionised employees.

Social Dialogue

AR 69. For calculating the information required by paragraph 63(a), the undertaking shall identify in which European Economic Area (EEA) countries it has significant employment (i.e., at least 50 employees representing at least 10% of its total employees). For these countries it shall report the percentage of **employees** in that country which are employed in establishments in which employees are represented by **workers' representatives**. Establishment is defined as any place of operations where the undertaking carries out a non-transitory economic activity with human means and goods. Examples include: a factory, a branch of a retail chain, or an undertaking's headquarters. For countries in which there is only one establishment the percentage reported shall be either 100% or 0%.

$$\frac{\text{Number of employees working in establishments with workers' representatives}}{\text{Number of employees}} \times 100$$

AR 70. The information required by this Disclosure Requirement shall be reported as follows

Table 1

Reporting template for collective bargaining coverage and social dialogue

Coverage Rate	Collective Bargaining Coverage		Social dialogue
	Employees – EEA (for countries with >50 empl. representing >10% total empl.)	Employees – Non-EEA (estimate for regions with >50 empl. representing >10% total empl)	Workplace representation (EEA only) (for countries with >50 empl. representing >10% total empl)
0-19%		Region A	
20-39%	Country A	Region B	
40-59%	Country B		Country A
60-79%			Country B
80-100%			

Disclosure Requirement S1-9 – Diversity metrics

AR 71. In preparing the disclosure on gender at top management, the undertaking shall use the definition of top management as one and two levels below the administrative and supervisory bodies unless this concept has already been defined with the undertaking's operations and differs from the previous description. If this is the case, the undertaking can use its own definition for top management and disclose that fact and its own definition.

Disclosure Requirement S1-10 – Adequate Wages

AR 72. The lowest **wage** shall be calculated for the lowest **pay** category, excluding interns and apprentices. This is to be based on the basic wage plus any fixed additional payments that are guaranteed to all **employees**. The lowest wage shall be considered separately for each country in which the undertaking has operations, except outside the EEA when the relevant adequate or minimum wage is defined at a sub national level.

AR 73. The **adequate wage** benchmark used for comparison with the lowest wage shall not be lower than:

- (a) in the EEA: the minimum wage set in accordance with Directive (EU) 2022/2041 of the European Parliament and of the Council ⁽¹⁰³⁾ on adequate minimum wages in the European Union. In the period until Directive (EU) 2022/2041 enters into application, where there is no applicable minimum **wage** determined by legislation or collective bargaining in an EEA country, the undertaking shall use an **adequate wage**

⁽¹⁰³⁾ Directive (EU) 2022/2041 of the European Parliament and of the Council of 19 October 2022 on adequate minimum wages in the European Union (OJ L 275, 25.10.2022, p. 33).

benchmark that is either not lower than the minimum wage in a neighboring country with a similar socio-economic status or not lower than a commonly-referenced international norm such as 60% of the country's median wage and 50% of the gross average wage.

(b) outside of the EEA:

- i. the wage level established in any existing international, national or sub-national legislation, official norms or collective agreements, based on an assessment of a wage level needed for a decent standard of living;
- ii. if none of the instruments identified in (i) exist, any national or sub-national minimum wage established by legislation or **collective bargaining**; or
- iii. if none of the instruments identified in (i) or (ii) exist, any benchmark that meets the criteria set out by the Sustainable Trade Initiative (IDH) ('Roadmap on Living Wages - A Platform to Secure Living Wages in Supply Chains'), including applicable benchmarks aligned with the Anker methodology, or provided by the Wage Indicator Foundation or Fair Wage Network, provided the primacy of collective bargaining for the establishment of terms and conditions of employment is ensured.

AR 74. Directive (EU) 2022/2041 on adequate minimum **wages** in the European Union references both indicative reference values commonly used at international level such as 60 % of the gross median wage and 50 % of the gross average wage, and/or indicative reference values used at national level. Data for the indicative values of 60% of the national median gross wage or 50% of the national average gross wage can be obtained from the European Labour Force Survey.

Disclosure Requirement S1-11 – Social protection

AR 75. **Social protection** refers to all the measures that provide access to health care and income support in cases of challenging life events such as the loss of a job, being sick and in need of medical care, giving birth and raising a child, or retiring and in need of a pension.

Disclosure Requirement S1-12 – Persons with disabilities

AR 76. When disclosing the information required in paragraph 77 regarding **persons with disabilities**, the undertaking shall provide any contextual information necessary to understand the data and how the data has been compiled (methodology). For example, information about the impact of different legal definitions of persons with disabilities in the different countries in which the undertaking has operations.

Disclosure Requirement S1-13 – Training and Skills Development metrics

AR 77. A regular performance review is defined as a review based on criteria known to the employee and his or her superior undertaken with the knowledge of the employee at least once per year. The review can include an evaluation by the worker's direct superior, peers, or a wider range of **employees**. The review can also involve the human resources department. In order to disclose the information required by paragraph 83 (a), the undertaking shall use the employee headcount figures provided in Disclosure Requirement ESRS S1-6 in the denominator to calculate the:

- (a) number/proportion of performance reviews per employee; and
- (b) number of reviews in proportion to the agreed number of reviews by the management.

AR 78. To disclose the average required per paragraph 83 (b), the undertaking shall perform the following calculation: total number of **training** hours offered to and completed by **employees** per gender category divided by the total number of employees per gender category. For the total training average and the average by gender, the head count figures for total employment and employment by gender reported in Disclosure Requirement ESRS S1-6 shall be used.

- AR 79. Employee categories are a breakdown of **employees** by level (such as senior management, middle management) or function (such as technical, administrative, production). This information is derived from the undertaking's own human resources system. In categorising the workforce, the undertaking shall define reasonable and meaningful employee categories which enable **users** of the information to understand different performance measures between the categories. The undertaking may present a category for executive and non- executive employees.

Disclosure Requirement S1-14 – Health and safety metrics

- AR 80. In relation to paragraph 88 (a), the percentage of its **own workforce** who are covered by the undertaking's health and safety management system shall be disclosed on a head count basis rather than a full-time equivalent basis.
- AR 81. With regard to paragraph 90, when the undertaking's health and safety management system, or certain parts thereof, has been subject to an internal audit or external certification, the undertaking may state this fact, or absence thereof, and the underlying standards for such audits/certifications, as applicable.
- AR 82. Fatalities may be reported separately for those resulting from **work-related injuries** and those resulting from **work-related ill health**.

Guidance on “work-related”

- AR 83. **Work-related injuries** and **work-related ill health** arise from exposure to hazards at work. Notwithstanding, other types of **incidents** can occur that are not connected with the work itself. For example, the following incidents are generally not considered to be work-related, unless otherwise specified in applicable national legislation:
- (a) a person in the workforce suffers a heart attack while at work that it is not connected with work;
 - (b) a person in the workforce driving to or from work is injured in a car accident (when driving is not part of the work and where the transport has not been organised by the undertaking); and
 - (c) a person in the workforce with epilepsy has a seizure at work that is not connected with work.
- AR 84. With regard to travelling for work purposes, injuries and ill health that occur while a person is travelling are work-related if, at the time of the injury or ill health, the person was engaged in work activities “in the interest of the employer”. Examples of such activities include travelling to and from customer contacts; conducting job tasks; and entertaining or being entertained to transact, discuss, or promote business (at the direction of the employer). If the undertaking is responsible for the transport commuting, **incidents** occurred while commuting are considered to be work-related. Nonetheless, incidents which arise during travel, outside of the undertaking's responsibility (i.e., regular commuting to and from work), may be reported separately provided that the undertaking has such data available across the undertaking.
- AR 85. With regard to working from home, injuries and ill health that occur when working from home are work-related, if the injury or ill health occurs while the person is performing work from home; and the injury or ill health is directly related to the performance of work rather than the general home environment or setting.
- AR 86. With regard to mental illness, it is considered to be work-related, if it has been notified voluntarily by the person concerned and it is supported by an opinion from a licensed healthcare professional with appropriate **training** and experience; and if such opinion states that the illness is work-related.

AR 87. Health issues resulting, for example, from smoking, drug and alcohol abuse, physical inactivity, unhealthy diets, and psychosocial factors unrelated to work are not considered work-related.

AR 88. Occupational diseases are not considered **work-related injuries** but are covered under **work-related ill health**.

Guidance on computing the rate of work-related injuries

AR 89. In computing the rate of work-related injuries, the undertaking shall divide the respective number of cases by the number of total hours worked by people in its **own workforce** and multiplied by 1 000 000. Thereby, these rates represent the number of respective cases per one million hours worked. A rate based on 1 000 000 hours worked indicates the number of work-related injuries per 500 full time people in the workforce over a 1-year timeframe. For comparability purposes a rate based on 1 000 000 hours worked shall be used also for undertakings with less than 500 people in the workforce.

AR 90. If the undertaking cannot directly calculate the number of hours worked, it may estimate this on the basis of normal or standard hours of work, taking into account entitlements to periods of paid leave of absence from work (for example, paid vacations, paid sick leave, public holidays) and explain this in its disclosures.

AR 91. An undertaking shall include fatalities as a result of work-related injury in the calculation of the number and rate of recordable work-related injuries.

Guidance on recordable work-related ill health

AR 92. Work-related ill health can include acute, recurring, and chronic health problems caused or aggravated by work conditions or practices. These include musculoskeletal disorders, skin and respiratory diseases, malignant cancers, diseases caused by physical agents (for example, noise-induced hearing loss, vibration-caused diseases), and mental illnesses (for example, anxiety, post-traumatic stress disorder). For the purpose of the required disclosures, the undertaking shall, at a minimum, include in its disclosure those cases outlined in the ILO List of Occupational Diseases.

AR 93. In the context of this Standard, work-related musculoskeletal disorders are covered under work-related ill health (and not injuries).

AR 94. The cases to be disclosed in paragraph 88(d) relate to cases of work-related ill health notified to the undertaking or identified by the undertaking through medical surveillance, during the reporting period. The undertaking might be notified of cases of work-related ill health through reports by affected people, compensation agencies, or healthcare professionals. The disclosure may include cases of work-related ill health that were detected during the reporting period among people who were formerly in the undertaking's workforce.

Guidance on the number of days lost

AR 95. The undertaking shall count the number of days lost such that the first full day and last day of absence shall be included. Calendar days should be considered for the calculation, thus days on which the affected individual is not scheduled for work (for example, weekends, public holidays) will count as lost days.

Disclosure Requirement S1-15 – Work-life balance

AR 96. Family-related leave include maternity leave, paternity leave, parental leave, and carers' leave that is available under national law or collective agreements. For the purpose of this Standard, these concepts are defined as:

- (a) maternity leave (also called pregnancy leave): employment-protected leave of absence for employed women directly around the time of childbirth (or, in some countries, adoption);

- (b) paternity leave: leave from work for fathers or, where and in so far as recognised by national law, for equivalent second parents, on the occasion of the birth or adoption of a child for the purposes of providing care;
- (c) parental leave: leave from work for parents on the grounds of the birth or adoption of a child to take care of that child, as defined by each Member State;
- (d) carers' leave from work: leave for workers to provide personal care or support to a relative, or a person who lives in the same household, in need of significant care or support for a serious medical reason, as defined by each Member State.

AR 97. With regard to paragraph 93 (a), employees entitled to family-related leave are those who are covered by regulations, organisational policies, agreements, contracts or **collective bargaining** agreements that contain family-related leave entitlements and have reported their entitlement to the undertaking or the undertaking is aware of the entitlement.

Disclosure Requirement S1-16 – Remuneration metrics (pay gap and total remuneration)

Pay gap

AR 98. When compiling the information required under paragraph 97 (a) for the gap in **pay** between its female and male employees (also known as the “gender pay gap”) the undertaking shall use the following methodology:

- (a) include all **employees'** gross hourly pay level; and
- (b) apply the following formula to calculate the gender pay gap:

$$\frac{(\text{Average gross hourly pay level of male employees} - \text{average gross hourly pay level of female employees})}{\text{Average gross hourly pay level of male employees}} \times 100$$

AR 99. When disclosing the information required under paragraph 97 (a), the undertaking shall provide any contextual information necessary to understand the data and how the data has been compiled (methodology). Information regarding how objective factors such as type of work and country of employment influence the gender **pay** gap may be reported.

AR 100. The measure of the undertaking's gender **pay** gap shall be reported for the current reporting period and, if reported in previous sustainability reports, for the previous two reporting periods.

Total remuneration Ratio

AR 101. When compiling the information required by paragraph 97 (b), the undertaking shall:

- (a) include all **employees**;
- (b) consider, depending on the undertaking's remuneration policies, all of the following:
 - i. base salary, which is the sum of guaranteed, short-term, and non-variable cash compensation;
 - ii. benefits in cash, which is the sum of the base salary and cash allowances, bonuses, commissions, cash profit-sharing, and other forms of variable cash payments;
 - iii. benefits in kind, such as cars, private health insurance, life insurance, wellness programs; and
 - iv. direct remuneration, which is the sum of benefits in cash, benefits in kind and total fair value of all annual long-term incentives (for example, stock option awards, restricted stock shares or units, performance stock shares or units, phantom stock shares, stock appreciation rights, and long-term cash awards).

- (c) apply the following formula for the **annual total remuneration** ratio:

$$\frac{\text{Annual total remuneration for the undertaking's highest paid individual}}{\text{Median employee annual total remuneration (excluding the highest – paid individual)}}$$

AR 102. To illustrate the contextual information, the undertaking may provide an explanation to understand the data and how the data has been compiled (methodology). Quantitative data, such as the **annual total remuneration** ratio, may not be sufficient on its own to understand **pay** disparity and its drivers. For example, pay ratios can be influenced by the size of the undertaking (for example, revenue, number of **employees**), its sector, its employment strategy (for example, reliance on outsourced workers or part-time employees, a high degree of automation), or currency volatility.

Disclosure Requirement S1-17 –Incidents, complaints and severe human rights impacts

AR 103. In addition to the information required by paragraphs 103 and 104, the undertaking may disclose the status of **incidents** and/or complaints and actions taken with reference to the following:

- (a) incidents reviewed by the undertaking;
- (b) remediation plans being implemented;
- (c) remediation plans that have been implemented, with results reviewed through routine internal management review processes; and
- (d) incidents no longer subject to action.

AR 104. If the undertaking compiles the information described in AR 105, it shall consider the following:

- (a) an **incident** is no longer subject to action if it is resolved, the case is completed, or no further action is required by the undertaking. For example, an incident for which no further action is required can include cases that are withdrawn or where the underlying circumstances that led to the incident no longer exist;
- (b) remedial action is directed toward the alleged harasser and the alleged victim. Remedial action toward the victim may include offering to pay his/her expenses for counselling sessions, offering the victim some paid time off, offering to reinstate sick/vacation days if the victim has incurred any expenses due to the **harassment** (such as having used sick or vacation days); and
- (c) remedial action toward the harasser may include giving the harasser a verbal and/or written warning, mandating anti-harassment counselling or sending the harasser to an appropriate seminar, harassment awareness and prevention **training**. A suspension without **pay** may also be an option. If the harasser has been disciplined earlier but his/her harassment does not cease, then more serious discipline may be required.

AR 105. Severe human rights **incidents** include instances of lawsuits, formal complaints through the undertaking or third-party complaint mechanisms, serious allegations in public reports or the media, where these are connected to the undertaking's **own workforce**, and the fact of the incidents is not disputed by the undertaking, as well as any other severe impacts of which the undertaking is aware.

AR 106. In addition to the information required by paragraph 104 above, the undertaking may disclose the number of severe human rights **incidents** where the undertaking played a role securing **remedy** for those affected during the reporting period.

Appendix A.1

Application Requirements for ESRS 2 related disclosures

This appendix is an integral part of ESRS S1 *Own workforce*. It supports the application of the disclosure requirements from ESRS 2 set out in this standard and has the same authority as the other parts of this Standard. It provides a non-exhaustive list of the factors to be considered by the undertaking when complying with ESRS 2 SBM-2 and ESRS 2 SBM-3. This appendix does not provide definitions of the terms mentioned below. All defined terms can be found in Annex II: Acronyms and Glossary of Terms.

Social and human rights matters	Non-exhaustive list of factors to consider in Materiality Assessment
Secure employment	% of employees with temporary contracts, ratio of non-employees to employees, social protection
Working time	% of employees with part time or zero-hour contracts, employee satisfaction with working time
Adequate wages	EU, national or local legal definitions of adequate wages, fair wages, and minimum wages
Social dialogue / existence of work councils / information, consultation and participation rights of workers	Extent of workplace, cross-border and board-level representation through trade unions and/or works councils
Freedom of association/Collective bargaining including the rate of workforce covered by collective agreements	% of own workforce covered by collective bargaining agreements, work stoppages
Work-life balance	Family-related leave, flexible working hours, access to childcare
Health and safety	Coverage by H&S system, rate of fatalities, non-fatal accidents, work-related ill health, work days lost
Gender equality and equal pay for work of equal value	% of women in top management and workforce, male-female wage gap
Training and skills development	Amount and distribution of training, % of employees with regular performance and development reviews
The employment and inclusion of people with disabilities	% employment and accessibility measures for employees with disabilities
Measures against violence and harassment in the workplace	Prevalence of violence and harassment
Diversity	Representation of women and /or ethnic groups or minorities in own workforce. Age distribution in own workforce. Percentage of persons with disabilities within the own workforce.
Child labour	Type of operations and geographical areas at risk of child labour
Forced labour	Type of operations and geographical areas at risk of forced labour

Appendix A.2

Application Requirements for ESRS S1-1 Policies related to own workforce

This appendix is an integral part of the ESRS S1 *Own workforce* and has the same authority as the other parts of this Standard. It supports the application of the requirements for Disclosure Requirement ESRS S1-1 for social and human rights matters with examples of disclosures.

Social and human rights matters	Examples of policies:
Secure employment	No-layoff policy, limits on renewing temporary contracts, employer provision of social protection where state provision is lacking
Working time	Limitations on overtime, long and split shifts, and night and weekend work, adequate scheduling of lead times
Adequate wages	Policy to ensure all people in own workforce receive an adequate wage
Social dialogue / existence of work councils / information, consultation and participation rights of workers	Policy to encourage institutions for social dialogue, regular information and consultation with worker representatives, consultation before final decisions on employment-related issues are reached
Freedom of association/Collective bargaining including the rate of workers covered by collective agreements	Non-interference in trade union formation and recruitment (including trade union access to undertakings), bargaining in good faith, adequate time off for workers' representatives to carry out their duties, facilities and dismissal protection for workers' representatives, no discrimination of trade union members and workers' representatives
Work-life balance	Provision of family leave, flexible working time, access to day care facilities for all employees
Health and safety	Coverage of all own workforce in H&S management system
Gender equality and equal work for equal pay	Policy for gender equality and equal pay for equal work
Training and skills development	Policy for enhancing skills and career prospects for employees
The employment and inclusion of people with disabilities	Policy for making workplaces accessible to persons with disabilities
Measures against violence and harassment in the workplace	Zero tolerance policy for violence and harassment at workplace
Diversity	Policy for inclusiveness (i.e., ethnic diversity or minority groups) and positive action.
Child labour	Policy for identifying where child labour occurs, identifying where exposure of young workers to hazardous work occurs and preventing risk of exposure
Forced labour	Policy for identifying where forced labour occurs and reducing risk of forced labour

Appendix A.3

Application Requirements for ESRS S1–4 Taking action on material impacts on own workforce, and approaches to mitigating material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions

This appendix is an integral part of the ESRS S1 *Own workforce* and has the same authority as the other parts of this Standard. It supports the application of the requirements for Disclosure Requirement ESRS S1-4 for social and human rights matters with examples of disclosures:

Social and human rights matters	Examples of actions:
Secure employment	Offer permanent contracts to employees with temporary contracts, implement plans for social protection where state provision is lacking
Working time	Shift work rotation, extend advance notice of scheduling, reduction of excessive overtime
Adequate wages	Negotiation of fair wages in collective bargaining agreements, verification that employment agencies pay a fair wage
Social dialogue / existence of work councils / information, consultation and participation rights of workers	Expansion of sustainability issues dealt with in social dialogue, increase in number of meetings, increase in resources for works councils
Freedom of association/Collective bargaining including the rate of workers covered by collective agreements	Expansion of sustainability issues dealt with in collective bargaining, increase in resources for workers' representatives
Work-life balance	Expand family leave eligibility and flexible working time arrangements, increasing provision of day care
Health and safety	Increase health & safety training, investment in safer equipment
Gender equality and equal work for equal pay	Targeted recruitment and promotion of women, reduction in pay gap through negotiation of collective bargaining agreements
Training and skills development	Skills audits, training to fill skills gaps
The employment and inclusion of people with disabilities	Increasing accessibility measures
Measures against violence and harassment in the workplace	Improving complaint mechanisms, increasing sanctions against violence and harassment, providing training for prevention to management
Diversity	Training on diversity and inclusion (including ethnicity considerations), targeted recruitment of underrepresented groups
Child labour	Age verification measures, partnerships with organizations to eliminate child labour, measures against worst forms of child labour
Forced labour	Measures ensuring free consent to employment without threat of penalty, contracts in understandable language, freedom to terminate employment without penalty, disciplinary measures should not obligate labour, free consent to overtime, freedom of movement (including to exit workplace), fair treatment for migrant workers, monitoring employment agencies.

Appendix A.4

Application Requirements for ESRS S1–5 Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

This appendix is an integral part of the ESRS S1 *Own workforce* and has the same authority as the other parts of this Standard. It supports the application of the requirements for Disclosure Requirement ESRS S1-5 for social and human rights matters with examples of disclosures:

Social and human rights matters	Examples of targets:
Secure employment	Increasing the % of workforce with employment contracts (especially permanent contracts) and social protection
Working time	Increasing the % of workforce with flexible working time arrangements
Adequate wages	Ensuring that all people in own workforce receive an adequate wage
Social dialogue / existence of work councils / information, consultation and participation rights of workers	Extending social dialogue to more establishments and/or countries
Freedom of association/Collective bargaining including the rate of workers covered by collective agreements	Increasing the % of own workforce covered by collective bargaining, negotiating collective bargaining agreements over sustainability issues
Work-life balance	Extending work-life measures to a greater % of own workforce
Health and safety	Reducing the rate of injuries and worktime lost due to injuries
Gender equality and equal work for equal pay	Increasing the % of women in the workforce and top management, reducing the male-female wage gap
Training and skills development	Increasing the % of employees receiving training and regular skills development reviews
The employment and inclusion of people with disabilities	Increasing the % of persons with disabilities in own workforce
Measures against violence and harassment in the workplace	Extending measures to all workplaces
Diversity	Increasing the % of underrepresented groups in own workforce and top management
Child labour	Extending measures for preventing exposure of young persons to hazardous work to a greater % of operations
Forced labour	Extending measures for preventing forced labour to a greater number of operations

ESRS S2

WORKERS IN THE VALUE CHAIN

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- Disclosure Requirement S2-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

Objective

1. The objective of this Standard is to specify disclosure requirements which will enable **users** of the **sustainability statement** to understand material **impacts** on **value chain workers** connected with the undertaking's own operations and value chain, including through its products or services, as well as through its business relationships, and its related material risks and opportunities, including:
 - (a) how the undertaking affects workers in its value chain, in terms of material positive and negative actual or potential impacts;
 - (b) any **actions** taken, and the result of such actions, to prevent, mitigate or remediate actual or potential negative impacts, and to address risks and opportunities;
 - (c) the nature, type and extent of the undertaking's material risks and opportunities, including those related to its impacts and **dependencies** on workers in the value chain, and how the undertaking manages them; and
 - (d) the **financial effects** on the undertaking over the short-, medium- and long-term of material risks and opportunities, including those arising from the undertaking's impacts and dependencies on workers in the value chain.
2. In order to meet the objective, this Standard requires an explanation of the general approach the undertaking takes to identify and manage any material actual and potential **impacts** on **value chain** workers in relation to:
 - (a) working conditions (for example, secure employment, working time, **adequate wage**, **social dialogue**, freedom of association, including the existence of work councils, **collective bargaining**, **work-life balance** and health and safety);
 - (b) **equal treatment** and **opportunities** for all (for example, gender equality and equal **pay** for work of equal value, **training** and skills **development**, the employment and inclusion of **persons with disabilities**, measures against violence and **harassment** in the workplace, and diversity);
 - (c) other work-related rights (for example, **child labour**, **forced labour**, adequate housing, water and sanitation and privacy).
3. This Standard also requires an explanation of how such impacts, as well as the undertaking's **dependencies** on **value chain workers**, can create material risks or opportunities for the undertaking. For example, negative impacts on value chain workers may disrupt the undertaking's operations (through customers refusing to buy its products or state agencies impounding its goods) and harm its reputation. Conversely, respect for workers' rights and active support programmes (for example through financial literacy initiatives) can bring business opportunities, such as more reliable supply or widening of the future **consumer** base.
4. This Standard covers all workers in the undertaking's upstream and downstream **value chain** who are or can be materially impacted by the undertaking, including impacts that are connected with the undertaking's own operations and value chain, including through its products or services, as well as through its business relationships. This includes all workers who are not included in the scope of "**own workforce**" ("**own workforce**" includes **employees**, individual contractors, i.e., self-employed workers, and workers provided by third party undertakings primarily engaged in 'employment activities'). **Own workforce** is covered in ESRS S1 *Own workforce*. See AR 3 for examples of what is included in the scope of this Standard.

Interaction with other ESRS

5. This Standard applies when material **impacts** on and/or material **risks** and **opportunities** related to **value chain workers** have been identified through the **materiality** assessment process laid out in ESRS 2 *General disclosures*.
6. This Standard shall be read in conjunction with ESRS 1 *General requirements*, and ESRS 2, as well as the ESRS S1, ESRS S3 *Affected communities* and ESRS S4 *Consumers and end-users*.
7. The reporting under this Standard shall be consistent, coherent and where relevant clearly linked with reporting on the undertaking's **own workforce** under ESRS S1, in order to ensure effective reporting.

Disclosure Requirements

ESRS 2 General disclosures

8. The requirements of this section should be read in conjunction with the disclosures required by ESRS 2 on Strategy (SBM). The resulting disclosures shall be presented alongside the disclosures required by ESRS 2, except for SBM-3 *Material impacts, risks and opportunities and their interaction with strategy and business model*, for which the undertaking has an option to present the disclosures alongside the topical disclosure.

Strategy

Disclosure Requirement related to ESRS 2 SBM-2 Interests and views of stakeholders

9. When responding to ESRS 2 SBM-2 paragraph 43, the undertaking shall disclose how the interests, views, and rights of its **value chain workers** could be materially impacted by the undertaking, including respect for their human rights, inform its strategy and business model. Value chain workers are a key group of affected **stakeholders**.

Disclosure Requirement related to ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

10. When responding to ESRS 2 SBM-3 paragraph 48, the undertaking shall disclose:
 - (a) whether and how actual and potential impacts on **value chain workers**, as identified in ESRS 2 IRO-1 *Description of the processes to identify and assess material impacts, risks and opportunities*: (i) originate from or are connected to the undertaking's strategy and business models, and (ii) inform and contribute to adapting the undertaking's strategy and business model; and
 - (b) the relationship between on the one hand its material risks and opportunities arising from impacts and **dependencies** on **value chain** workers, and on the other hand its strategy and business model.
11. When fulfilling the requirements of paragraph ESRS 2 SBM-3 paragraph 48, the undertaking shall disclose whether all **value chain workers** who are likely to be materially impacted by the undertaking, including impacts that are connected with the undertaking's own operations and value chain, including through its products or services, as well as through its business relationships, are included in the scope of its disclosure under ESRS 2. In addition, the undertaking shall provide the following information:
 - (a) a brief description of the types of value chain workers who could be materially impacted by the undertaking, including impacts that connected with the undertaking's own operations and value chain, including through its products or services, as well as through its business relationships, and specify whether they are:
 - i. workers working on the undertaking **site** but who are not part of **own workforce**, i.e., who are not self-employed workers or workers provided by third party undertakings primarily engaged in employment activities (covered through ESRS S1);
 - ii. workers working for entities in the undertaking's upstream value chain (e.g., those involved in the extraction of metals or minerals or harvesting of commodities, in refining, manufacturing or other forms of processing);
 - iii. workers working for entities in the undertaking's downstream value chain (e.g., those involved in the activities of logistics or distribution providers, franchisees, retailers);
 - iv. workers working in the operations of a joint venture or special purpose vehicle involving the reporting undertaking;
 - v. workers who (within the prior categories or additionally) are particularly vulnerable to negative impacts whether due to their inherent characteristics or to the particular context, such as trade unionists, migrant workers, home workers, women or young workers.

- (b) any geographies, at country level or other levels, or commodities for which there is a significant risk of **child labour**, or of **forced labour** or compulsory labour, among workers in the undertaking's value chain ⁽¹⁰⁴⁾;
 - (c) in the case of material negative impacts, whether they are either (i) widespread or systemic in contexts where the undertaking operates or has sourcing or other **business relationships** (e.g., **child labour** or **forced labour** in particular commodity **supply chains** in specific countries or regions), or (ii) related to individual **incidents** (e.g., an industrial accident or an oil spill) or to specific business relationships. This includes consideration of impacts on **value chain workers** that may arise from the transition to greener and climate-neutral operations. Potential impacts include impacts associated with innovation and restructuring, closure of mines, increased mining of minerals needed for the transition to a sustainable economy, and solar panel production;
 - (d) in the case of material positive impacts, a brief description of the activities that result in the positive impacts (e.g., updated purchasing practices, capacity-building to supply chain workers), including providing opportunities for the workforce such as job creation and upskilling in the context of a 'just transition', and the types of value chain workers that are positively affected or could be positively affected; the undertaking may also disclose whether the positive impacts occur in specific countries or regions; and
 - (e) any material risks and opportunities for the undertaking arising from impacts and **dependencies** on value chain workers.
12. In describing the main types of **value chain workers** who are or could be negatively affected, based on the **materiality** assessment set out in ESRS 2 IRO-1, the undertaking shall disclose whether and how it has developed an understanding of how workers with particular characteristics, those working in particular contexts, or those undertaking particular activities may be at greater risk of harm.
13. The undertaking shall disclose which, if any, of its material **risks** and **opportunities** arising from **impacts** and **dependencies** on its **value chain workers** relate to specific groups of value chain workers (for example, particular age groups, workers in a particular factory or country) rather than to all of the value chain workers.

Impact, risk and opportunity management

Disclosure Requirement S2-1 – Policies related to value chain workers

14. The undertaking shall describe its policies adopted to manage its material impacts on value chain workers, as well as associated material risks and opportunities.
15. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking has **policies** that address the identification, assessment, management and/or **remediation** of material **impacts** on **value chain workers** specifically, as well as policies that cover material **risks** or **opportunities** related to value chain workers.
16. The disclosure required by paragraph 14 shall contain the information on the undertaking's policies to manage its material impacts, risks and opportunities related to **value chain workers** in accordance with ESRS 2 MDR-P *Policies adopted to manage material sustainability matters*. In addition, the undertaking shall specify whether such policies cover specific groups of **value chain workers** or all value chain workers.

⁽¹⁰⁴⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from additional indicators related to principal adverse impacts as set out by indicators number 12 and number 13 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Operations and suppliers at significant risk of incidents of child labour" and "Operations and suppliers at significant risk of incidents of forced or compulsory labour").

17. The undertaking shall describe its human rights **policy** commitments ⁽¹⁰⁵⁾ that are relevant to **value chain workers**, including those processes and mechanisms to monitor compliance with the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises ⁽¹⁰⁶⁾. In its disclosure, it shall focus on those matters that are material in relation to, as well as the general approach to:
 - (a) respect for the human rights, including labour rights, of workers;
 - (b) engagement with value chain workers; and
 - (c) measures to provide and/or enable **remedy** for human rights impacts.
18. The undertaking shall state whether its policies in relation to **value chain workers** explicitly address trafficking in human beings ⁽¹⁰⁷⁾, **forced labour** or compulsory labour and **child labour**. It shall also state whether the undertaking has a **supplier** code of conduct ⁽¹⁰⁸⁾.
19. The undertaking shall disclose whether and how its policies with regard to **value chain workers** are aligned with internationally recognised instruments relevant to value chain workers, including the United Nations (UN) Guiding Principles on Business and Human Rights ⁽¹⁰⁹⁾. The undertaking shall also disclose the extent to which cases of non-respect of the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises that involve value chain workers have been reported in its upstream and downstream value chain and, if applicable, an indication of the nature of such cases ⁽¹¹⁰⁾.

Disclosure Requirement S2-2 – Processes for engaging with value chain workers about impacts

20. The undertaking shall disclose its general processes for engaging with value chain workers and their representatives about actual and potential impacts on them.

⁽¹⁰⁵⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #9 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments (“Lack of a human rights policy”).

⁽¹⁰⁶⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #11 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments (“Lack of processes and compliance mechanisms to monitor compliance with UN Global Compact principles and OECD Guidelines for Multinational Enterprises”).

⁽¹⁰⁷⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #11 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments (“Lack of processes and measures for preventing trafficking in human beings”).

⁽¹⁰⁸⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #4 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments (“Lack of a supplier code of conduct”).

⁽¹⁰⁹⁾ This information supports the needs of benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator “Exposure of the benchmark portfolio to companies without due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8” in section 1 and 2 of Annex II.

⁽¹¹⁰⁾ This information supports the information needs of: financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #10 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments; and benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicators “Number of benchmark constituents subject to social violations (absolute number and relative divided by all benchmark constituents), as referred to in international treaties and conventions, United Nations principles and, where applicable, national law” and “Exposure of the benchmark portfolio to companies without due diligence policies on issues addressed by the fundamental International Labour Organisation Conventions 1 to 8” in section 1 and 2 of Annex II.

21. The objective of this Disclosure Requirement is to enable an understanding of whether and how the undertaking engages, as part of its ongoing due diligence process, with **value chain workers** and their legitimate representatives, or with **credible proxies**, about material actual and potential positive and/or negative impacts that do or are likely to affect them, and whether and how perspectives of value chain workers are taken into account in the decision-making processes of the undertaking.
22. The undertaking shall disclose whether and how the perspectives of **value chain workers** inform its decisions or activities aimed at managing the actual and potential impacts on value chain workers. This shall include, where relevant, an explanation of:
 - (a) whether engagement occurs with value chain workers or their **legitimate representatives** directly, or with **credible proxies** that have insight into their situation;
 - (b) the stage(s) at which engagement occurs, the type of engagement, and the frequency of the engagement;
 - (c) the function and the most senior role within the undertaking that has operational responsibility for ensuring that this engagement happens, and that the results inform the undertaking's approach;
 - (d) where applicable, Global Framework Agreements or for agreements that the undertaking has with global union federations related to respect of human rights of workers in the value chain, including their right to bargain collectively, and including an explanation of how the agreement enables the undertaking to gain insight into those workers' perspectives; and
 - (e) where applicable, how the undertaking assesses the effectiveness of its engagement with workers in the value chain, including, where relevant, any agreements or outcomes that result.
23. Where applicable, the undertaking shall disclose the steps it takes to gain insight into the perspectives of workers that may be particularly vulnerable to impacts and/or marginalised (for example, women workers, migrant workers, workers with disabilities).
24. If the undertaking cannot disclose the above required information because it has not adopted a general process to engage with workers in the value chain, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a process in place.

Disclosure Requirement S2-3 – Processes to remediate negative impacts and channels for value chain workers to raise concerns

25. The undertaking shall describe the processes it has in place to provide for or cooperate in the remediation of negative impacts on value chain workers that the undertaking is connected with, as well as channels available to value chain workers to raise concerns and have them addressed.
26. The objective of this Disclosure Requirement is to enable an understanding of the formal means by which **value chain workers** can make their concerns and needs known directly to the undertaking and/or through which the undertaking supports the availability of such channels (for example, **grievance mechanisms**) in the workplace of value chain workers, how follow up is carried out with these workers regarding the issues raised, and the effectiveness of these channels.
27. The undertaking shall describe:
 - (a) its general approach to and processes for providing or contributing to **remedy** where it has caused or contributed to a material negative impact on **value chain workers**, including whether and how the undertaking assesses that the remedy provided is effective;
 - (b) any specific channels it has in place for value chain workers to raise their concerns or needs directly with the undertaking and have them addressed, including whether these are established by the undertaking itself and/or whether they are third-party mechanisms;

- (c) the processes through which it supports or requires the availability of such channels in the workplace of value chain workers; and
 - (d) how it tracks and monitors issues raised and addressed, and how it ensures the effectiveness of the channels, including through involvement of **stakeholders** who are the intended **users**.
28. The undertaking shall disclose whether and how it assesses that **value chain workers** are aware of and trust these structures or processes as a way to raise their concerns or needs and have them addressed. In addition, the undertaking shall disclose whether it has policies in place regarding the protection of individuals that use them against retaliation. If such information has been disclosed in accordance with ESRS G1-1, the undertaking may refer to that information.
29. If the undertaking cannot disclose the above required information because it has not adopted a channel for raising concerns and/or does not support the availability of such a channel in the workplace of **value chain workers**, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a channel or processes in place.

Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions

30. The undertaking shall disclose how it takes action to address material impacts on value chain workers, and to manage material risks and pursue material opportunities related to value chain workers and the effectiveness of those actions.
31. The objective of this Disclosure Requirement is twofold. Firstly, it is to enable an understanding of any actions or initiatives through which the undertaking seeks to:
- (a) prevent, mitigate and **remediate** the negative material **impacts** on **value chain workers**; and/or
 - (b) achieve positive material impacts for value chain workers.

Secondly, it is to enable an understanding of the ways in which the undertaking is addressing the material **risks** and pursuing the material **opportunities** related to **workers in the value chain**.

The undertaking shall provide a summarised description of the action plans and resources to manage its material impacts, risks, and opportunities related to **value chain workers** as per ESRS 2 MDR-A *Actions and resources in relation to material sustainability matters*.

32. In relation to material **impacts**, the undertaking shall describe:
- (a) actions taken, planned or underway to prevent or mitigate material negative impacts on **value chain workers**;
 - (b) whether and how it has taken action to provide or enable **remedy** in relation to an actual material impact;
 - (c) any additional **actions** or initiatives it has in place with the primary purpose of delivering positive impacts for value chain workers; and
 - (d) how it tracks and assesses the effectiveness of such **actions** and initiatives in delivering intended outcomes for value chain workers.
33. In relation to paragraph 30, the undertaking shall describe:
- (a) the processes through which it identifies what action is needed and appropriate in response to a particular actual or potential negative impact on **value chain workers**;
 - (b) its approach to taking action in relation to specific material negative impacts on value chain workers, including any action in relation to its own purchasing or other internal practices, as well as capacity- building or other forms of engagement with entities in the value chain, or forms of collaborative action with industry peers or other relevant parties; and
 - (c) how it ensures that processes to provide or enable **remedy** in the event of material negative impacts are available and effective in their implementation and outcomes.

34. In relation to material risks and opportunities, the undertaking shall describe:
 - (a) what action is planned or underway to mitigate material risks for the undertaking arising from its impacts and **dependencies** on **value chain workers** and how it tracks effectiveness in practice; and
 - (b) what action is planned or underway to pursue material opportunities for the undertaking in relation to value chain workers.
35. The undertaking shall disclose whether and how it takes action to avoid causing or contributing to material negative impacts on **value chain** workers through its own practices, including, where relevant, in relation to procurement, sales and data use. This may include disclosing what approach is taken when tensions arise between the prevention or mitigation of material negative impacts and other business pressures.
36. The undertaking shall also disclose whether severe human rights issues and **incidents** connected to its upstream and downstream **value chain** have been reported and, if applicable, disclose these ⁽¹¹¹⁾.
37. When disclosing the information required under paragraph 32 (c), the undertaking shall consider ESRS 2 (see ESRS 2 MDR-T Tracking effectiveness of policies and **actions** through **targets**) if it evaluates the effectiveness of an action by setting a target.
38. The undertaking shall disclose what resources are allocated to the management of its material impacts, with information that enables **users** to gain an understanding of how the material impacts are managed.

Metrics and targets

Disclosure Requirement S2-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

39. The undertaking shall disclose the time-bound and outcome-oriented targets it may have set related to:
 - (a) **reducing negative impacts on value chain workers; and/or**
 - (b) **advancing positive impacts on value chain workers; and/or**
 - (c) **managing material risks and opportunities related to value chain workers.**
40. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking is using time-bound and outcome-oriented **targets** to drive and measure its progress in addressing material negative impacts, and/or advancing positive impacts on **value chain** workers, and/or in managing material risks and opportunities related to value chain workers.
41. The summarised description of the **targets** to manage its material impacts, risks and opportunities related to **value chain workers** shall contain the information requirements defined in ESRS 2 MDR-T.
42. The undertaking shall disclose the process for setting the **targets**, including whether and how the undertaking engaged directly with workers in the value chain, their legitimate representatives, or with **credible proxies** that have insight into their situation in:
 - (a) setting any such targets;
 - (b) tracking the undertaking's performance against them; and
 - (c) identifying any lessons or improvements as a result of the undertaking's performance.

⁽¹¹¹⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #14 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Number of identified cases of severe human rights issues and incidents").

Appendix A

Application Requirements

This appendix is an integral part of the ESRS S2 *Workers in the value chain*. It supports the application of the disclosure requirements set out in this standard and has the same authority as the other parts of ESRS S2.

Objective

- AR 1. In addition to the issues listed in paragraph 2, the undertaking may also consider disclosing information about other issues relevant to a material impact for a shorter period of time, for instance initiatives regarding the health and safety of **value chain workers** during a pandemic.
- AR 2. The overview of social and human rights matters provided in paragraph 2 is not meant to imply that all of these issues should be disclosed in each Disclosure Requirement in this Standard. Rather, it provides a list of matters that the undertaking shall consider in its **materiality** assessment (ref. to ESRS 1 chapter 3 *Double materiality as the basis for sustainability disclosures* and ESRS 2 IRO-1) related to **value chain workers** and, as appropriate, disclose as material impacts, risks and opportunities within the scope of this Standard.
- AR 3. Examples of workers that fall within the scope of this Standard are:
- (a) workers of outsourced services working in the workplace of the undertaking (e.g., third party catering or security workers);
 - (b) workers of a **supplier** contracted by the undertaking who work on the supplier's premises using the supplier's work methods;
 - (c) workers for a 'downstream' entity which purchases goods or services from the undertaking;
 - (d) workers of an equipment supplier to the undertaking who, at a workplace controlled by the undertaking, perform regular maintenance on the supplier's equipment (e.g., photocopier) as stipulated in the contract between the equipment supplier and the undertaking; and
 - (e) workers deeper in the **supply chain** who are extracting commodities that are then processed into components that go in the undertaking's products.

ESRS 2 General disclosures*Strategy***Disclosure Requirement related to ESRS 2 SBM-2 - Interests and views of stakeholders**

- AR 4. Disclosure Requirement ESRS 2 SBM-2 requires the undertaking to provide an understanding of whether and how it considers the role that its strategy and **business model** may play in creating, exacerbating or mitigating significant material **impacts** on **value chain** workers, and whether and how the business model and strategy are adapted to address such material impacts.
- AR 5. While **value chain** workers may not be engaging with the undertaking at the level of its strategy or business model, their views can inform the undertaking's assessment of its strategy and business model. The undertaking may disclose the views of the value chain workers and value chain workers' representatives.

Disclosure Requirement related to ESRS 2 SBM-3 - Material impacts, risks and opportunities and their interaction with strategy and business model

- AR 6. **Impacts** on **value chain** workers can originate in the undertaking's strategy or **business model** in a number of different ways. For example, impacts may relate to the undertaking's value proposition (such as providing lowest cost products or services, or high-speed delivery, in ways that put pressure on labour rights in the upstream and

downstream value chains), its **value chain** (such as relying on commodities of unclear provenance, without visibility on impacts on workers), or its cost structure and the revenue model (e.g. shifting inventory risk to suppliers, with knock-on effects on the labour rights of their workers).

- AR 7. Impacts on **value chain workers** that originate in the strategy or the **business model** can also bring material **risks** to the undertaking. For example, in the context of a pandemic or other severe health crisis, undertakings that rely on contingent labour with little to no access to sick care and health benefits may face severe operational and business continuity risks as workers have no choice but to keep working while sick, further exacerbating the spread of the disease and causing major **supply chain** breakdowns. Another example is where selling goods premised on cheapest prices for customers create operational risks as **suppliers** under extreme price pressure may sub-contract production, leading to lower quality, and a longer, less transparent, and less controllable supply chain. Reputational and business opportunity risks linked to the exploitation of low-skilled, low-paid workers in sourcing geographies with minimal protections for them are also increasing with media backlash and **consumer** preferences moving to more ethically sourced or sustainable goods.
- AR 8. Examples of particular characteristics of **value chain workers** that may be considered by the undertaking when responding to paragraph 12 relate to young workers that may be more susceptible to **impacts** on their physical and mental development, or women workers in a context where women are routinely discriminated against in the terms and conditions of work, or migrant workers in a context where the market for the supply of labour is poorly regulated and workers are routinely charged recruitment fees. For some workers, the inherent nature of the activity that they are required to undertake may put them at risk (e.g., workers required to handle chemicals or operate certain equipment or low paid workers who are on “zero hours” contracts).
- AR 9. With regard to paragraph 13, material risks could also arise because of the undertaking's dependency on **value chain workers** where low likelihood but high impact events may trigger **financial effects**; for example, where a global pandemic leads to severe health impacts on workers at all stages of the value chain resulting in major disruptions to production and distribution. Other examples of risk related to the undertaking's dependency on value chain workers include a shortage in skilled workers or political decisions or legislation affecting value chain workers working for logistics providers. For example, if some workers in the undertaking's value chain are at risk of **forced labour**, and the undertaking is importing products into countries where the law allows for the confiscation of imported goods that are suspected of being made with forced labour.

Impact, risk and opportunity management

Disclosure Requirement S2-1 – Policies related to value chain workers

- AR 10. If the policies are limited to the undertaking's **own workforce** and do not cover workers in upstream and downstream entities and relationships, they shall be disclosed under ESRS S1 and not in relation to this requirement.
- AR 11. If the disclosures under ESRS S1 include information relevant for workers in the value chain, a reference to this can be made here; disclosures on the remaining elements shall then be fulfilled under this Disclosure Requirement.
- AR 12. The undertaking may disclose explanations of significant changes to the policies adopted during the reporting year (e.g., new expectations for **suppliers**, new or additional approaches to due diligence and remedy).
- AR 13. The **policy** may take the form of a stand-alone policy regarding **value chain** workers or be included in a broader document such as a code of ethics or a general sustainability policy that has already been disclosed by the undertaking as part of another ESRS. In those cases, the undertaking shall provide an accurate cross-reference to identify the aspects of the policy that satisfy the requirements of this Disclosure Requirement.

- AR 14. When disclosing the alignment of its policies with the UN Guiding Principles on Business and Human Rights, the undertaking shall consider that the Guiding Principles refer to the International Bill of Rights, which consist of the Universal Declaration of Human Rights and the two Covenants that implement it, as well as the International Labour Organisation's Declaration on Fundamental Rights and Principles at Work and the core conventions that underpin it, and may disclose its alignment with these instruments.
- AR 15. When disclosing how external-facing policies are embedded, the undertaking may, for example, consider internal policies of responsible sourcing, and alignment with other policies relevant to **value chain** workers, for example, regarding **forced labour**. With regard to **supplier** codes of conduct that the undertaking may have, the summary shall indicate whether they include provisions addressing the safety of workers, precarious work (for example, the use of workers on short-term or limited hours contracts, workers employed via third parties, sub-contracting to third parties or use of informal workers), human trafficking, the use of forced labour or **child labour**, and whether such provisions are fully in line with applicable ILO standards.
- AR 16. The undertaking may provide an illustration of the types of communication of its policies to those individuals, group of individuals or entities for whom they are relevant, either because they are expected to implement them (for example, the undertaking's **employees**, contractors and **suppliers**), or because they have a direct interest in their implementation (for example, own workers, investors). It may disclose communication tools and channels (for example, flyers, newsletters, dedicated websites, social media, face to face interactions, workers' representatives), aimed at ensuring that the **policy** is accessible and that different audiences understand its implications. The undertaking may also explain how it identifies and removes potential barriers for dissemination, such as through translation into relevant languages or the use of graphic depictions.

Disclosure Requirement S2-2 – Processes for engaging with value chain workers about impacts

- AR 17. When describing which function or role has operational responsibility for such engagement and/or ultimate accountability, the undertaking may disclose whether this is a dedicated role or function or part of a broader role or function, and whether any capacity building activities have been offered to support the staff to undertake engagement. If it cannot identify such a position or function, it may state that this is the case. This disclosure could also be fulfilled by making reference to information disclosed according to ESRS 2 GOV-1 *The role of the administrative, management and supervisory bodies*.
- AR 18. When preparing the disclosures described in paragraph 22 b) and c), the following illustrations may be considered:
- (a) examples of stages at which engagement occurs are i) determining the approach to mitigation and ii) evaluation the effectiveness of mitigation;
 - (b) for type of engagement, these could be participation, consultation and/or information;
 - (c) for the frequency of the engagement, information may be provided on whether engagement occurs on a regular basis, at certain points in a project or business process, for example, when a new harvest season begins or a new production line is opened, as well as whether it occurs in response to legal requirements and/or in response to stakeholder requests and whether the result of the engagement is being integrated into the undertaking's decision- making processes; and
 - (d) for the role with operational responsibility, whether the undertaking requires relevant staff to have certain skills, or whether it provides **training** or capacity building to relevant staff to undertake engagement.
- AR 19. Global Framework Agreements (GFA) serve to establish an ongoing relationship between a multinational enterprise and a Global Union Federation to ensure that the undertaking adheres to the same standards in every country in which it operates.

AR 20. To illustrate how the perspectives of **value chain** workers have informed specific decisions or activities of the undertaking, the undertaking may provide examples from the current reporting period.

Disclosure Requirement S2-3 – Processes to remediate negative impacts and channels for value chain workers to raise concerns

AR 21. In fulfilling the requirements set out by Disclosure Requirement ESRS S2-3, the undertaking may be guided by the content of the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises focused on **remediation** and **grievance mechanisms**.

AR 22. Channels for raising concerns or needs include **grievance mechanisms**, hotlines, trade unions (where workers are unionised), dialogue processes or other means through which **value chain** workers or their **legitimate representatives** can raise concerns about impacts or explain needs that they would like the undertaking to address. This could include both channels provided by the undertaking directly and channels provided by the entities where the value chain workers are working, in addition to any other mechanisms the undertaking may use to gain insight into the management of impacts on workers, such as compliance audits. Where the undertaking is relying solely on information about the existence of such channels provided by its **business relationships** to answer this requirement, it may state that.

AR 23. To provide greater insight into the information covered in Disclosure Requirement ESRS S2-3, the undertaking may explain whether and how **value chain** workers that may be affected are able to access channels at the level of the undertaking they are employed by, or contracted to work for, in relation to each material impact.

AR 24. Third party mechanisms could include those operated by the government, NGOs, industry associations and other collaborative initiatives. The undertaking may disclose whether these are accessible to all workers who may be potentially or actually materially impacted by the undertaking, or individuals or organisations acting on their behalf or who are otherwise in a position to be aware of negative impacts.

AR 25. In relation to the protection of individuals that use the mechanisms against the retaliation, the undertaking may describe whether it treats grievances confidentially and with respect to the rights of privacy and data protection; and whether the mechanisms allow for workers to use them anonymously (for example, through representation by a third party).

AR 26. In disclosing whether and how the undertaking knows that **value chain** workers are aware of and trust any of these channels, the undertaking may provide relevant and reliable data about the effectiveness of these channels from the perspective of value chain workers themselves. Examples of sources of information are surveys of workers that have used such channels and their levels of satisfaction with the process and outcomes.

AR 27. In describing the effectiveness of channels for **value chain** workers to raise concerns, the undertaking may be guided by the following questions, based on the “effectiveness criteria for non-judicial **grievance mechanisms**”, as laid out in the UN Guiding Principles on Business and Human Rights, in particular Principle 31. The below considerations may be applied to individual channels or to a collective system of channels:

- (a) do the channels hold legitimacy by providing appropriate accountability for their fair conduct and building stakeholder trust?
- (b) are the channels known and accessible to **stakeholders**?
- (c) do the channels have clear and known procedures, with indicative timeframes?
- (d) do the channels ensure reasonable access for **stakeholders** to sources of information, advice and expertise?
- (e) do the channels offer transparency by providing sufficient information both to complainants and, where applicable, to meet any public interest?

- (f) do outcomes achieved through the channels accord with internationally recognised human rights?
- (g) does the undertaking identify insights from the channels that support continuous learning in both improving the channels and preventing future impacts?
- (h) does the undertaking focus on dialogue with complainants as the means to reach agreed solutions, rather than seeking to unilaterally determine the outcome?

Disclosure Requirement S2-4 – Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions

- AR 28. It may take time to understand negative impacts and how the undertaking may be involved with them through its value chain, as well as to identify appropriate responses and put them into practice. Therefore, the undertaking shall consider:
- (a) its general and specific approaches to addressing material negative impacts;
 - (b) its initiatives aimed at contributing to additional material positive impacts;
 - (c) how far it has progressed in its efforts during the reporting period; and
 - (d) its aims for continued improvement.
- AR 29. Appropriate action can vary according to whether the undertaking causes or contributes to a material impact or whether the material impact is directly linked to its own operations, products or services through a business relationship.
- AR 30. Given that material negative impacts affecting **value chain** workers that have occurred during the reporting period may also be linked to entities or operations outside its direct control, the undertaking may disclose whether and how it seeks to use its leverage in its **business relationships** to manage those impacts. This may include using commercial **leverage** (for example, enforcing contractual requirements with business relationships or implementing incentives), other forms of leverage within the relationship (such as providing **training** or capacity-building on workers' rights to entities with which the undertaking has a business relationships) or collaborative leverage with peers or other actors (such as initiatives aimed at responsible recruitment or ensuring workers receive an **adequate wage**).
- AR 31. When the undertaking discloses its participation in an industry or multi-stakeholder initiative as part of its **actions** to address material negative impacts, the undertaking may disclose how the initiative, and its own involvement, is aiming to address the material impact concerned. It may disclose under ESRS S2-5 the relevant **targets** set by the initiative and progress towards them.
- AR 32. When disclosing whether and how the undertaking considers actual and potential impacts on **value chain** workers in decisions to terminate **business relationships** and whether and how it seeks to address any negative impacts that may result from termination, the undertaking may include examples.
- AR 33. In disclosing how it tracks the effectiveness of its **actions** to manage material impacts during the reporting period, the undertaking may disclose any lessons learned from the previous and current reporting periods.
- AR 34. Processes used to track the effectiveness of **actions** can include internal or external auditing or verification, court proceedings and/or related court decisions, impact assessments, measurement systems, stakeholder feedback, **grievance mechanisms**, external performance ratings, and benchmarking.
- AR 35. Reporting on effectiveness is aimed at enabling the understanding of the links between **actions** taken by the undertaking and the effective management of impacts. For example, to show the effectiveness of its **actions** to support its **suppliers** with improving their working conditions, the undertaking may disclose survey feedback from the suppliers' workers showing that working conditions have improved since the time the undertaking began working with those suppliers. Additional information that the undertaking may provide includes data showing a decrease in the number of **incidents** identified through for instance, independent audits.

AR 36. With regard to initiatives or processes the undertaking has in place that are based on affected workers' needs and with regard to progress in the implementation of such initiatives or processes, the undertaking may disclose:

- (a) information about whether and how **value chain** workers and **legitimate representatives** or their **credible proxies** play a role in decisions regarding the design and implementation of these programmes or processes; and
- (b) information about the intended or achieved positive outcomes for value chain workers of these initiatives or processes.

AR 37. The undertaking may disclose whether any initiatives or processes whose primary aim is to deliver positive impacts for **value chain** workers are designed also to support the achievement of one or more of the UN Sustainable Development Goals (SDGs). For example, through a commitment to advance UN SDG 8 to "promote sustained, inclusive and sustainable economic growth, full and productive employment and decent work for all" the undertaking may be providing capacity-building to smallholders in its **supply chain**, resulting in increases in their income; or it may be supporting **training** to increase the proportion of women able to take delivery jobs in its downstream value chain.

AR 38. When disclosing the intended or achieved positive outcomes of its **actions** for **value chain** workers a distinction is to be made between evidence of certain activities having occurred (e.g., that x number of workers have received financial literacy **training**) from evidence of actual outcomes for workers (e.g., that x workers report that they are able to better manage their household budgets so as to meet their savings goals).

AR 39. When disclosing whether initiatives or processes also play a role in mitigating material negative impacts, the undertaking may e.g., consider programmes that aim to advance women workers' financial literacy that have resulted in more women being promoted as well as in reports of reduced sexual **harassment** in the workplace.

AR 40. When disclosing the material risks and opportunities related to the undertaking's impacts or **dependencies** on **value chain** workers, the undertaking may consider the following:

- (a) risks related to the undertaking's impacts on value chain workers may include the reputational or legal exposure where value chain workers are found to be subject to **forced labour** or **child labour**;
- (b) risks related to the undertaking's dependencies on value chain workers may include disruption of business operations where a pandemic closes significant parts of its **supply chain** or distribution network;
- (c) opportunities related to the undertaking's impacts on value chain workers may include market differentiation and greater customer appeal from guaranteeing decent **pay** and conditions for non-employee workers; and
- (d) business opportunities related to the undertaking's dependencies on value chain workers might include the achievement of a future sustainable supply of a commodity by ensuring smallholder farmers earn enough to persuade future generations to keep farming that crop.

AR 41. When disclosing whether **dependencies** turn into risks, the undertaking shall consider external developments.

AR 42. When disclosing policies, **actions** and resources and **targets** related to the management of material **risks** and **opportunities**, in cases where risks and opportunities arise from a material **impact**, the undertaking may cross-reference its disclosures on policies, action and resources and targets in relation to that impact.

AR 43. The undertaking shall consider whether and how its process(es) to manage material risks related to **value chain** workers are integrated into its existing risk management process(es).

AR 44. When disclosing the resources allocated to the management of material impacts, the undertaking may disclose which internal functions are involved in managing the impacts and what types of action they take to address negative and advance positive impacts.

Metrics and targets

Disclosure Requirement S2-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

AR 45. When disclosing information about **targets** in accordance with paragraph 39, the undertaking may disclose:

- (a) the intended outcomes to be achieved in the lives of **value chain** workers, being as specific as possible;
- (b) the stability of the targets over time in terms of definitions and methodologies to enable comparability over time;
- (c) the standards or commitments on which the targets are based (for instance codes of conduct, sourcing policies, global frameworks or industry codes).

AR 46. **Targets** related to material **risks** and **opportunities** may be the same as or distinct from targets related to material **impacts**. For example, a target to reach living **wages** for **supply chain** workers could both reduce impacts on those workers and reduce associated risks in terms of the quality and reliability of supply.

AR 47. The undertaking may also distinguish between short-, medium- and long-term **targets** covering the same **policy** commitment. For example, the undertaking may have a long-term target to achieve an 80% reduction in health and safety **incidents** affecting the workers of a given **supplier** by 2030 and a near-term target to reduce their **overtime** hours of delivery drivers by x% while maintaining their income by 2024.

AR 48. When modifying or replacing a **target** in the reporting period, the undertaking may explain the change by cross-referencing it to significant changes in the **business model** or to broader changes in the accepted standard or legislation from which the target is derived to provide contextual information, as per ESRS 2 BP-2 *Disclosures in relation to specific circumstances*.

ESRS S3**AFFECTED COMMUNITIES**

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Appendix A: Application Requirements

– Objective

– ESRS 2 General Disclosures

Strategy

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Objective

1. The objective of this Standard is to specify disclosure requirements which will enable **users** of the **sustainability statement** to understand material impacts on **affected communities** connected with the undertaking's own operations and value chain, including through its products or services, as well as through its **business relationships**, and its related material risks and opportunities, including:
 - (a) how the undertaking affects communities, in areas where impacts are most likely to be present and severe, in terms of material positive and negative actual or potential impacts;
 - (b) any **actions** taken, and the result of such actions, to prevent, mitigate or remediate actual or potential negative impacts, and to address risks and opportunities;
 - (c) the nature, type and extent of the undertaking's material risks and opportunities related to its impacts and **dependencies on affected communities**, and how the undertaking manages them; and
 - (d) the **financial effects** on the undertaking over the short-, medium- and long-term of material risks and opportunities arising from the undertaking's impacts and dependencies on affected communities.
2. In order to meet the objective, this Standard requires an explanation of the general approach the undertaking takes to identify and manage any material actual and potential impacts on **affected communities** in relation to:
 - (a) communities' economic, social and cultural rights (for example, adequate housing, adequate food, water and sanitation, land-related and security-related impacts);
 - (b) communities' civil and political rights (for example, freedom of expression, freedom of assembly, impacts on human rights defenders); and
 - (c) particular rights of **indigenous peoples** (for example, free, prior and informed consent, self-determination, cultural rights).
3. This Standard also requires an explanation of how such impacts, as well as the undertaking's **dependencies** on affected communities, can create material risks or opportunities for the undertaking. For example, negative relationships with **affected communities** may disrupt the undertaking's own operations or harm its reputation, while constructive relationships can bring business benefits, such as stable and conflict-free operations and a greater ease of recruiting locally.

Interaction with other ESRS

4. This standard applies when material impacts on and/or material risks and opportunities related to **affected communities** have been identified through the **materiality** assessment process laid out in ESRS 2 *General disclosures*.
5. This Standard shall be read in conjunction with ESRS 1 *General requirements*, and ESRS 2, as well as the ESRS S1 *Own workforce*, ESRS S2 *Workers in the value chain* and ESRS S4 *Consumers and end-users*.

Disclosure Requirements

ESRS 2 *General disclosures*

6. The requirements of this section should be read in conjunction with the disclosures required by ESRS 2 on Strategy (SBM). The resulting disclosures shall be presented alongside the disclosures required by ESRS 2, except for SBM-3 *Material impacts, risks and opportunities and their interaction with strategy and business model*, for which the undertaking has an option to present the disclosures alongside the topical disclosure.

Strategy

Disclosure Requirement related to ESRS 2 SBM-2 – Interests and views of stakeholders

7. When responding to ESRS 2 SBM-2, paragraph 43, the undertaking shall disclose how the views, interests, and rights of **affected communities**, including respect for their human rights (and their rights as **indigenous peoples**, where applicable), inform its strategy and business model. **Affected communities** are a key group of affected **stakeholders**.

Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model

8. When responding to ESRS 2 SBM-3 paragraph 48, the undertaking shall disclose:
- (a) whether and how actual and potential impacts on **affected communities** as identified in ESRS 2 IRO-1 *Description of the processes to identify and assess material impacts, risks and opportunities*: (i) originate from or are connected to the undertaking's strategy and business models, and (ii) inform and contribute to adapting the undertaking's strategy and business model; and
 - (b) the relationship between its material risks and opportunities arising from impacts and **dependencies** on affected communities and its strategy and business model.
9. When fulfilling the requirements of paragraph 48, the undertaking shall disclose whether all **affected communities** who are likely to be materially impacted by the undertaking, including impacts that are connected with the undertaking's own operations and **value chain**, including through its products or services, as well as through its **business relationships**, are included in the scope of its disclosure under ESRS 2. In addition, the undertaking shall provide the following information:
- (a) a brief description of the types of communities subject to material impacts by its own operations or through its upstream and downstream value chain, and specify whether they are:
 - i. communities living or working around the undertaking's operating **sites**, factories, facilities or other physical operations, or more remote communities affected by activities at those sites (for example by downstream water **pollution**);
 - ii. communities along the undertaking's value chain (for example, those affected by the operations of **suppliers'** facilities or by the activities of logistics or distribution providers);
 - iii. communities at one or both endpoints of the value chain (for example, at the point of extraction of metals or minerals or harvesting of commodities, or communities around **waste** or **recycling** sites);
 - iv. communities of **indigenous peoples**.
 - (b) in the case of material negative impacts, whether they are either (i) widespread or systemic in contexts where the undertaking operates or has sourcing or other business relationships (for example, marginalised populations suffering impacts on their health and quality of life in a highly industrialised area), or (ii) related to individual **incidents** in the undertaking's own operations (e.g., a toxic **waste** spill affecting a community's access to clean drinking water) or in a specific business relationship (e.g., a peaceful protest by communities against business operations that was met with a violent response from the undertaking's security services). This includes consideration of impacts on affected communities that may arise from the transition to greener and climate-neutral operations. Potential impacts include impacts associated with innovation and restructuring, closure of mines, increased mining of minerals needed for the transition to a sustainable economy and solar panel production;
 - (c) in the case of material positive impacts, a brief description of the activities that result in the positive impacts (for example, capacity-building to support more and new forms of local livelihoods) and the types of communities that are positively affected or could be positively affected; the undertaking may also disclose whether the positive impacts occur in specific countries or regions; and
 - (d) any material risks and opportunities for the business arising from impacts and **dependencies** on affected communities.

10. In describing the main types of communities who are or could be negatively affected, based on the **materiality** assessment set out in Disclosure Requirement ESRS 2 IRO-1, the undertaking shall disclose whether and how it has developed an understanding of how **affected communities** with particular characteristics or those living in particular contexts, or those undertaking particular activities may be at greater risk of harm.
11. The undertaking shall disclose which, if any, of its material risks and opportunities arising from impacts and **dependencies** on affected communities relate to specific groups of **affected communities** rather than to all affected communities.

Impact, risk and opportunity management

Disclosure Requirement S3-1 – Policies related to affected communities

12. **The undertaking shall describe its policies adopted to manage its material impacts on affected communities, as well as associated material risks and opportunities.**
13. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking has policies that address the identification, assessment, management and/or **remediation** of material impacts on **affected communities** specifically, as well as policies that cover material risks or opportunities related to affected communities.
14. The disclosure required by paragraph 12 shall contain the information on the undertaking's policies to manage its material impacts, risks and opportunities related to **affected communities** in accordance with ESRS 2 MDR-P *Policies adopted to manage material sustainability matters*. In addition, the undertaking shall specify if such policies cover specific affected communities or all affected communities.
15. The undertaking shall disclose any particular **policy** provisions for preventing and addressing impacts on **indigenous peoples**.
16. The undertaking shall describe its human rights **policy** commitments ⁽¹¹²⁾ that are relevant to affected communities, including those processes and mechanisms to monitor compliance with the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises. In its disclosure it shall focus on those matters that are material in relation to ⁽¹¹³⁾, as well as its general approach to:
 - (a) respect for the human rights of communities, and **indigenous peoples** specifically;
 - (b) engagement with affected communities; and
 - (c) measures to provide and/or enable **remedy** for human rights impacts.
17. The undertaking shall disclose whether and how its policies with regard to **affected communities** are aligned with internationally recognised standards relevant to communities and **indigenous peoples** specifically, including the United Nations (UN) Guiding Principles on Business and Human Rights. The undertaking shall also disclose the extent to which cases of non-respect of the UN Guiding Principles on Business and Human Rights, ILO Declaration

⁽¹¹²⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #9 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Lack of a human rights policy").

⁽¹¹³⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #11 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Lack of processes and compliance mechanisms to monitor compliance with UN Global Compact principles and OECD Guidelines for Multinational Enterprises").

on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises that involve affected communities have been reported in its own operations or in its upstream and downstream **value chain** and, if applicable, an indication of the nature of such cases ⁽¹¹⁴⁾.

18. The **policy** may take the form of a stand-alone policy regarding communities or be included in a broader document such as a code of ethics or a general sustainability policy that has already been disclosed by the undertaking as part of another ESRS. In those cases, the undertaking shall provide an accurate cross-reference to identify the aspects of the policy that satisfy the requirements of this Disclosure Requirement.

Disclosure Requirement S3-2 – Processes for engaging with affected communities about impacts

19. **The undertaking shall disclose its general processes for engaging with affected communities and their representatives about actual and potential impacts on them.**
20. The objective of this Disclosure Requirement is to enable an understanding of whether and how the undertaking engages, as part of its ongoing due diligence process, with affected communities, their legitimate representatives, or with **credible proxies**, about material actual and potential positive and/or negative impacts that do or are likely to affect them, and whether and how perspectives of **affected communities** are taken into account in the decision-making processes of the undertaking.
21. The undertaking shall disclose whether and how the perspectives of **affected communities** inform its decisions or activities aimed at managing actual and potential impacts on communities. This shall include, where relevant, an explanation of:
 - (a) whether engagement occurs with affected communities or their **legitimate representatives** directly, or with **credible proxies** that have insight into their situation;
 - (b) the stage(s) at which engagement occurs, the type of engagement, and the frequency of the engagement;
 - (c) the function and the most senior role within the undertaking that has operational responsibility for ensuring this engagement happens, and that the results inform the undertaking's approach;
 - (d) where applicable, how the undertaking assesses the effectiveness of its engagement with affected communities, including, where relevant, any agreements or outcomes that result.
22. Where applicable, the undertaking shall disclose the steps it takes to gain insight into the perspectives of **affected communities** that may be particularly vulnerable to impacts and/or marginalised, and into the perspective of specific groups within the affected communities, such as women and girls.
23. Where **affected communities** are **indigenous peoples**, the undertaking shall also disclose how it takes into account and ensures respect of their particular rights in its **stakeholder engagement** approach, including their right to **free, prior and informed consent** with regard to: (i) their cultural, intellectual, religious and spiritual property; (ii) activities affecting their lands and territories; and (iii) legislative or administrative measures that affect them. In particular, where engagement occurs with indigenous peoples, the undertaking shall also disclose whether and how **indigenous peoples** have been consulted on the mode and parameters of the engagement (for example, in designing the agenda, nature, and timeliness of the engagement).

⁽¹¹⁴⁾ This information supports the information needs of: financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #10 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises"); and benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Number of benchmark constituents subject to social violations (absolute number and relative divided by all benchmark constituents), as referred to in international treaties and conventions, United Nations principles and, where applicable, national law" in section 1 and 2 of Annex II.

24. If the undertaking cannot disclose the above required information because it has not adopted a general process to engage with affected communities, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a process in place.

Disclosure Requirement S3-3 – Processes to remediate negative impacts and channels for affected communities to raise concerns

25. **The undertaking shall describe the processes it has in place to provide for or cooperate in the remediation of negative impacts on affected communities that the undertaking is connected with, as well as channels available to affected communities to raise concerns and have them addressed.**
26. The objective of this Disclosure Requirement is to enable an understanding of the formal means by which **affected communities** can make their concerns and needs known directly to the undertaking, and/or through which the undertaking supports the availability of such channels (for example, **grievance mechanisms**) by its business relationships, how follow up is performed with these communities regarding the issues raised, and the effectiveness of these channels.
27. The undertaking shall describe:
- (a) its general approach to and processes for providing or contributing to **remedy** where it has identified that it has caused or contributed to a material negative **impact** on affected communities, including whether and how the undertaking assesses that the remedy provided is effective;
 - (b) any specific channels it has in place for **affected communities** to raise their concerns or needs directly with the undertaking and have them addressed, including whether these are established by the undertaking itself and/or through participation in third-party mechanisms;
 - (c) its processes through which the undertaking supports the availability of such channels by its business relationships; and
 - (d) how it tracks and monitors issues raised and addressed, and how it ensures the effectiveness of the channels, including through involvement of **stakeholders** who are the intended **users** of those channels.
28. The undertaking shall disclose whether and how it assesses that **affected communities** are aware of and trust these structures or processes as a way to raise their concerns or needs and have them addressed. In addition, the undertaking shall disclose whether it has policies in place regarding the protection of individuals that use them against retaliation. If such information has been disclosed in accordance with ESRS G1-1, the undertaking may refer to that information.
29. If the undertaking cannot disclose the above required information because it has not adopted a channel for raising concerns and/or does not support the availability of such a channel by its business relationships, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a channel or processes in place.

Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions

30. **The undertaking shall disclose how it takes action to address material impacts on affected communities, and to manage material risks and pursue material opportunities related to affected communities and the effectiveness of those actions.**
31. The objective of this Disclosure Requirement is twofold. Firstly, it is to provide an understanding of any **actions** and initiatives through which the undertaking seeks to:
- (a) prevent, mitigate and remediate the negative material **impacts** on affected communities; and/or
 - (b) achieve positive material impacts for affected communities.

Secondly, it is to enable an understanding of the ways in which the undertaking is addressing the material **risks** and pursuing the material opportunities related to affected communities.

The undertaking shall provide a summarised description of the action plans and resources to manage its material impacts, risks, and opportunities related to affected communities as per *ESRS 2 MDR-A Actions and resources in relation to material sustainability matters*.

32. In relation to material impacts, the undertaking shall describe:
 - (a) actions taken, planned or underway to prevent or mitigate material negative impacts on affected communities;
 - (b) whether and how it has taken action to provide or enable **remedy** in relation to an actual material impact;
 - (c) any additional **actions** or initiatives it has in place with the primary purpose of delivering positive impacts for affected communities; and
 - (d) how it tracks and assesses the effectiveness of these **actions** and initiatives in delivering intended outcomes for affected communities.
33. In relation to paragraph 29, the undertaking shall describe:
 - (a) the processes through which it identifies what action is needed and appropriate in response to a particular actual or potential negative impact on affected communities;
 - (b) its approach to taking action in relation to specific material negative impacts on communities, including any action in relation to its own practices regarding land acquisition, planning and construction, operation or closure practices, as well as whether wider industry or collaborative action with other relevant parties will be required; and
 - (c) how it ensures that processes to provide or enable **remedy** in the event of material negative impacts are available and effective in their implementation and outcomes.
34. In relation to material risks and opportunities, the undertaking shall describe:
 - (a) what action is planned or underway to mitigate material risks for the undertaking arising from its impacts and **dependencies** on **affected communities** and how it tracks effectiveness in practice; and
 - (b) what action is planned or underway to pursue material opportunities for the undertaking in relation to affected communities.
35. The undertaking shall disclose whether and how it takes action to avoid causing or contributing to material negative impacts on **affected communities** through its own practices, including, where relevant, in relation to planning, land acquisition and exploitation, finance, extraction or production of raw materials, use of natural resources, and management of environmental impacts. This may include disclosing what approach is taken when tensions arise between the prevention or mitigation of material negative impacts and other business pressures.
36. The undertaking shall also disclose whether severe human rights issues and **incidents** connected to **affected communities** have been reported and, if applicable, disclose these ⁽¹¹⁵⁾.
37. When disclosing the information required under paragraph 31 (c), the undertaking shall consider ESRS 2 MDR-T *Tracking effectiveness of policies and actions through targets* if it evaluates the effectiveness of an action by setting a target.

⁽¹¹⁵⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #14 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Number of identified cases of severe human rights issues and incidents").

38. The undertaking shall disclose what resources are allocated to the management of its material impacts, with information that enables **users** to gain an understanding of how the material impacts are managed.

Metrics and targets

Disclosure Requirement S3-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

39. **The undertaking shall disclose the time-bound and outcome-oriented targets it may have set related to:**
- (a) **reducing negative impacts on affected communities; and/or**
 - (b) **advancing positive impacts on affected communities; and/or**
 - (c) **managing material risks and opportunities related to affected communities.**
40. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking is using time-bound and outcome-oriented **targets** to drive and measure its progress in addressing material negative impacts, and/or advancing positive impacts on affected communities, and/or in managing material risks and opportunities related to affected communities.
41. The summarised description of the **targets** to manage its material impacts, risks and opportunities related to **affected communities** shall contain the information requirements defined in ESRS 2 MDR-T.
42. The undertaking shall disclose the process for setting the **targets**, including whether and how the undertaking engaged directly with affected communities, their legitimate representatives, or with **credible proxies** that have insight into their situation in:
- (a) setting any such targets;
 - (b) tracking the undertaking's performance against them; and
 - (c) identifying, any, lessons or improvements as a result of the undertaking's performance.
-

Appendix A

Application Requirements

This appendix is an integral part of the ESRS S3 *Affected communities*. It supports the application of the disclosure requirements set out in this standard and has the same authority as the other parts of the standard.

Objective

AR 1. The overview of social and human rights matters provided in paragraph 2 is not meant to imply that all of these issues should be disclosed in each Disclosure Requirement in this Standard. Rather, it provides a list of matters that the undertaking shall consider in its **materiality** assessment (ref. to ESRS 1 chapter 3 *Double materiality as the basis for sustainability disclosures* and ESRS 2 IRO-1) related to **affected communities** and, as appropriate, disclose as material impacts, risks and opportunities within the scope of this Standard.

AR 2. In addition to the issues listed in paragraph 2, the undertaking may also consider disclosing information about other issues relevant to a material impact for a shorter period of time, for instance initiatives regarding the impacts on communities related to the undertaking's operations due to extreme and sudden weather conditions.

ESRS 2 General Disclosures*Strategy***Disclosure Requirement related to ESRS 2 SBM-2 – Interests and views of stakeholders**

AR 3. Disclosure Requirement ESRS 2 SBM-2 requires the undertaking to provide an understanding of if and how it considers the role that its strategy and **business model** may play in creating, exacerbating or mitigating significant material **impacts** on **affected communities**, and whether and how the business model and strategy are adapted to address such material impacts.

AR 4. While **affected communities** may not be engaging with the undertaking at the level of its strategy or **business model**, their views can inform the undertaking's assessment of its strategy and business model. The undertaking may disclose the views of affected communities and affected communities' representatives.

Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model

AR 5. **Impacts** on **affected communities** can originate in the undertaking's strategy or **business model** in a number of different ways. For example, impacts may relate to the undertaking's value proposition (such as, construction or commencement of projects with timelines that do not allow sufficient time for consultation with groups affected by the projects), its **value chain** (for example, **land-use** in countries in which ownership is often contested or records are unreliable or in which land-users such as **indigenous peoples** are unrecognised), or its cost structure and the revenue model (such as, aggressive strategies to minimise taxation, particularly with respect to operations in developing countries).

AR 6. Impacts on **affected communities** that originate in the strategy or business model can also bring material risks to the undertaking. For example, where the undertaking's strategy involves moving into higher risk geographies in pursuit of certain commodities, and if affected communities resist its presence or object to its local practices, this may create extensive and costly delays, and affect the undertaking's ability to secure future land concessions or permits. Similarly, if the undertaking's business model relies on intensive water extraction at its plants, to the extent that it affects access to water for communities' consumption, hygiene and livelihoods, this may result in reputationally-damaging boycotts, complaints and lawsuits.

- AR 7. Examples of particular characteristics of **affected communities** that may be considered by the undertaking when responding to paragraph 10 may be an affected community that is physically or economically isolated and is particularly susceptible to introduced diseases or has limited access to social services and therefore relies on infrastructure set up by the undertaking. It may be because where land worked by women is purchased by the undertaking and payments go to male heads of households, women become further disenfranchised in the community. It may also be because the community is indigenous, and its members seek to exercise cultural or economic rights to the land owned or used by the undertaking – or by one of the entities with which it has a business relationship – in a context where their rights are not protected by the state. In addition, the undertaking shall consider whether different characteristics overlap. For example, characteristics such as ethnicity, socioeconomic status, migrant status and gender may create overlapping risks of harm for certain affected communities, or for distinct parts of those affected communities, since affected communities are often heterogeneous in nature.
- AR 8. With regard to paragraph 11, material risks could also arise because of the undertaking's dependency on **affected communities** where low likelihood but high impact events may trigger **financial effects**; for example, where a natural disaster leads to a catastrophic industrial accident involving the undertaking's operations, resulting in severe harm to affected communities.

Impact, risk and opportunity management

Disclosure Requirement S3-1 – Policies related to affected communities

- AR 9. The description shall include the key information necessary to ensure a faithful representation of the policies in relation to **affected communities** and, therefore, the undertaking shall consider explanations of significant changes to the policies adopted during the reporting year (for example, new or additional approaches to engagement, due diligence and remedy).
- AR 10. When disclosing the alignment of its policies with the UN Guiding Principles on Business and Human Rights, the undertaking shall consider that the Guiding Principles refer to the International Bill of Rights, which consists of the Universal Declaration of Human Rights and the two Covenants that implement it, as well as the UN Declaration on the Rights of Indigenous Peoples, the International Labour Organisation's Convention concerning Indigenous and Tribal Peoples (ILO No. 169) and the core conventions that underpin it, and may disclose its alignment with these instruments.
- AR 11. The undertaking may provide an illustration of the types of communication of its policies to those individuals, group of individuals or entities for whom they are relevant, either because they are expected to implement them (for example, the undertaking's **employees**, contractors and **suppliers**), or because they have a direct interest in their implementation (for example, own workers, investors). It may disclose communication tools and channels (for example, flyers, newsletters, dedicated websites, social media, face to face interactions, workers' representatives), aimed at ensuring that the **policy** is accessible and that different audiences understand its implications. The undertaking may also explain how it identifies and removes potential barriers for dissemination, such as through translation into relevant languages or the use of graphic depictions.
- AR 12. When disclosing severe human rights issues and **incidents** connected to affected communities, the undertaking shall consider any legal disputes related to land rights and to the **free, prior and informed consent of indigenous peoples**.

Disclosure Requirement S3-2 – Processes for engaging with affected communities about impacts

- AR 13. Explanations of how the undertaking takes into account and ensures respect of the right of indigenous peoples to **free, prior and informed consent** may include information about processes to consult with indigenous peoples to obtain such consent. The undertaking shall consider how the consultation includes a good faith negotiation with affected **indigenous peoples** to obtain their free, prior and informed consent where the undertaking affects the lands, territories or resources that indigenous peoples customarily own, occupy or otherwise use; or relocates them from land or territories subject to traditional ownership or under customary use or occupation; or affects or exploits their cultural, intellectual, religious and spiritual property.

AR 14. When describing which function or role has operational responsibility for such engagement and/or ultimate accountability, the undertaking may disclose whether this is a dedicated role or function or part of a broader role or function, and whether any capacity building activities have been offered to support the staff to undertake engagement. If it cannot identify such a position or function, it may state that this is the case. This disclosure could also be fulfilled by making reference to information disclosed according to ESRS 2 GOV-1 *The role of the administrative, management and supervisory bodies*.

AR 15. When preparing the disclosures described in paragraph 20 b) and c), the following illustrations may be considered:

- (a) examples of stages at which engagement occurs are i) determining the approach to mitigation and ii) evaluating the effectiveness of mitigation;
- (b) for type of engagement, these could be participation, consultation and/or information;
- (c) for the frequency of the engagement, information may be provided on whether engagement occurs on a regular basis, at certain points in a project or business process; and
- (d) for the role with operational responsibility, whether the undertaking requires relevant staff to have certain skills, or whether it provides **training** or capacity building to relevant staff to undertake engagement. In the case of material impacts, risks and opportunities related to **indigenous peoples**, this includes training on indigenous people's rights, including on free, prior and informed consent.

AR 16. To illustrate how the perspectives of communities have informed specific decisions or activities of the undertaking, the undertaking may provide examples from the current reporting period.

Disclosure Requirement S3-3 – Processes to remediate negative impacts and channels for affected communities to raise concerns

AR 17. In fulfilling the requirements set out by Disclosure Requirement ESRS S3-3, the undertaking may be guided by the content of the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises focused on **remediation** and **grievance mechanisms**.

AR 18. Channels for raising concerns or needs, include **grievance mechanisms**, hotlines, dialogue processes or other means through which **affected communities** or their **legitimate representatives** can raise concerns about impacts or explain needs that they would like the undertaking to address. This could include channels provided by the undertaking directly, in addition to any other mechanisms the undertaking may use to gain insight into the management of impacts on communities, such as compliance audits. Where the undertaking is relying solely on information about the existence of such channels provided by its **business relationships** to answer this requirement, it may state that.

AR 19. To provide greater insight into the information covered in ESRS S3-3, the undertaking may explain whether and how communities that may be affected are able to access channels at the level of the undertaking they are affected by, in relation to each material impact. Relevant insights include information on whether **affected communities** can access channels in a language they understand, and whether they have been consulted in the design of such channels.

AR 20. Third party mechanisms could include those operated by the government, NGOs, industry associations and other collaborative initiatives. The undertaking may disclose whether these are accessible to all **affected communities** who may be potentially or actually materially impacted by the undertaking, or individuals or organisations acting on their behalf or who are otherwise in a position to be aware of negative impacts.

- AR 21. In relation to the protection of individuals that use the mechanisms against retaliation, the undertaking may describe whether it treats grievances confidentially and with respect to the rights of privacy and data protection; and whether to the mechanisms can be used anonymously (for example, through representation by a third party).
- AR 22. When disclosing processes related to providing and enabling **remedy** for **indigenous peoples**, relevant information includes whether and how the undertaking has considered their customs, traditions, rules and legal systems.
- AR 23. In disclosing whether and how the undertaking knows that **affected communities** are aware of and trust any of these channels, the undertaking may provide relevant and reliable data about the effectiveness of these channels from the perspective of affected communities themselves. Examples of sources of information are surveys of community members that have used such channels and their levels of satisfaction with the process and outcomes.
- AR 24. In describing the effectiveness of channels for **affected communities** to raise concerns, the undertaking may be guided by the following questions, based on the “effectiveness criteria for non-judicial **grievance mechanisms**”, as laid out in the UN Guiding Principles on Business and Human Rights, in particular Principle 31. The below considerations may be applied on an individual channel basis or for the collective system of channels:
- (a) do the channels hold legitimacy by providing appropriate accountability for their fair conduct and building stakeholder trust?
 - (b) are the channels known and accessible to stakeholders?
 - (c) do the channels have clear and known procedures, set timeframes and clarity on the processes?
 - (d) do the channels ensure reasonable access to sources of information, advice and expertise?
 - (e) do the channels offer transparency by providing sufficient information both to complainants and, where applicable, to meet any public interest at stake?
 - (f) do the outcomes achieved through the channels accord with internationally recognised human rights?
 - (g) does the undertaking identify insights from the channels that support continuous learning in both improving the channels and preventing future impacts?
 - (h) does the undertaking focus on dialogue with complainants as the means to reach agreed solutions, rather than seeking to unilaterally determine the outcome?

Disclosure Requirement S3-4 – Taking action on material impacts on affected communities, and approaches to managing material risks and pursuing material opportunities related to affected communities, and effectiveness of those actions

- AR 25. It may take time to understand negative impacts and how the undertaking may be involved with them through its value chain, as well as to identify appropriate responses and put them into practice. Therefore, the undertaking shall consider:
- (a) its general and specific approaches to addressing material negative impacts;
 - (b) its social investment or other **development** programmes aimed at contributing to additional material positive impacts;
 - (c) how far it has progressed in its efforts during the reporting period; and
 - (d) its aims for continued improvement.
- AR 26. Appropriate action can vary according to whether the undertaking causes or contributes to a material impact, or whether the material impact is directly linked to its own operations, products or services through a business relationship.

- AR 27. Given that material negative impacts affecting communities that have occurred during the reporting period may also be linked to entities or operations outside its direct control, the undertaking may disclose whether and how it seeks to use its leverage in its business **relationships** to manage those impacts. This may include using commercial **leverage** (for example, enforcing contractual requirements with business relationships or implementing incentives), other forms of leverage within the relationship (such as providing **training** or capacity-building on the rights of indigenous peoples to entities with which the undertaking has a business relationships) or collaborative leverage with peers or other actors (such as initiatives aimed at minimising security-related impacts on communities or participating in company-community partnerships).
- AR 28. Impacts on communities may stem from environmental matters which are disclosed by the undertaking under the ESRS E1 to E5. Examples include:
- (a) ESRS E1 *Climate Change*: The implementation of **climate change mitigation** plans may require the undertaking to invest in **renewable energy** projects that may affect the lands, territories and **natural resources** of **indigenous peoples**. If the undertaking does not consult with the affected indigenous peoples, it could negatively impact the affected communities' right to **free, prior and informed consent**;
 - (b) ESRS E2 *Pollution*: The undertaking may negatively impact **affected communities** by failing to protect them from **pollution** from a particular production facility that causes them health-related issues;
 - (c) ESRS E3 *Water and marine sources*: The undertaking may negatively impact the access to clean drinking water of communities when withdrawing water in water stressed areas;
 - (d) ESRS E4 *Biodiversity and ecosystems*: The undertaking may negatively affect the livelihood of local farmers through operations that contaminate **soil**. Additional examples include the sealing of land through building new infrastructure, which can eradicate plant species that are critical for, for example, local **biodiversity** or to filter water for communities; or the introduction of **invasive species** (whether plants or animals) that can impact **ecosystems** and cause subsequent harm;
 - (e) ESRS E5 *Resource use and circular economy*: The undertaking may negatively impact the lives of communities by affecting their health through the mismanagement of **hazardous waste**.

Where the connection between environmental impacts and local communities is addressed in the disclosures within the Disclosure Requirements ESRS E1-E5, the undertaking may cross-reference to those and clearly identify such disclosures.

- AR 29. When the undertaking discloses its participation in an industry or multi-stakeholder initiative as part of its **actions** to address material negative impacts, the undertaking may disclose how the initiative, and its own involvement, is aiming to address the material impact concerned. It may disclose under ESRS S3-5 the relevant **targets** set by the initiative and progress towards them.
- AR 30. When disclosing whether and how the undertaking considers actual and potential impacts on **affected communities** in decisions to terminate **business relationships** and whether and how it seeks to address any negative impacts that may result from termination, the undertaking may include examples.
- AR 31. In disclosing how it tracks the effectiveness of **actions** to manage material impacts during the reporting period, the undertaking may disclose any lessons learned from the previous and current reporting periods.
- AR 32. Processes used to track the effectiveness of **actions** can include internal or external auditing or verification, court proceedings and/or related court decisions, impact assessments, measurement systems, stakeholder feedback, **grievance mechanisms**, external performance ratings, and benchmarking.
- AR 33. Reporting on effectiveness is aimed at enabling the understanding of the links between **actions** taken by an undertaking and the effective management of impacts.

- AR 34. With regard to initiatives or processes whose primary aim is to deliver positive impacts for affected communities that are based on affected communities' needs, and with regard to progress in the implementation of such initiatives or processes, the undertaking may disclose:
- (a) information about whether and how **affected communities** and **legitimate representatives** or their **credible proxies** play a role in decisions regarding the design and implementation of these investments or programmes; and
 - (b) information about the intended or achieved positive outcomes for **affected communities** of these investments or programmes.
 - (c) an explanation of the approximate scope of **affected communities** covered by the described social investment or **development** programmes, and, where applicable, the rationale for why selected communities were chosen for a given social investment or development programme's implementation.
- AR 35. The undertaking may disclose whether any initiatives or processes whose primary aim is to deliver positive impacts for **affected communities** are designed also to support the achievement of one or more of the UN Sustainable Development Goals (SDGs). For example, through a commitment to advance UN SDG 5 to "achieve gender equality and empower all women and girls" the undertaking may be taking thoughtful measures to include women in the consultation process with an affected community to meet standards of effective **stakeholder engagement**, which can help empower the women in the process itself, but potentially also in their daily lives.
- AR 36. When disclosing the intended or achieved positive outcomes of its **actions** for **affected communities** a distinction is to be made between evidence of certain activities having occurred (for example, that x number of women community members have been provided with **training** on how to become local **suppliers** to the undertaking) from evidence of actual outcomes for affected communities (for example, that x women community members have set up small businesses and have had their contracts with the undertaking renewed year-on-year).
- AR 37. When disclosing whether initiatives or processes also play a role in mitigating material negative impacts, the undertaking may for example consider programmes that aim to improve local infrastructure surrounding an undertaking's operations, such as improvements in roads leading to a reduction in the number of severe traffic accidents involving community members.
- AR 38. When disclosing the material risks and opportunities related to the undertaking's impacts or **dependencies** on affected communities, the undertaking may consider the following:
- (a) risks related to the undertaking's impacts on **affected communities** may include the reputational or legal exposure, as well as operational risks, where affected communities protest against resettlements or the loss of access to lands, leading to costly delays, boycotts, or lawsuits;
 - (b) risks related to the undertaking's dependencies on **affected communities** may include disruption of business operations where **indigenous peoples** decide to withdraw their consent to a project on their lands, forcing the undertaking to significantly modify or abandon the project;
 - (c) business opportunities related to the undertaking's impacts on **affected communities** may include more easily financing projects and being a partner of choice for communities, governments and other businesses; and
 - (d) opportunities related to the undertaking's dependencies on **affected communities** may include the development of positive relationships between the undertaking and indigenous peoples that enable existing projects to expand with strong support.
- AR 39. In disclosing the information in AR 41, the undertaking may consider explanations of risks and opportunities stemming from environmental impacts or **dependencies** (please refer to AR 31 for further details), including related human rights (or social) impacts. Examples include reputational risks stemming from the impact on the health of communities of unmanaged polluting **discharges**; or the **financial effects** of protests that may disrupt or interrupt an undertaking's activities, for example, in response to operations in water stressed areas that may impact the lives of affected communities.

- AR 40. When disclosing whether **dependencies** turn into risks, the undertaking shall consider external developments.
- AR 41. When disclosing policies, action and resources and **targets** related to the management of material risks and opportunities, in cases where risks and opportunities arise from a material impact, the undertaking may cross-reference its disclosures on policies, actions and resources and targets in relation to that impact.
- AR 42. The undertaking shall consider whether and how its processes to manage material risks related to **affected communities** are integrated into its existing risk management processes.
- AR 43. When disclosing the resources allocated to the management of material impacts, the undertaking may disclose which internal functions are involved in managing the impacts and what types of action they take to address negative and advance positive impacts.

Metrics and targets

Disclosure Requirement S3-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

- AR 44. When disclosing information about **targets** in accordance with paragraph 38, the undertaking may disclose:
- (a) the intended outcomes to be achieved in the lives of affected communities, being as specific as possible;
 - (b) the stability of the **targets** over time in terms of definitions and methodologies to enable comparability over time;
 - (c) the standards or commitments which the targets are based on (for instance codes of conduct, sourcing policies, global frameworks or industry codes).
- AR 45. **Targets** related to material **risks** and **opportunities** may be the same as or distinct from targets related to material impacts. For example, a target to fully restore livelihoods of **affected communities** following resettlement could both reduce impacts on those communities and reduce associated risks such as community protests.
- AR 46. The undertaking may also distinguish between short-, medium- and long-term **targets** covering the same **policy** commitment. For example, the undertaking may have as a main objective to employ community members at a local mining **site**, with the long-term goal of staffing 100% locally by 2025, and with the short-term objective of adding x percent of local **employees** every year up and until 2025.
- AR 47. When modifying or replacing a target in the reporting period, the undertaking may explain the change by linking it to significant changes in the business model or to broader changes in the accepted standard or legislation from which the target is derived to provide contextual information as per ESRS 2 BP-2 *Disclosures in relation to specific circumstances*.

ESRS S4

CONSUMERS AND END-USERS

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Strategy

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- Disclosure Requirement S4-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

Objective

1. The objective of this Standard is to specify disclosure requirements which will enable **users** of the **sustainability statement** to understand material **impacts** on **consumers** and **end-users** connected with the undertaking's own operations and **value chain**, including through its products or services, as well as through its **business relationships**, and its related material **risks** and **opportunities**, including:
 - (a) how the undertaking affects the consumers and/or end-users of its products and/or services (referred to in this Standard as "consumers and end-users"), in terms of material positive and negative actual or potential impacts;
 - (b) any **actions** taken, and the result of such actions, to prevent, mitigate or remediate actual or potential negative impacts, and to address risks and opportunities;
 - (c) the nature, type and extent of the undertaking's material risks and opportunities related to its impacts and **dependencies** on consumers and end-users, and how the undertaking manages such risks and opportunities; and
 - (d) the **financial effects** on the undertaking over the short-, medium- and long-term of material risks and opportunities arising from the undertaking's impacts and dependencies on consumers and/or end-users.
2. In order to meet the objective, this Standard requires an explanation of the general approach the undertaking takes to identify and manage any material actual and potential **impacts** on the **consumers** and/or **end-users** related to its products and/or services in relation to:
 - (a) information-related impacts on consumers and/or end-users (for example, privacy, freedom of expression and access to (quality) information);
 - (b) personal safety of consumers and/or end-users (for example, health and safety, security of a person and protection of children);
 - (c) social inclusion of consumers and/or end-users (for example, non-**discrimination**, access to products and services and responsible marketing practices).
3. This Standard also requires an explanation of how such impacts, as well as the undertaking's **dependencies** on **consumers** and/or **end-users**, can create material **risks** or **opportunities** for the undertaking. For example, negative impacts on the reputation of the undertaking's products and/or services can be detrimental to its business performance, while trust in products and/or services can bring business benefits, such as increased sales or widening of the future consumer base.
4. The unlawful use or misuse of the undertaking's products and services by **consumers** and **end-users** fall outside the scope of this standard.

Interaction with other ESRS

5. This standard applies when material **impacts** on and/or material **risks** and **opportunities** related to **consumers** and/or **end-users** have been identified through the **materiality** assessment process laid out in ESRS 2 *General disclosures*.
6. This Standard shall be read in conjunction with ESRS 1 *General requirements*, and ESRS 2, as well as ESRS S1 *Own workforce*, ESRS S2 *Workers in the value chain* and ESRS S3 *Affected communities*.

Disclosure Requirements

ESRS 2 General Disclosures

7. The requirements of this section should be read in conjunction with the disclosures required by ESRS 2 on Strategy (SBM). The resulting disclosures shall be presented alongside the disclosures required by ESRS 2, except for SBM-3 *Material impacts, risks and opportunities and their interaction with strategy and business model*, for which the undertaking has an option to present the disclosures alongside the topical disclosure.

Strategy

Disclosure Requirement related to ESRS 2 SBM-2 – Interests and views of stakeholders

8. When responding to ESRS 2 SBM-2, paragraph 43, the undertaking shall disclose how the interests, views and rights of its **consumers** and/or **end-users**, including respect for their human rights, inform its strategy and business model. Consumers and/or end-users are a key group of affected **stakeholders**.

Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model

9. When responding to ESRS 2 SBM-3 paragraph 48, the undertaking shall disclose:
- (a) whether and how actual and potential **impacts** on **consumers** and/or **end-users** as identified in Disclosure Requirements ESRS 2 IRO-1 *Description of the processes to identify and assess material impacts, risks and opportunities*:
 - (i) originate from or are connected to the undertaking's strategy and **business model**, and (ii) inform and contribute to adapting the undertaking's strategy and business model, and
 - (b) the relationship between its material risks and opportunities arising from impacts and **dependencies** on consumers and/or end-users and its strategy and business model.
10. When fulfilling the requirements of paragraph 48, the undertaking shall disclose whether all **consumers** and/or **end-users** who are likely to be materially impacted by the undertaking, including **impacts** connected with the undertaking's own operations and **value chain**, including through its products or services, as well as through its **business relationships**, are included in the scope of its disclosure under ESRS 2. In addition, the undertaking shall disclose the following information:
- (a) a brief description of the types of consumers and/or end-users subject to material impacts by its own operations or through its value chain, and specify whether they are:
 - i. consumers and/or end-users of products that are inherently harmful to people and/or increase risks for chronic disease;
 - ii. consumers and/or end-users of services that potentially negatively impact their rights to privacy, to have their personal data protected, to freedom of expression and to non- **discrimination**;
 - iii. consumers and/or end-users who are dependent on accurate and accessible product- or service- related information, such as manuals and product labels, to avoid potentially damaging use of a product or service;
 - iv. consumers and/or end-users who are particularly vulnerable to health or privacy impacts or impacts from marketing and sales strategies, such as children or financially vulnerable individuals;
 - (b) in the case of material negative impacts, whether they are either (i) widespread or systemic in contexts where the undertaking sells or provides its products or services (for example, state surveillance that affects the privacy of service users), or (ii) related to individual **incidents** (for example, a defect linked to a particular product) or to specific business relationships (for example, a business partner uses marketing that inappropriately targets young **consumers**);

- (c) in the case of material positive impacts, a brief description of the activities that result in the positive impacts (for example, product design that improves its accessibility for persons with disabilities) and the types of consumers and/or end-users that are positively affected or could be positively affected; the undertaking may also disclose whether the positive impacts occur in specific countries or regions; and
 - (d) any material risks and opportunities for the business arising from impacts and dependencies on consumers and/or end-users.
11. In describing the main types of **consumers** and/or **end-users** who are or could be negatively affected, based on the **materiality** assessment set out in ESRS 2 IRO-1, the undertaking shall disclose whether and how it has developed an understanding of how consumers and/or end-users with particular characteristics, or those using particular products or services, may be at greater risk of harm.
 12. The undertaking shall disclose which, if any, of its material risks and opportunities arising from impacts and **dependencies** on **consumers** and/or **end-users**, relate to specific groups of consumers and/or end-users (for example, particular age groups) rather than to all consumers and/or end-users.

Impact, risk and opportunity management

Disclosure Requirement S4-1 – Policies related to consumers and end-users

13. **The undertaking shall describe its policies adopted to manage its material impacts of its products and/or services on consumers and end-users, as well as associated material risks and opportunities.**
14. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking has policies that address the identification, assessment, management and/or **remediation** of material **impacts** on **consumers** and/or **end-users** specifically, as well as policies that cover material risks or opportunities related to consumers and/or end-users.
15. The disclosure required by paragraph 13 shall contain the information on the undertaking's policies to manage its material impacts, risks and opportunities related to **consumers** and/or **end-users** in accordance with ESRS 2 MDR-P *Policies adopted to manage material sustainability matters*. In addition, the undertaking shall specify if such policies cover specific groups or all consumers and/or end-users.
16. The undertaking shall describe its human rights **policy** commitments ⁽¹¹⁶⁾ that are relevant to **consumers** and/or **end-users**, including those processes and mechanisms to monitor compliance with the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental Principles and Rights at Work or OECD Guidelines for Multinational Enterprises. In its disclosure it shall focus on those matters that are material, as well as the general approach in relation to ⁽¹¹⁷⁾:
 - (a) respect for the human rights of consumers and/or end-users;
 - (b) engagement with consumers and/or end-users; and
 - (c) measures to provide and/or enable **remedy** for human rights impacts.
17. The undertaking shall disclose whether and how its policies with regard to **consumers** and/or **end-users** are aligned with internationally recognised instruments relevant to consumers and/or end-users, including United Nations (UN) Guiding Principles on Business and Human Rights. The undertaking shall also disclose the extent to which cases of non-respect of the UN Guiding Principles on Business and Human Rights, ILO Declaration on Fundamental

⁽¹¹⁶⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #9 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Lack of a human rights policy").

⁽¹¹⁷⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #11 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments.

Principles and Rights at Work or OECD Guidelines for Multinational Enterprises that involve consumers and/or end-users have been reported in its downstream **value chain** and, if applicable, an indication of the nature of such cases ⁽¹¹⁸⁾.

Disclosure Requirement S4-2 – Processes for engaging with consumers and end-users about impacts

18. **The undertaking shall disclose its general processes for engaging with consumers and end-users and their representatives about actual and potential impacts on them.**
19. The objective of this Disclosure Requirement is to enable an understanding of whether and how the undertaking engages, as part of its ongoing due diligence process, with **consumers** and/or **end-users**, their legitimate representatives, or with **credible proxies**, about material actual and potential positive and/or negative impacts that do or are likely to affect them, and whether and how perspectives of consumers and/or end-users are taken into account in the decision-making processes of the undertaking.
20. The undertaking shall disclose whether and how the perspectives of **consumers** and/or **end-users** inform its decisions or activities aimed at managing actual and potential impacts on consumers and/or end-users. This shall include, where relevant, an explanation of:
 - (a) whether engagement occurs with affected consumers and/or end-users or their **legitimate representatives** directly, or with **credible proxies** that have insight into their situation;
 - (b) the stage(s) at which engagement occurs, the type of engagement, and the frequency of the engagement;
 - (c) the function and the most senior role within the undertaking that has operational responsibility for ensuring this engagement happens and that the results inform the undertaking's approach; and
 - (d) where applicable, how the undertaking assesses the effectiveness of its engagement with consumers and/or end-users, and, where relevant, any agreements or outcomes that result from such engagement.
21. Where applicable, the undertaking shall disclose the steps it takes to gain insight into the perspectives of **consumers** and/or **end-users** that may be particularly vulnerable to impacts and/or marginalised (for example, people with disabilities, children, etc.).
22. If the undertaking cannot disclose the above required information because it has not adopted a general process to engage with **consumers** and/or **end-users**, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a process in place.

Disclosure Requirement S4-3 – Processes to remediate negative impacts and channels for consumers and end-users to raise concerns

23. **The undertaking shall describe the processes it has in place to provide for or cooperate in the remediation of negative impacts on consumers and end-users that the undertaking is connected with, as well as channels available to consumers and end-users to raise concerns and have them addressed.**

⁽¹¹⁸⁾ This information supports the information needs of: financial market participants subject to Regulation (EU) 2019/2088 because it is derived from a mandatory indicator related to principal adverse impacts as set out by indicator #10 in Table I of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Violations of UN Global Compact principles and Organisation for Economic Cooperation and Development (OECD) Guidelines for Multinational Enterprises"); and benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Number of benchmark constituents subject to social violations (absolute number and relative divided by all benchmark constituents), as referred to in international treaties and conventions, United Nations principles and, where applicable, national law" in section 1 and 2 of Annex II.

24. The objective of this Disclosure Requirement is to enable an understanding of the formal means by which **consumers** and/or **end-users** can make their concerns and needs known directly to the undertaking, and/or through which the undertaking supports the availability of such channels (for example, ***grievance mechanisms***) by its business relationships, how follow up is performed with these consumers and/or end-users regarding the issues raised, and the effectiveness of these channels.
25. The undertaking shall describe:
 - (a) its general approach to and processes for providing or contributing to ***remedy*** where it has identified that it has caused or contributed to a material negative impact on **consumers** and/or **end-users**, including whether and how the undertaking assesses that the remedy provided is effective;
 - (b) any specific channels it has in place for consumers and/or end-users to raise their concerns or needs directly with the undertaking and have them addressed, including whether these are established by the undertaking itself and/or through participation in third-party mechanisms;
 - (c) the processes through which the undertaking supports or requires the availability of such channels by its business relationships; and
 - (d) how it tracks and monitors issues raised and addressed, and how it ensures the effectiveness of the channels, including through involvement of **stakeholders** who are the intended users.
26. The undertaking shall disclose whether and how it assesses that **consumers** and/or **end-users** are aware of and trust these structures or processes as a way to raise their concerns or needs and have them addressed. In addition, the undertaking shall disclose whether it has policies in place to protect individuals from retaliation when they use such structures or processes. If such information has been disclosed in accordance with ESRS G1-1, the undertaking may refer to that information.
27. If the undertaking cannot disclose the above required information because it has not adopted a channel for raising concerns and/or does not support the availability of mechanisms by its business relationships, it shall disclose this to be the case. It may disclose a timeframe in which it aims to have such a channel or processes in place.

Disclosure Requirement S4-4 – Taking action on material impacts on consumers and end- users, and approaches to managing material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions

28. **The undertaking shall disclose how it takes action to address material impacts on consumers and end-users, and to manage material risks and pursue material opportunities related to consumers and end-users, and effectiveness of those actions.**
29. The objective of this Disclosure Requirement is twofold. Firstly, it is to provide an understanding of any **actions** and initiatives through which the undertaking seeks to:
 - (a) prevent, mitigate and remediate the negative material impacts on **consumers** and/or **end-users**, and/or
 - (b) achieve positive material impacts for consumers and/or end-users.

Secondly, it is to enable an understanding of the ways in which the undertaking is addressing the material risks and pursuing the material opportunities related to consumers and/or end-users.
30. The undertaking shall provide a summarised description of the action plans and resources to manage its material impacts, risks, and opportunities related to **consumers** and **end-users** as per ESRS 2 MDR-A *Actions and resources in relation to material sustainability matters*.
31. In relation to material impacts, the undertaking shall describe:
 - (a) **actions** taken, planned or underway to prevent, mitigate or remediate material negative impacts on **consumers** and/or **end-users**;

- (b) whether and how it has taken action to provide or enable **remedy** in relation to an actual material impact;
 - (c) any additional actions or initiatives it has in place with the primary purpose of positively contributing to improved social outcomes for consumers and/or end-users; and
 - (d) how it tracks and assesses the effectiveness of these **actions** and initiatives in delivering intended outcomes for consumers and/or end-users.
32. In relation to paragraph 28, the undertaking shall describe:
- (a) the processes through which it identifies what action is needed and appropriate in response to a particular actual or potential negative impact on **consumers** and/or **end-users**;
 - (b) its approaches to taking action in relation to specific material negative impacts on consumers and/or end-users, including any action in relation to its own practices regarding product design, marketing or sales, as well as whether wider industry or collaborative action with other relevant parties will be required; and
 - (c) how it ensures that processes to provide or enable **remedy** in the event of material negative impacts are available and effective in their implementation and outcomes.
33. In relation to material risks and opportunities, the undertaking shall describe:
- (a) what action is planned or underway to mitigate material risks for the undertaking arising from its impacts and **dependencies** on **consumers** and/or **end-users** and how it tracks effectiveness in practice; and
 - (b) what action is planned or underway to pursue material opportunities for the undertaking in relation to consumers and/or end-users.
34. The undertaking shall disclose whether and how it takes action to avoid causing or contributing to material negative impacts on **consumers** and/or **end-users** **through** its own practices, including, where relevant, in relation to marketing, sales and data use. This may include disclosing what approach is taken when tensions arise between the prevention or mitigation of material negative impacts and other business pressures.
35. When preparing this disclosure, the undertaking shall consider whether severe human rights issues and **incidents** connected to its **consumers** and/or **end-users** have been reported and, if applicable, disclose these ⁽¹¹⁹⁾.
36. Where the undertaking evaluates the effectiveness of an action by setting a target, in disclosing the information required under paragraph 32 (c), the undertaking shall consider ESRS 2 MDR-T *Tracking effectiveness of policies and actions through targets*.
37. The undertaking shall disclose what resources are allocated to the management of its material impacts with information that enables **users** to gain an understanding of how the material impacts are managed.

Metrics and targets

Disclosure Requirement S4-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

38. The undertaking shall disclose the time-bound and outcome-oriented targets it may have set related to:
- (a) **reducing negative impacts on consumers and/or end-users; and/or**
 - (b) **advancing positive impacts on consumers and/or end-users; and/or**
 - (c) **managing material risks and opportunities related to consumers and/or end-users.**

⁽¹¹⁹⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #14 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosure rules on sustainable investments ("Number of identified cases of severe human rights issues and incidents").

39. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking is using time-bound and outcome-oriented **targets** to drive and measure progress in addressing material negative impacts, and/or advancing positive impacts on **consumers** and/or **end-users**, and/or in managing material risks and opportunities related to consumers and/or **end-users**.
 40. The summarised description of the **targets** to manage its material **impacts, risks** and **opportunities** related to **consumers** and/or **end-users** shall contain the information requirements defined in ESRS 2 MDR-T.
 41. The undertaking shall disclose the process for setting the **targets**, including whether and how the undertaking engaged directly with **consumers** and/or **end-users**, their legitimate representatives, or with **credible proxies** that have insight into their situation in:
 - (a) setting any such targets;
 - (b) tracking the undertaking's performance against them; and
 - (c) identifying, if any, lessons or improvements as a result of the undertaking's performance.
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Appendix A

Application Requirements

This appendix is an integral part of the ESRS S4 *Consumers and end-users*. It supports the application of the requirements set out in this standard and has the same authority as the other parts of the standard.

Objective

- AR 1. The undertaking may highlight special issues relevant to a material impact for a shorter period of time, for instance initiatives regarding the health and safety of **consumers** and/or **end-users** in relation to contamination of a product or severe breach of privacy due to a massive data leak.
- AR 2. The overview of social and human rights matters provided in paragraph 2 is not meant to imply that all of these issues should be disclosed in each Disclosure Requirement in this Standard. Rather, it provides a list of matters that the undertaking shall consider in its **materiality** assessment (ref. to ESRS 1 chapter 3 *Double materiality as the basis for sustainability disclosures* and ESRS 2 IRO-1) related to **consumers** and/or **end-users** and, subsequently, disclose as material impacts, risks and opportunities within the scope of this Standard.

ESRS 2 General disclosures*Strategy***Disclosure Requirement related to ESRS 2 SBM-2 – Interests and views of stakeholders**

- AR 3. ESRS 2 SBM-2 requires the undertaking to provide an understanding of if and how it considers whether its strategy and business model play a role in creating, exacerbating or (conversely) mitigating significant material impacts on **consumers** and/or **end-users**, and whether and how the business model and strategy are adapted to address such material impacts.
- AR 4. While **consumers** and/or **end-users** may not be engaging with the undertaking at the level of its strategy or business model, their views can inform the undertaking's assessment of its strategy and business model. The undertaking may disclose the views of the (actual or potential) materially affected consumers and/or end-users' **legitimate representatives** or those of **credible proxies** that have insight into their situation.

Disclosure Requirement related to ESRS 2 SBM-3 – Material impacts, risks and opportunities and their interaction with strategy and business model

- AR 5. Impacts on **consumers** and/or **end-users** can originate in the undertaking's business model or strategy in a number of different ways. For example, impacts may relate to the undertaking's value proposition (for example, providing online platforms with potential for online and offline harm), its **value chain** (for example, speed in developing products or services, or delivering projects, with risks to health and safety), or its cost structure and the revenue model (for example, sales-maximising incentives that put consumers at risk).
- AR 6. Impacts on **consumers** and/or **end-users** that originate in the strategy or business model can also bring material risks to the undertaking. For example, if the undertaking's business model is premised on incentivising its sales force to sell high volumes of a product or service (for example, credit cards or pain medicine) at speed, and this results in large-scale harm to consumers, the undertaking may face lawsuits and reputational damage affecting its future business and credibility.
- AR 7. Examples of particular characteristics of **consumers** and/or **end-users** that may be considered by the undertaking when responding to paragraph 11 include young consumers and/or end-users who may be more susceptible to impacts on their physical and mental development, or who lack financial literacy and may be more susceptible to exploitative sales or marketing practices. They may also include women in a context where women are routinely discriminated against in their access to particular services or in the marketing of particular products.

- AR 8. With regard to paragraph 12, the **risks** could arise because of the undertaking's dependency on **consumers** and/or **end-users** where low likelihood but high impact events may trigger **financial effects**, for example, where a global pandemic leads to severe impacts on certain consumers' livelihoods resulting in major changes in patterns of consumption.

Impact, risk and opportunity management

Disclosure Requirement S4-1 – Policies related to consumers and end-users

- AR 9. The description shall include the key information necessary to ensure a faithful representation of the policies in relation to **consumers** and **end-users**, and therefore, the undertaking shall consider explanations of significant changes to the policies adopted during the reporting year (for example, new expectations for business customers, new or additional approaches to due diligence and remedy).
- AR 10. The **policy** may take the form of a stand-alone policy regarding **consumers** and/or **end-users** or be included in a broader document such as a code of ethics or a general sustainability policy that has already been disclosed by the undertaking as part of another ESRS. In those cases, the undertaking shall provide an accurate cross-reference to identify the aspects of the policy that satisfy the requirements of this Disclosure Requirement.
- AR 11. In disclosing its alignment of its policies with the UN Guiding Principles on Business and Human Rights, the undertaking shall consider that the Guiding Principles refer to the International Bill of Human Rights, which consists of the Universal Declaration of Human Rights and the two Covenants that implement it, and may disclose its alignment with these instruments.
- AR 12. When disclosing how external facing policies are embedded, the undertaking may, for example, consider internal-facing sales and distribution policies and alignment with other policies relevant to **consumers** and/or **end-users**. The undertaking shall also consider its policies for safeguarding the veracity and usefulness of information provided to potential and actual consumers and/or end-users, both before and after sale.
- AR 13. The undertaking may provide an illustration of the types of communication of its policies to those individuals, group of individuals or entities for whom they are relevant, either because they are expected to implement them (for example, the undertaking's **employees**, contractors and **suppliers**), or because they have a direct interest in their implementation (for example, own workers, investors). It may disclose communication tools and channels (for example, flyers, newsletters, dedicated websites, social media, face to face interactions, workers' representatives), aimed at ensuring that the **policy** is accessible and that different audiences understand its implications. The undertaking may also explain how it identifies and removes potential barriers for dissemination, such as through translation into relevant languages or the use of graphic depictions.

Disclosure Requirement S4-2 – Processes for engaging with consumers and end-users about impacts

- AR 14. **Credible proxies** who have knowledge of the interests, experiences or perspectives of **consumers** and **end-users** could include national consumer protection bodies for some consumers.
- AR 15. When describing which function or role has operational responsibility for such engagement and/or ultimate accountability, the undertaking may disclose whether this is a dedicated role or function or part of a broader role or function, and whether any capacity building activities have been offered to support the staff to undertake engagement. If it cannot identify such a position or function, it may state that this is the case. This disclosure could also be fulfilled by making reference to information disclosed according to ESRS 2 GOV-1 *The role of the administrative, management and supervisory bodies*.

AR 16. When preparing the disclosures described in paragraph 20 b) and c), the following illustrations may be considered:

- (a) for stage(s) at which engagement occurs, examples could be in determining mitigation approaches or in evaluating their effectiveness;
- (b) for type of engagement, these could be participation, consultation and/or information;
- (c) for the frequency of the engagement, information may be provided on whether engagement occurs on a regular basis, at certain points in a project or business process, as well as whether it occurs in response to legal requirements and/or in response to stakeholder requests and whether the result of the engagement is being integrated into the undertaking's decision-making processes; and
- (d) for the role with operational responsibility, whether the undertaking requires relevant staff to have certain skills, or whether it provides **training** or capacity building to relevant staff to undertake engagement.

AR 17. To illustrate how the perspectives of **consumers** and/or **end-users** have informed specific decisions or activities of the undertaking, the undertaking may provide examples from the current reporting period.

Disclosure Requirement S4-3 – Processes to remediate negative impacts and channels for consumers and end-users to raise concerns

AR 18. In fulfilling the requirements set out by the disclosure criteria of ESRS S4-3, the undertaking may be guided by the content of the UN Guiding Principles on Business and Human Rights and the OECD Guidelines for Multinational Enterprises focused on **remediation** and **grievance mechanisms**.

AR 19. Channels for raising concerns or needs, include **grievance mechanisms**, hotlines, dialogue processes or other means through which **consumers** and/or **end-users** or their **legitimate representatives** can raise concerns about impacts or explain needs that they would like the undertaking to address. This could include channels provided by the undertaking directly and is to be disclosed in addition to any other mechanisms the undertaking may use to gain insight into the management of impacts on consumers and/or end-users, such as compliance audits. Where the undertaking is relying solely on information about the existence of such channels provided by its **business relationships** to answer this requirement, it may state that.

AR 20. To provide greater insight into the information covered in ESRS S4-3, the undertaking may provide insight into whether and how **consumers** and/or **end-users** that may be affected are able to access channels at the level of the undertaking they are affected by, in relation to each material impact.

AR 21. Third party mechanisms could include those operated by the government, NGOs, industry associations and other collaborative initiatives. With regard to the scope of these mechanisms, the undertaking may disclose whether these are accessible to all **consumers** and/or **end-users** who may be potentially or actually materially impacted by the undertaking, or individuals or organisations acting on their behalf or who are otherwise in a position to be aware of negative impacts, and through which consumers and/or end-users (or individuals or organisations acting on their behalf or who are otherwise in a position to be aware of negative impacts), can raise complaints or concerns related to the undertaking's own activities.

AR 22. In relation to the protection of individuals that use the mechanisms against the retaliation, the undertaking may describe whether it treats grievances confidentially and with respect to the rights of privacy and data protection; and whether they allow for **consumer** and/or **end-users** to use them anonymously (for example, through representation by a third party).

AR 23. In disclosing whether and how the undertaking knows that **consumers** and/or **end-users** are aware of and trust any of these channels, the undertaking may provide relevant and reliable data about the effectiveness of these channels from the perspective of consumers and/or end-users themselves. Examples of sources of information are surveys of

consumers and/or end-users that have used such channels and their levels of satisfaction with the process and outcomes. To illustrate the usage level of such channels, the undertaking may disclose the number of complaints received from consumers and/or end-users during the reporting period.

AR 24. In describing the effectiveness of channels for **consumers** and/or **end-users** to raise concerns, the undertaking may be guided by the following questions, based on the “effectiveness criteria for nonjudicial ***grievance mechanisms***”, as laid out in the UN Guiding Principles on Business and Human Rights. The below considerations may be applied on an individual channel basis or for the collective system of channels:

- (a) do the channels hold legitimacy by providing appropriate accountability for their fair conduct and building stakeholder trust?
- (b) are the channels known and accessible to **stakeholders**?
- (c) do the channels have known procedures, set timeframes and clarity on the processes?
- (d) do the channels ensure reasonable access to sources of information, advice and expertise?
- (e) do the channels offer transparency by providing sufficient information both to complainants and where applicable, to meet any public interest at stake?
- (f) do the outcomes achieved from the channels accord with internationally recognised human rights?
- (g) does the undertaking identify insights from the channels that support continuous learning in both improving the channels and preventing future impacts?
- (h) does the undertaking focus on dialogue with complainants as the means to reach agreed solutions, rather than seeking to unilaterally determine the outcome?

For more information, see Principle 31 of the UN Guiding Principles on Business and Human Rights.

Disclosure Requirement S4-4 – Taking action on material impacts on consumers and end- users, and approaches to managing material risks and pursuing material opportunities related to consumers and end-users, and effectiveness of those actions

AR 25. It may take time to understand negative impacts and how the undertaking may be involved with them through its downstream value chain, as well as to identify appropriate responses and put them into practice). Therefore, the undertaking shall consider:

- (a) Its general and specific approaches to addressing material negative impacts;
- (b) its initiatives aimed at contributing to additional material positive impacts;
- (c) how far it has progressed in its efforts during the reporting period; and
- (d) its aims for continued improvement.

AR 26. Appropriate action can vary according to whether the undertaking causes or contributes to a material impact, or whether the material impact is directly linked to its own operations, products or services through a business relationship.

AR 27. Given that material negative impacts affecting **consumers** and/or **end-users** that have occurred during the reporting period may also be linked to entities or operations outside its direct control, the undertaking may disclose whether and how it seeks to use leverage with relevant **business relationships** to manage those impacts. This may include using commercial **leverage** (for example, enforcing contractual requirements with business relationships or implementing incentives), other forms of leverage within the relationship (such as providing **training** or capacity-building on proper product use or sale practices to business relationships) or collaborative leverage with peers or other actors (such as initiatives aimed at responsible marketing or product safety).

- AR 28. When the undertaking discloses its participation in an industry or multi-stakeholder initiative as part of its **actions** to address material negative impacts, the undertaking may disclose how the initiative, and its own involvement, is aiming to address the material impact concerned. It may disclose under ESRS S4-5 the relevant **targets** set by the initiative and progress towards them.
- AR 29. When disclosing whether and how it considers actual and potential impacts on **consumers** and/or **end-users** in decisions to terminate **business relationships** and whether and how it seeks to address any negative impacts that may result from termination, the undertaking may include examples.
- AR 30. In disclosing how it tracks the effectiveness of **actions** to manage material impacts during the reporting period, the undertaking may disclose any lessons learned from the previous and current reporting periods.
- AR 31. Processes used to track the effectiveness of **actions** can include internal or external auditing or verification, court proceedings and/or related court decisions, impact assessments, measurement systems, stakeholder feedback, **grievance mechanisms**, external performance ratings, and benchmarking.
- AR 32. Reporting on effectiveness is aimed at enabling the understanding of the links between **actions** taken by the undertaking and the effective management of impacts.
- AR 33. With regard to initiatives or processes the undertaking has in place that are based on affected **consumers** and/or **end-users'** needs and their level of implementation, the undertaking may disclose:
- (a) information about whether and how consumers and/or end-users and **legitimate representatives** or their **credible proxies** play a role in decisions regarding the design and implementation of these programmes or processes; and
 - (b) information about the intended or achieved positive outcomes for consumers and/or end-users of these programmes or processes.
- AR 34. The undertaking may disclose whether any initiatives or processes whose primary aim is to deliver positive impacts for **consumers** and/or **end-users** are designed to also support the achievement of one or more of the UN Sustainable Development Goals (SDGs). For example, through a commitment to advance UN SDG 3 to “ensure healthy lives and promote well-being for all at all ages” the undertaking may be actively working to make its products less addictive and harmful to physical and psychological health.
- AR 35. When disclosing the intended positive outcomes of its **actions** for **consumers** and/or **end-users** a distinction is to be made between evidence of certain activities having occurred (for example, that x number of consumers have received information about healthy eating habits) from evidence of actual outcomes for consumers and/or end-users (for example, that x number of consumers have adopted healthier eating habits).
- AR 36. When disclosing whether initiatives or processes also play a role in mitigating material negative impacts, the undertaking may, for example, consider programmes that aim to support heightened awareness of the risk of online scams, leading to a reduction in the number of cases of **end-users** experiencing breaches of data privacy.
- AR 37. When disclosing the material risks and opportunities related to the undertaking's impacts or **dependencies** on **consumers** and/or **end-users**, the undertaking may consider the following:
- (a) risks related to the undertaking's impacts on consumers and/or end-users may include reputational or legal exposure where poorly designed or defective products result in injuries or deaths;
 - (b) risks related to the undertaking's dependencies on consumers and/or end-users may include the loss of business continuity where an economic crisis makes consumers unable to afford certain products or services;

- (c) business opportunities related to the undertaking's impacts on consumers and/or end- users may include market differentiation and greater customer appeal from offering safe products or privacy-respecting services; and
- (d) business opportunities related to the undertaking's dependencies on consumers and/or end-users may include the achievement of a loyal future consumer base by ensuring, for example, that LGBTQI people are respected and that the undertaking's selling practices do not exclude such people from the products or services it offers.

AR 38. When disclosing whether **dependencies** turn into risks, the undertaking shall consider external developments.

AR 39. When disclosing policies, action and resources and **targets** related to the management of material risks and opportunities, in cases where risks and opportunities arise from a material impact, the undertaking may cross-reference its disclosures on policies, action and resources and **targets** in relation to that impact.

AR 40. The undertaking shall consider the extent to which its processes to manage material risks related to **consumers** and/or **end-users** are integrated into its existing risk management processes and how.

AR 41. When disclosing the resources allocated to the management of material impacts, the undertaking may disclose which internal functions are involved in managing the impacts and what types of action they take to address negative and advance positive impacts.

Metrics and targets

Disclosure Requirement S4-5 – Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

AR 42. When disclosing **targets** in relation to **consumers** and/or **end-users**, the undertaking may disclose:

- (a) the intended outcomes to be achieved in the lives of consumers and/or end-users, being as specific as possible;
- (b) their stability over time in terms of definitions and methodologies to enable comparability; and/or
- (c) references standards or commitments on which the **targets** are based are to be clearly defined in the reporting (for instance codes of conduct, sourcing policies, global frameworks or industry codes).

AR 43. **Targets** related to material **risks** and **opportunities** may be the same as or distinct from targets tied to material **impacts**. For example, a target to ensure equal access to finance for underserved **consumers** could both reduce **discrimination** impacts on those consumers and enlarge the undertaking's pool of customers.

AR 44. The undertaking may also distinguish between short, medium and long-term **targets** covering the same **policy** commitment. For example, the undertaking may have as a main objective to make its online services accessible to people with disabilities, with the long-term goal of having adapted 100% of its online services by 2025, and with the short-term objective of adding x number of accessible features every year up and until 2025.

AR 45. When modifying or replacing a target in the reporting period, the undertaking may explain the change by cross-referencing it to significant changes in the business model or to broader changes in the accepted standard or legislation from which the target is derived to provide contextual information as per ESRS 2 BP-2 *Disclosures in relation to specific circumstances*.

ESRS G1

BUSINESS CONDUCT

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Objective

1. The objective of this Standard is to specify disclosure requirements which will enable users of the undertaking's **sustainability statements** to understand the undertaking's strategy and approach, processes and procedures as well as its performance in respect of business conduct.
2. This Standard focusses on the following matters, collectively referred to in this Standard as 'business conduct or business conduct matters':
 - (a) business ethics and **corporate culture**, including anti-**corruption** and anti-**bribery**, the protection of whistleblowers, and animal welfare;
 - (b) the management of relationships with **suppliers**, including payment practices, especially with regard to late payment to small and medium-sized undertakings.
 - (c) activities and commitments of the undertaking related to exerting its political influence, including its **lobbying activities**;

Interaction with other ESRS

3. The content of this Standard on general disclosures as well as impact, risk and opportunity management and **metrics** and **targets** shall be read in conjunction respectively with ESRS 1 *General principles* and ESRS 2 *General requirements*.

Disclosure Requirements

ESRS 2 *General disclosures*

4. The requirements of this section should be read in conjunction with and reported alongside the disclosures required by ESRS 2 on Governance (GOV), Strategy (SBM) and Management of impacts, risks and opportunities (IRO).

Governance

Disclosure Requirement related to ESRS 2 GOV-1 – The role of the administrative, management and supervisory bodies

5. When disclosing information about the role of the **administrative, management and supervisory bodies**, the undertaking shall cover the following aspects:
 - (a) the role of the **administrative, management and supervisory bodies** related to business conduct; and
 - (b) the expertise of the administrative, management and supervisory bodies on business conduct matters.

Impact, risk and opportunity management

Disclosure Requirement related to ESRS 2 IRO-1 – Description of the processes to identify and assess material impacts, risks and opportunities

6. When describing the process to identify material impacts, risks and opportunities in relation to business conduct matters, the undertaking shall disclose all relevant criteria used in the process, including location, activity, sector and the structure of the transaction.

Disclosure Requirement G1-1– Business conduct policies and corporate culture

7. The undertaking shall disclose its policies with respect to business conduct matters and how it fosters its corporate culture.
8. The objective of this Disclosure Requirement is to enable an understanding of the extent to which the undertaking has policies that address the identification, assessment, management and/or **remediation** of its material **impacts, risks** and **opportunities** related to business conduct matters. It also aims to provide an understanding of the undertaking's approach to **corporate culture**.
9. The disclosures required under paragraph 7 shall include how the undertaking establishes, develops, promotes and evaluates its **corporate culture**.
10. The disclosures in paragraph 7 shall cover the following aspects related to the undertaking's policies on business conduct matters:
 - (a) a description of the mechanisms for identifying, reporting and investigating concerns about unlawful behaviour or behaviour in contradiction of its code of conduct or similar internal rules; and whether it accommodates reporting from internal and/or external **stakeholders**;

- (b) where the undertaking has no policies on anti-**corruption** or anti-**bribery** consistent with the United Nations Convention against Corruption ⁽¹²⁰⁾, it shall state this and whether it has plans to implement them and the timetable for implementation;
 - (c) how the undertaking protects whistleblowers, including:
 - i. details on the establishment of internal whistleblower reporting channels, including whether the undertaking provides for information and **training** to its own workers and information about the designation and training of staff receiving reports; and
 - ii. measures to protect against retaliation its own workers who are whistleblowers in accordance with the applicable law transposing Directive (EU) 2019/1937 of the European Parliament and of the Council ⁽¹²¹⁾;
 - (d) where the undertaking has no policies on the protection of whistle-blowers ⁽¹²²⁾, it shall state this and whether it has plans to implement them and the timetable for implementation;
 - (e) beyond the procedures to follow-up on reports by whistleblowers in accordance with the applicable law transposing Directive (EU) 2019/1937, whether the undertaking has procedures to investigate business conduct **incidents**, including incidents of **corruption** and **bribery**, promptly, independently and objectively;
 - (f) where applicable, whether the undertaking has in place policies with respect to animal welfare;
 - (g) the undertaking's **policy** for **training** within the organisation on business conduct, including target audience, frequency and depth of coverage; and
 - (h) the functions within the undertaking that are most at risk in respect of **corruption** and **bribery**.
11. Undertakings that are subject to legal requirements under national law transposing Directive (EU) 2019/1937, or to equivalent legal requirements with regard to the protection of whistle-blowers, may comply with the disclosure specified in paragraph 10 (d) by stating that they are subject to those legal requirements.

Disclosure Requirement G1-2 – Management of relationships with suppliers

- 12. The undertaking shall provide information about the management of its relationships with its suppliers and its impacts on its supply chain.
- 13. The objective of this Disclosure Requirement is to provide an understanding of the undertaking's management of its procurement process including fair behaviour with **suppliers**.
- 14. The undertaking shall provide a description of its **policy** to prevent late payments, specifically to SMEs.
- 15. The disclosure required under paragraph 12 shall include the following information:
 - (a) the undertaking's approach to its relationships with its **suppliers**, taking account of risks to the undertaking related to its **supply chain** and of **impacts** on **sustainability matters**; and
 - (b) whether and how it takes into account social and environmental criteria for the selection of its suppliers.

⁽¹²⁰⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #15 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments ("Lack of anti-corruption and anti-bribery policies").

⁽¹²¹⁾ Directive (EU) 2019/1937 of the European Parliament and of the Council of 23 October 2019 on the protection of persons who report breaches of Union law (OJ L 305, 26.11.2019, p. 17).

⁽¹²²⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts as set out by indicator #6 in Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments ("Insufficient whistleblower protection").

Disclosure Requirement G1-3 – Prevention and detection of corruption and bribery

16. The undertaking shall provide information about its system to prevent and detect, investigate, and respond to allegations or incidents relating to corruption and bribery including the related training.
17. The objective of this Disclosure Requirement is to provide transparency on the key procedures of the undertaking to prevent, detect, and address allegations about **corruption** and **bribery**. This includes the training provided to own workers and/or information provided internally or to **suppliers**.
18. The disclosure required under paragraph 16 shall include the following information:
 - (a) a description of the procedures in place to prevent, detect, and address allegations or **incidents of corruption** and **bribery**;
 - (b) whether the investigators or investigating committee are separate from the chain of management involved in the matter; and
 - (c) the process, if any, to report outcomes to the **administrative, management and supervisory bodies**.
19. Where the undertaking has no such procedures in place, it shall disclose this fact and, where applicable, its plans to adopt them.
20. The disclosures required by paragraph 16 shall include information about how the undertaking communicates its policies to those for whom they are relevant to ensure that the **policy** is accessible and that they understand its implications.
21. The disclosure required by paragraph 16 shall include information about the following with respect to training:
 - (a) the nature, scope and depth of anti-**corruption** and anti-**bribery** training programmes offered or required by the undertaking;
 - (b) the percentage of functions-at-risk covered by training programmes; and
 - (c) the extent to which training is given to members of the administrative, management and supervisory bodies.

*Metrics and targets***Disclosure Requirement G1-4 – Incidents of corruption or bribery**

22. The undertaking shall provide information on incidents of corruption or bribery during the reporting period.
23. The objective of this Disclosure Requirement is to provide transparency on the incidents relating to **corruption** or **bribery** during the reporting period and the related outcomes.
24. The undertaking shall disclose:
 - (a) the number of convictions and the amount of fines for violation of anti-corruption and anti- bribery laws ⁽¹²³⁾; and

⁽¹²³⁾ This information supports the information needs of: financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts set out in indicator #17 of Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments ("Number of convictions and amount of fines for violation of anti-corruption and anti-bribery laws"); and benchmark administrators to disclose ESG factors subject to Regulation (EU) 2020/1816 as set out by indicator "Numbers of convictions and amount of fines for violations of anti-corruption and anti-bribery laws" in section 1 and 2 of Annex II.

- (b) any actions taken to address breaches in procedures and standards of anti-corruption and anti-bribery ⁽¹²⁴⁾.
25. The undertaking may disclose:
- (a) the total number and nature of **confirmed incidents** of corruption or bribery;
 - (b) the number of **confirmed incidents** in which own workers were dismissed or disciplined for corruption or bribery-related incidents;
 - (c) the number of **confirmed incidents** relating to contracts with business partners that were terminated or not renewed due to violations related to corruption or bribery; and
 - (d) details of public legal cases regarding **corruption** or **bribery** brought against the undertaking and its own workers during the reporting period and the outcomes of such cases. This includes cases that were initiated in previous years where the outcome was only established in the current reporting period.
26. The disclosures required shall include **incidents** involving actors in its **value chain** only where the undertaking or its **employees** are directly involved.

Disclosure Requirement G1-5 – Political influence and lobbying activities

27. The undertaking shall provide information on the activities and commitments related to exerting its political influence, including its lobbying activities related to its material impacts, risks and opportunities.
28. The objective of this Disclosure Requirement is to provide transparency on the undertaking's activities and commitments related to exerting its political influence with political contributions, including the types and purpose of **lobbying activities**.
29. The disclosure required by paragraph 27 shall include:
- (a) if applicable, the representative(s) responsible in the **administrative, management and supervisory bodies** for the oversight of these activities;
 - (b) for financial or in-kind political contributions:
 - i. the total monetary value of financial and in-kind political contributions made directly and indirectly by the undertaking aggregated by country or geographical area where relevant, as well as type of recipient/beneficiary; and
 - ii. where appropriate, how the monetary value of in-kind contributions is estimated.
 - (c) the main topics covered by its **lobbying activities** and the undertaking's main positions on these in brief. This shall include explanations on how this interacts with its material impacts, risks and opportunities identified in its **materiality** assessment per ESRS 2; and
 - (d) if the undertaking is registered in the EU Transparency Register or in an equivalent transparency register in a Member State, the name of any such register and its identification number in the register.
30. The disclosure shall also include information about the appointment of any members of the **administrative, management and supervisory bodies** who held a comparable position in public administration (including regulators) in the 2 years preceding such appointment in the current reporting period.

Disclosure Requirement G1-6 – Payment practices

31. The undertaking shall provide information on its payment practices, especially with respect to late payments to small and medium enterprises (SMEs).

⁽¹²⁴⁾ This information supports the information needs of financial market participants subject to Regulation (EU) 2019/2088 because it is derived from an additional indicator related to principal adverse impacts set out in indicator #16 of Table III of Annex I of Commission Delegated Regulation (EU) 2022/1288 with regard to disclosures rules on sustainable investments ("Cases of insufficient action taken to address breaches of standards of anti-corruption and anti-bribery").

32. The objective of this Disclosure Requirement is to provide insights on the contractual payment terms and on its performance with regard to payment, especially as to how these impact SMEs and specifically with respect to late payments to SMEs.
 33. The disclosure under paragraph 31 shall include:
 - (a) the average time the undertaking takes to pay an invoice from the date when the contractual or statutory term of payment starts to be calculated, in number of days;
 - (b) a description of the undertaking's standard payment terms in number of days by main category of **suppliers** and the percentage of its payments aligned with these standard terms;
 - (c) the number of legal proceedings currently outstanding for late payments; and
 - (d) complementary information necessary to provide sufficient context. If the undertaking has used representative sampling to calculate the information required under point (a), it shall state that fact and briefly describe the methodology used.
-

Appendix A

Application Requirements

This appendix is an integral part of the ESRS G1 *Business conduct*. It supports the application of the disclosure requirements set out in this standard and has the same authority as the other parts of the Standard.

Impact, risk and opportunity management

Disclosure Requirement G1-1 – Business conduct policies and corporate culture

- AR 1. The undertaking may consider the following aspects when determining its disclosure under paragraph 7:
- (a) the aspects of **corporate culture** that are taken into consideration and discussed by the **administrative, management and supervisory bodies** and with which frequency;
 - (b) the principal themes that are promoted and communicated as part of the corporate culture;
 - (c) how the members of the undertaking's administrative, management and supervisory bodies provide direction to promote a corporate culture; and
 - (d) specific incentives or tools for its own workers to foster and encourage its corporate culture.

Disclosure Requirement G1-2 – Management of relationships with suppliers

- AR 2. For purposes of this standard, management of relationships with the undertaking's **suppliers** may include the following:
- (a) how the undertaking's practices, including activities to avoid or minimise the impacts of disruptions to its **supply chain**, support its strategy and risk management;
 - (b) training of the undertaking's procurement/supply chain workforce on engagement and dialogue with **suppliers** as well as incentives of its procurement workforce including whether such incentives refer to price, quality or sustainability factors;
 - (c) the screening and evaluation of social and environmental performance of suppliers;
 - (d) the inclusion of locally based suppliers in its supply chain and/or suppliers with certification;
 - (e) how the undertaking's practices deal with vulnerable suppliers;
 - (f) the undertaking's **targets** and **actions** with regard to communication and management of relationships with suppliers; and
 - (g) how the outcomes of these practices are evaluated, including supplier visits, audits or surveys.
- AR 3. 'Vulnerable suppliers' includes **suppliers** that are exposed to significant economic, environmental and/or social risks.

Disclosure Requirement G1-3 – Prevention and detection of corruption and bribery

- AR 4. 'Functions-at-risk' means those functions deemed to be at risk of **corruption** and **bribery** as a result of its tasks and responsibilities.
- AR 5. Disclosures may include details about the risk assessments and/or mapping, as well as monitoring programmes and/or internal control procedures performed by the undertaking to detect **corruption** and **bribery**.

AR 6. The undertaking's policies on **corruption** and **bribery** may be relevant to specific groups of people, either because they are expected to implement them (for example, the undertaking's **employees**, contractors and **suppliers**), or because they have a direct interest in their implementation (for example, **value chain** workers, investors). The undertaking may disclose the communication tools and channels (e.g., flyers, newsletters, dedicated websites, social media, face to face interactions, unions and/or workers representatives) to communicate policies to such groups. This may also include the identification and/or removal of potential barriers to dissemination, such as through translation into relevant languages or the use of graphic depictions.

AR 7. The undertaking may disclose an analysis of its training activities by, for example, region of training or category of **own workforce** where its programmes differ significantly based on such factors and such information would be useful to users.

AR 8. The undertaking may present the required information about training using the following table:

Anti-corruption and bribery training illustrative example

During the 20XY financial year ABC provided training to its at-risk own workers in terms of its policy (see note x). For those at-risk functions the training is mandatory, but ABC also made available voluntary training for other own workers. Details of its training during the year is as follows:

	At-risk functions	Managers	AMSB ⁽¹²⁵⁾	Other own workers
Training coverage				
Total	20 000	200	16	70 000
Total receiving training	19 500	150	8	5 000
Delivery method and duration				
Classroom training	5 hours			
Computer-based training	1 hour	2 hours	1 hour	
Voluntary computer-based training				1 hour
Frequency				
How often training is required	Annually	Annually	Bi-annually	-
Topics covered				
Definition of corruption	X	X	X	X
Policy	X	X	X	X
Procedures on suspicion/detection	X	X		
Etc.	X			

Metrics and targets

Disclosure Requirement G1-5 – Political influence and lobbying activities

AR 9. For purposes of this Standard 'political contribution' means financial or in-kind support provided directly to political parties, their elected representatives or persons seeking political office. Financial contributions can include donations, loans, sponsorships, advance payments for services, or the purchase of tickets for fundraising events and other similar practices. In-kind contributions can include advertising, use of facilities, design and printing, donation of equipment, provision of board membership, employment or consultancy work for elected politicians or candidates for office.

⁽¹²⁵⁾ Administrative, management and supervisory bodies.

- AR 10. 'Indirect political contribution' refers to those political contributions made through an intermediary organisation such as a lobbyist or charity, or support given to an organisation such as a think tank or trade association linked to or supporting particular political parties or causes.
- AR 11. When determining 'comparable position' in this standard, the undertaking shall consider various factors, including level of responsibility and scope of activities undertaken.
- AR 12. The undertaking may provide the following information on its financial or in-kind contributions with regard to its lobbying expenses:
- (a) the total monetary amount of such internal and external expenses; and
 - (b) the total amount paid for membership to lobbying associations.
- AR 13. If the undertaking is legally obliged to be a member of a chamber of commerce or other organisation that represents its interests, it may disclose that this is the case.
- AR 14. In meeting the requirement in paragraph 29(c) the undertaking shall consider the alignment between its public statements on its material impacts, risks and opportunities and its **lobbying activities**.
- AR 15. An example of what such disclosures could look like:

Political engagement (including lobbying activities) illustrative example

*During the 20XY financial year ABC was involved in activities around the proposed regulation XXX which could have significant negative impacts on its **business model** if implemented in the current format. ABC's considers that while the proposed regulation will realise some improvements to the regulatory regime such as xxx, in its current format the costs relating to xxx will outweigh the benefits. ABC and its peers continue to work with XXX (the regulator) to improve this balance.*

ABC also supported the QRP political party in Country X and EFG party in Country Y as both ABC is registered in its local transparency register, i.e., XYZ, and its registration number is 987234.

Amounts in € thousands.

	2023	2022 [TBC]
Political funding provided	100	
Funding to QRP	75	
Funding to EFG	25	
	100	

Disclosure Requirement G1-6 – Payment practices

- AR 16. In some cases, the undertaking's standard contractual payment terms may differ significantly depending on country or type of **supplier**. In such cases, information about the standard terms per main categories of suppliers or country or geographical region could be examples of additional contextual information to explain the disclosures in paragraph 33(b).

- AR 17. An example of what the description of standard contract term disclosures in paragraph 33(b) could look like:

ABC's standard contract payment terms are payment on receipt of invoice for wholesalers which encompass approximately 80% of its annual invoices by value. It pays for services received within 30 days after receipt of the invoice which are about 5% of its annual invoices. The remainder of its invoices are paid within 60 days of receipt except for those in country X which in accordance with the marketplace standards are paid within 90 days of receipt.

ANNEX II

ACRONYMS AND GLOSSARY OF TERMS

This Annex presents all the acronyms found in the ESRS (Table 1) as well as all terms defined in the ESRS (Table 2).

Table 1

Acronyms

AMS	Automated Measuring Systems
AQI	Air Quality Indices
AR	Application Requirements
AWS	Alliance for Water Stewardship
BAT	Best Available Technique
BAT-AEL	Best Available Technique-Associated Emission Level
BAT-AEPL	Best Available Technique-Associated Environmental Performance Level
BREFs	Best Available Techniques Reference Documents
Btu	British Thermal Units
CapEx	Capital Expenditure
CBD	Convention for Biological Diversity
CDDA	Common Database on Designated Areas
CEN	European Committee for Standardization
CENELEC	European Committee for Electrotechnical Standardization
CH ₄	Methane
CICES	Common International Classification of Ecosystem Services
CO ₂	Carbon Dioxide
CRR	Regulation (EU) 757/2013 of the European Parliament and of the Council ⁽¹⁾ (Capital Requirements Regulation)
DEGURBA	Degree of Urbanisation
DR BP-1	Disclosure Requirement - General basis for preparation of the sustainability statements
DR BP-2	Disclosure Requirement - Disclosures in relation to specific circumstances
DR GOV-1	Disclosure Requirement - The role of the administrative, management and supervisory bodies
DR GOV-2	Disclosure Requirement - Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies
DR GOV-3	Disclosure Requirement - Integration of sustainability- related performance in incentive schemes
DR GOV-4	Disclosure Requirement - Statement on sustainability due diligence
DR GOV-5	Disclosure Requirement - Risk management and internal controls over sustainability reporting

⁽¹⁾ Regulation (EU) 757/2013 of the European Parliament and of the Council of 26 June 2013 on prudential requirements for credit institutions and investment firms and amending Regulation (EU) 648/2012 (OJ L 176, 27.6.2013, p. 1).

DR SBM-1	Disclosure Requirement - Market position, strategy, business model(s) and value chain
DR SBM-2	Disclosure Requirement - Interests and views of stakeholders
DR SBM-3	Disclosure Requirement - Material impacts, risks and opportunities and their interaction with strategy and business model(s)
DR IRO-1	Disclosure Requirement - Description of the processes to identify and assess material impacts, risks and opportunities
DR IRO-2	Disclosure Requirements in ESRS covered by the undertaking's sustainability statements
DNSH	Do No Significant Harm
DR	Disclosure Requirements
EBA	European Banking Authority
EC	European Commission
EEA	European Economic Area
EFRAG	European Financial Reporting Advisory Group
EFRAG SRB	European Financial Reporting Advisory Group Sustainability Reporting Board
EIA	Environmental Impact Assessment
EMAS	Eco-Management and Audit Scheme
EPC	Energy Performance Certificate
E-PRTR	European Pollutant Release and Transfer Register
ESA	European Supervisory Authorities
ESMA	European Securities and Markets Authority
ESRS	European Sustainability Reporting Standards
ESRS 1	European Sustainability Reporting Standard 1 General requirements
ESRS 2	European Sustainability Reporting Standard 2 General disclosures
ESRS E1	European Sustainability Reporting Standard E1 Climate change
ESRS E2	European Sustainability Reporting Standard E2 Pollution
ESRS E3	European Sustainability Reporting Standard E3 Water and marine resources
ESRS E4	European Sustainability Reporting Standard E4 Biodiversity and ecosystems
ESRS E5	European Sustainability Reporting Standard E5 Resource use and circular economy
ESRS G1	European Sustainability Reporting Standard G1 Business conduct
ESRS S1	European Sustainability Reporting Standard S1 Own workforce
ESRS S2	European Sustainability Reporting Standard S2 Workers in the value chain
ESRS S3	European Sustainability Reporting Standard S3 Affected communities
ESRS S4	European Sustainability Reporting Standard S4 Consumers & end-users
EU	European Union
EU ETS	European Union Emissions Trading System

EWC	European Works Council
FPIC	Free, Prior and Informed Consent
FTE	Full-time equivalent
GAAP	Generally Accepted Accounting Principles
GHG	Greenhouse Gas
GJ	Giga-Joules
GRI	Global Reporting Initiative
GWP	Global Warming Potential
HFCs	Hydrofluorocarbons
IED	Directive 2010/75/EU of the European Parliament and of the Council ⁽²⁾ (Industrial Emissions Directive)
IFC	International Finance Corporation
IFRS	International Financial Reporting Standards
ILO	International Labour Organisation
IPBES	Intergovernmental Science-Policy Platform on Biodiversity and Ecosystem Services
IPCC	Intergovernmental Panel on Climate Change
ISEAL	International Social and Environmental Accreditation and Labelling Alliance
ISO	International Organization for Standardization
ISSB	International Sustainability Standards Board
ITS	Implementing Technical Standards
IUCN	International Union for Conservation of Nature
KBA	Key Biodiversity Areas
Kg	Kilogram
lb	Pounds
LEAP	Locate Evaluate Assess Prepare
LGBTQI	Lesbian, Gay, Bisexual, Transgender, Queer, Intersex
MDR	Minimum Disclosure Requirement
MWh	Mega-Watt-hours
N ₂ O	Nitrous Oxide
NACE	Statistical Classification of Economic Activities in the European Community
NF ₃	Nitrogen trifluoride
NGOs	Non-Governmental Organisations
NH ₃	Ammonia
NOX	Nitrogen oxides
NUTS	Nomenclature of Territorial Units of Statistics
O ₃	Ozone

⁽²⁾ Directive 2010/75/EU of the European Parliament and of the Council of 24 November 2010 on industrial emissions (integrated pollution prevention and control) (OJ L 334, 17.12.2010, p. 17).

ODS	Ozone-depleting substance
OECD	Organisation for Economic Co-operation and Development
OECM	One Earth Climate Model
OpEX	Operating Expenditure
PBTS	Persistent, bioaccumulative and toxic substances
PCAF	Partnership for Carbon Accounting Financial
PCFs	Perfluorocarbons
PM	Particulate Matter
PMTs	Persistent, Mobile and Toxic Substances
POPs	Persistent organic pollutants
REACH	Registration, Evaluation, Authorisation and Restriction of Chemicals
SBTi	Science Based Targets Initiative
SBTN	Science Based Targets Network
SCE	Societas Cooperativa Europaea
SDA	Sectoral Decarbonisation Approach
SDGs	Sustainable Development Goals
SDPI	Sustainable Development Performance Indicator
SE	Societas Europaea
SEEA	System of Environmental-Economic Accounting
SEEA EA	System of Environmental-Economic Accounting Ecosystem Accounting
SFDR	Regulation (EU) 2019/2088 of the European Parliament and of the Council ⁽³⁾ (Sustainable Finance Disclosures Regulation)
SOX	Sulphur oxides
SVHC	Substances of Very High Concern
TCFD	Task Force on Climate-Related Financial Disclosures
TNFD	Taskforce on Nature-related Financial Disclosures
UN	United Nations
UNEP	United Nations Environment Programme
UNESCO	United Nations Educational, Scientific and Cultural Organization
vPvBs	Very persistent and very bioaccumulative substances
vPvMs	Very persistent and very mobile substances
WDPA	World Database of Protected Areas
WRI	World Resources Institute
WWF	World-Wide Fund for Nature

⁽³⁾ Regulation (EU) 2019/2088 of the European Parliament and of the Council of 27 November 2019 on sustainability-related disclosures in the financial services sector (OJ L 317, 9.12.2019, p. 1).

Table 2

Terms defined in the ESRS

This table defines the terms to be used as reference for the preparation of the sustainability statements in accordance with the ESRS.

Defined term	Definition
Actions	Actions refer to: i. actions and action plans (including transition plans) that are undertaken to ensure that the undertaking delivers against targets set and through which the undertaking seeks to address material impacts, risks and opportunities ; and ii. decisions to support these with financial, human or technological resources.
Actor in the value chain	Individuals or entities in the upstream or downstream value chain . The actor is considered downstream from the undertaking (e.g., distributors, customers) when it receives products or services from the undertaking; it is considered upstream from the undertaking (e.g., suppliers) when it provides products or services that are used in the production of the undertaking's own products or services.
Adequate wage	A wage that provides for the satisfaction of the needs of the worker and his / her family in the light of national economic and social conditions.
Administrative, management and supervisory bodies	The governance bodies with the highest decision-making authority in the undertaking including its committees. If in the governance structure, there are no members of the administrative, management or supervisory bodies of the undertaking, the CEO, and if such function exists, the deputy CEO, should be included. In some jurisdictions, governance systems consist of two tiers, where supervision and management are separated. In such cases, both tiers are included under the definition of administrative, management and supervisory bodies .
Affected Communities	People or group(s) living or working in the same area that have been or may be affected by a reporting undertaking's operations or through its upstream and downstream value chain . Affected communities can range from those living adjacent to the undertaking's operations (local communities) to those living at a distance. Affected communities include actually and potentially affected indigenous peoples .
Annual total remuneration	Annual total remuneration to own workforce includes salary, bonus, stock awards, option awards, non-equity incentive plan compensation, change in pension value, and nonqualified deferred compensation earnings provided over the course of a year.
Anticipated financial effects	Financial effects that do not meet the recognition criteria for inclusion in the financial statement line items in the reporting period and that are not captured by the current financial effects .

Area at water risk	A water catchment, where several physical aspects related to water: - lead to one or more water bodies to be in less than good status and / or deteriorate in status (as defined in Directive 2000/60/EC of the European Parliament and of the Council ⁽⁴⁾), thus pointing to significant issues as regards water availability, quality, quantity (including high water-stress); and/or - lead to issues as regards accessibility of water, regulatory or reputational issues (including the shared use of water with communities and affordability of water) for its facilities and for the facilities of key supplier(s).
Area of high-water stress	Regions where the percentage of total water withdrawn is high (40-80%) or extremely high (greater than 80%) in the Aqueduct Water Risk Atlas tool of the World Resources Institute (WRI). See also water scarcity .
Associated process materials	Materials that are needed for the manufacturing process but are not part of the final product, such as lubricants for manufacturing machinery.
Best Available Techniques (BAT) conclusions	A document containing the parts of a BAT reference document laying down the conclusions on best available techniques , their description, information to assess their applicability, the emission levels associated with the best available techniques , the environmental performance levels associated with the best available techniques , the minimum content of an environmental management system including benchmarks associated with the best available techniques , associated monitoring, associated consumption levels and, where appropriate, relevant site remediation measures ⁽⁵⁾ .
Best Available Technique-Associated Emission Level (BAT-AEL)	The range of emission levels obtained under normal operating conditions using a best available technique or a combination of best available techniques , as described in BAT conclusions , expressed as an average over a given period of time, under specified reference conditions, i.e., the emission level that is associated with a BAT .
Best Available Technique-Associated Environmental Performance Level (BAT-AEPL)	The range of environmental performance levels, except emission levels, obtained under normal operating conditions using a BAT or a combination of BATs ⁽⁶⁾ .
Best Available Techniques (BAT) ⁽⁷⁾	The most effective and advanced stage in the development of activities and their methods of operation which indicates the practical suitability of particular techniques for providing the basis for emission limit values and other permit conditions designed to prevent and, where that is not practicable, to reduce emissions and the impact on the environment as a whole: “techniques” includes both the technology used and the way in which the installation is designed, built, maintained, operated and decommissioned;

⁽⁴⁾ Directive 2000/60/EC of the European Parliament and of the Council of 23 October 2000 establishing a framework for Community action in the field of water policy (OJ L 327, 22.12.2000, p. 1).

⁽⁵⁾ Directive 2010/75/EU on industrial emissions (IED).

⁽⁶⁾ Commission Implementing Decision of 10 February 2012 laying down rules concerning guidance on the collection of data and on the drawing up of BAT reference documents and on their quality assurance referred to in Directive 2010/75/EU of the European Parliament and of the Council on industrial emissions (OJ L 63, 2.3.2012, p. 1).

⁽⁷⁾ Article 3 point 10 of Directive 2010/75/EU on industrial emissions (IED).

	ii. “available techniques” means those developed on a scale which allows implementation in the relevant industrial sector, under economically and technically viable conditions, taking into consideration the costs and advantages, whether or not the techniques are used or produced inside the Member State in question, as long as they are reasonably accessible to the operator; and iii. “best” means most effective in achieving a high general level of protection of the environment as a whole.
Biodiversity loss	The reduction of any aspect of biological diversity (i.e., diversity at the genetic, species and ecosystem levels) in a particular area through death (including extinction), destruction or physical manual removal; it can refer to many scales, from global extinctions to population extinctions, resulting in decreased total diversity at the same scale.
Biodiversity or biological diversity	The variability among living organisms from all sources including terrestrial, marine and other aquatic ecosystems and the ecological complexes of which they are a part. This includes variation in genetic, phenotypic, phylogenetic, and functional attributes, as well as changes in abundance and distribution over time and space within and among species, biological communities and ecosystems .
Biodiversity sensitive area	Natura 2000 network of protected areas , UNESCO World Heritage sites and Key Biodiversity Areas (KBAs), as well as other protected areas , as referred to in Appendix D of Annex II to Commission Delegated Regulation (EU) 2021/2139 ⁽⁸⁾ .
Biosphere integrity or ecological integrity	The ability of an ecosystem to support and maintain ecological processes and a diverse community of organisms.
Blue economy	The blue economy encompasses all industries and sectors related to oceans, seas and coasts, whether they are based in the marine environment (e.g., shipping, fisheries, energy generation) or on land (e.g. ports, shipyards, land-based aquaculture and algae production, coastal tourism).
BREF or EU Best Available Techniques reference documents	A document resulting from the exchange of information organised pursuant to Article 13 of Directive 2010/75/EU of the European Parliament and of the Council ⁽⁹⁾ on industrial emissions , drawn up for defined activities and describing, in particular, applied techniques, present emissions and consumption levels, techniques considered for the determination of best available techniques as well as BAT conclusions and any emerging techniques, giving special consideration to the criteria listed in Annex III of Directive 2010/75/EU.
Bribery	Dishonestly persuading someone to act in your favour by giving them a gift of money or another inducement.

⁽⁸⁾ Commission Delegated Regulation (EU) 2021/2139 of 4 June 2021 supplementing Regulation (EU) 2020/852 of the European Parliament and of the Council by establishing the technical screening criteria for determining the conditions under which an economic activity qualifies as contributing substantially to climate change mitigation or climate change adaptation and for determining whether that economic activity causes no significant harm to any of the other environmental objectives (OJ L 442, 9.12.2021, p. 1).

⁽⁹⁾ Directive 2010/75/EU on industrial emissions (IED).

Business model	The undertaking's system of transforming inputs through its activities into outputs and outcomes that aims to fulfil the undertaking's strategic purposes and create value over the short-, medium- and long-term. ESRS use the term " business model " in the singular, although it is recognised that undertakings may have more than one business model.
Business relationships	The relationships the undertaking has with business partners, entities in its value chain , and any other non-State or State entity directly linked to its business operations, products or services. Business relationships are not limited to direct contractual relationships. They include indirect business relationships in the undertaking's value chain beyond the first tier, and shareholding positions in joint ventures or investments.
By-product	A substance or object resulting from a production process the primary aim of which is not the production of that substance or object is considered not to be waste , but to be a by-product if the following conditions are met: i. further use of the substance or object is certain; ii. the substance or object can be used directly without any further processing other than normal industrial practice; iii. the substance or object is produced as an integral part of a production process; and iv. further use is lawful, i.e., the substance or object fulfils all relevant product, environmental and health protection requirements for the specific use and will not lead to overall adverse environmental or human health impacts.
Carbon credit	A transferable or tradable instrument that represents one metric tonne of CO ₂ eq emission reduction or removal and is issued and verified according to recognised quality standards.
Carbon dioxide (CO₂) equivalent (eq)	The universal unit of measurement to indicate the global warming potential (GWP) of each greenhouse gas, expressed in terms of the GWP of one unit of carbon dioxide. It is used to evaluate releasing (or avoiding releasing) different greenhouse gases on a common basis.
Child labour	Work that deprives children of their childhood, their potential and their dignity, and that is harmful to physical and mental development. It refers to work that: i. is mentally, physically, socially or morally dangerous and harmful to children; and/or ii. interferes with their schooling by depriving them of the opportunity to attend school; obliging them to leave school prematurely; or requiring them to attempt to combine school attendance with excessively long and heavy work. A child is defined as a person under the age of 18. Whether or not particular forms of 'work' can be called 'child labour' depends on the child's age, the type and hours of work performed and the conditions under which it is performed. The answer varies from country to country, as well as among sectors within countries. The minimum age of work should not be less than the minimum age of completion of compulsory schooling, and, in any case, should not be less than 15 years according to International Labour Organisation (ILO) Convention No. 138 on Minimum Age. Exceptions can occur in certain countries where economies and educational facilities are insufficiently developed, and a minimum age of 14 years applies.

	These countries of exception are specified by the International Labour Organisation (ILO) in response to a special application by the country concerned and in consultation with representative organisations of employers and workers. National laws may permit the employment of persons 13 to 15 years of age in light work as long as it is not likely to be harmful to their health or development and does not prejudice their attendance at school or participation in vocational or training programmes. The minimum age for admission into work which by its nature or the circumstances in which it is carried out is likely to jeopardise the health, safety or morals of young persons shall not be less than 18 years.
Circular economy	An economic system in which the value of products, materials and other resources in the economy is maintained for as long as possible, enhancing their efficient use in production and consumption, thereby reducing the environmental impact of their use, minimising waste and the release of hazardous substances at all stages of their life cycle, including through the application of the waste hierarchy .
Circular economy principles	The European circular economy principles are: i. usability; ii. reusability; iii. repairability; iv. disassembly; v. remanufacturing or refurbishment; vi. recycling; vii. recirculation by the biological cycle; viii. other potential optimisation of product and material use.
Circular material use rate	Recirculation of materials, components and products in practice after first use employing the following strategies (in order of preference): i. maintenance/prolonged use; ii. reuse/redistribution; iii. refurbishment/remanufacturing; iv. recycling, composting, or anaerobic digestion. The use rate is defined as the ratio of circular use of materials to overall use of materials.
Classified information	EU classified information as defined in Council Decision 2013/488/EU ⁽¹⁰⁾ on the security rules for protecting EU classified information or classified by one of the Member States and marked as per Appendix B of that Council decision.
Climate change adaptation	The process of adjustment to actual and expected climate change and its impacts .
Climate change mitigation	The process of reducing GHG emissions and holding the increase in the global average temperature to 1,5 °C above pre-industrial levels, in line with the Paris Agreement.
Climate resilience	The capacity of an undertaking to adjust to climate changes, and to developments or uncertainties related to climate change. Climate resilience involves the capacity to manage climate-related Scope 1 and benefit from climate-related opportunities , including the ability to respond

⁽¹⁰⁾ 2013/488/EU: Council Decision of 23 September 2013 on the security rules for protecting EU classified information (OJ L 274, 15.10.2013, p. 1).

	and adapt to transition risks and physical risks . An undertaking's climate resilience includes both its strategic resilience and its operational resilience to climate-related changes, developments or uncertainties associated with climate change.
Climate-related opportunity	Potential positive effects related to climate change for the undertaking. Efforts to mitigate and adapt to climate change can produce opportunities for undertakings. Climate-related opportunities will vary depending on the region, market, and industry where an undertaking operates.
Climate-related physical risk (Physical risk from climate change)	Risks resulting from climate change that can be event-driven (acute) or from longer-term shifts (chronic) in climate patterns. Acute physical risks arise from particular hazards, especially weather-related events such as storms, floods, fires or heatwaves. Chronic physical risks arise from longer-term changes in the climate, such as temperature changes, and their effects on rising sea levels, reduced water availability, biodiversity loss and changes in land and soil productivity.
Climate-related transition risk	Risks that arise from the transition to a low-carbon and climate-resilient economy. They typically include policy risks , legal risks , technology risks , market risks and reputational risks .
Collective bargaining	All negotiations which take place between an employer, a group of employers or one or more employers' organisations, on the one hand, and one or more trade unions or, in their absence, the representatives of the workers duly elected and authorised by them in accordance with national laws and regulations, on the other, for: i. determining working conditions and terms of employment; and/or ii. regulating relations between employers and workers; and/or regulating relations between employers or their organisations and a workers' organisation or workers' organisations.
Confirmed incident (child or forced labour or human trafficking)	Incident of child or forced labour or human trafficking that has been found to be substantiated. Confirmed incidents do not include incidents of child or forced labour or human trafficking that are still under investigation in the reporting period.
Confirmed incident of corruption or bribery	An incident of corruption or bribery that has been found to be substantiated. Confirmed incidents of corruption or bribery do not include incidents of corruption or bribery that are still under investigation at the end of the reporting period. The determination of potential non-compliance cases as substantiated may be made either by the undertaking's compliance officer or similar function or an authority. A determination as substantiated by a court of law is not required.
Consumer	Individuals who acquire, consume or use goods and services for personal use, either for themselves or for others, and not for resale, commercial or trade, business, craft or profession purposes.
Corporate culture	Corporate culture expresses goals through values and beliefs. It guides the undertaking's activities through shared assumptions and group norms such as values or mission statements or a code of conduct.

Corruption	Abuse of entrusted power for private gain, which can be instigated by individuals or organisations. It includes practices such as facilitation payments, fraud, extortion, collusion, and money laundering. It also includes an offer or receipt of any gift, loan, fee, reward, or other advantage to or from any person as an inducement to do something that is dishonest, illegal, or a breach of trust in the conduct of the undertaking's business. This can include cash or in-kind benefits, such as free goods, gifts, and holidays, or special personal services provided for the purpose of an improper advantage, or that can result in moral pressure to receive such an advantage.
Credible proxies	Individuals with sufficiently deep experience in engaging with affected stakeholders from a particular region or context (for example, women workers on farms, indigenous peoples or migrant workers) who can help to effectively convey their likely concerns. In practice, this can include development and human rights NGOs, international trade unions and local civil society, including faith-based organisations.
Current financial effects	Financial effects for the current reporting period that are recognised in the primary financial statements.
Decarbonisation levers	Aggregated types of mitigation actions such as energy efficiency, electrification, fuel switching, use of renewable energy , products change, and supply-chain decarbonisation that fit with undertakings' specific actions .
Deforestation	Temporary or permanent human-induced conversion of forested land to non-forested land ⁽¹⁾ .
Degradation or degraded ecosystem	Chronic human impacts resulting in the loss of biodiversity and the disruption of an ecosystem's structure, composition, and functionality.
Dependencies	The situation of an undertaking being dependent on natural, human and/or social resources for its business processes.
Deposit in water and soil	An amount of a substance that has accumulated in the environment, either in water or in soil , and either as a consequence of regular activities or from incidents or from disposals of undertakings, independent of whether that accumulation occurs at the production site of an undertaking or outside.
Desertification	Land degradation in arid, semi-arid and dry sub-humid areas resulting from various factors, including climatic variations and human activities. Desertification does not refer to the natural expansion of existing deserts.
Discharge	Wastewater discharge means the amount of water (in m3) or substance (in kg BOD/d or comparable) added / leached to a water body from a point or a non-point source. Sewage effluent (or discharge) means treated sewage discharged from a sewage treatment plant.

⁽¹⁾ Annex I point 21 of Commission Delegated Regulation (EU) 2022/1288 of 6 April 2022 supplementing Regulation (EU) 2019/2088 of the European Parliament and of the Council with regard to regulatory technical standards specifying the details of the content and presentation of the information in relation to the principle of 'do no significant harm', specifying the content, methodologies and presentation of information in relation to sustainability indicators and adverse sustainability impacts, and the content and presentation of the information in relation to the promotion of environmental or social characteristics and sustainable investment objectives in pre-contractual documents, on websites and in periodic reports (OJ L 196, 25.7.2022, p. 1).

Discrimination	Discrimination can occur directly or indirectly. Direct discrimination occurs when an individual is treated less favourably by comparison to how others, who are in a similar situation, have been or would be treated, and the reason for this is a particular characteristic they hold, which falls under a 'protected ground'. Indirect discrimination occurs when an apparently neutral rule disadvantages a person or a group sharing the same characteristics. It must be shown that a group is disadvantaged by a decision when compared to a comparator group.
Double materiality	Double materiality has two dimensions: impact materiality and financial materiality . A sustainability matter meets the criterion of double materiality if it is material from the impact perspective or the financial perspective or both.
Durability of a product, component or material	The ability of a product, component or material to remain functional and relevant when used as intended.
Ecological threshold	The point at which a relatively small change in external conditions causes a rapid change in an ecosystem . When an ecological threshold has been passed, the ecosystem may no longer be able to return to its state by means of its inherent resilience.
Ecosystem extent	The size of an ecosystem asset, whereas an ecosystem asset is the contiguous space of a specific ecosystem type characterised by a distinct set of biotic and abiotic components and their interactions.
Ecosystem restoration	Any intentional activities that initiate or accelerate the recovery of an ecosystem from a degraded state.
Ecosystem services	The contributions of ecosystems to the benefits that are used in economic and other human activity, respectively the benefits people obtain from ecosystems . In the Millennium Ecosystem Assessment, ecosystem services can be divided into supporting, regulating, provisioning and cultural. The Common International Classification of Ecosystem Services (CICES) classifies types of ecosystems services.
Ecosystem(s)	A dynamic complex of plant, animal and micro-organism communities and their non-living environment interacting as a functional unit. A typology of ecosystems is provided by the IUCN Global Ecosystem Typology 2.0.
Emission	The direct or indirect release of substances , vibrations, heat or noise from individual or diffuse sources into air, water or soil ⁽¹³⁾ .
Employee	An individual who is in an employment relationship with the undertaking according to national law or practice.
End-users	Individuals who ultimately use or are intended to ultimately use a particular product or service.
Equal opportunities	Equal and non-discriminatory access, among individuals, to opportunities for education, training, employment, career development and the exercise of power without their being disadvantaged on the basis of criteria such as gender, racial or ethnic origin, nationality, religion or belief, disability, age or sexual orientation.

⁽¹³⁾ Directive 2010/75/EU on industrial emissions (IED).

Equal treatment	The principle of equal treatment is a general principle of European law which presupposes that comparable situations or parties in comparable situations are treated in the same way. In the context of ESRS S1, the term “ equal treatment ” also refers to the principle of non-discrimination, according to which there shall be no direct or indirect discrimination based on any ground such as sex, race, colour, ethnic or social origin, genetic features, language, religion or belief, political or any other opinion, membership of a national minority, property, birth, disability, age or sexual orientation.
Financial effects	Effects from risks and opportunities that affect the undertaking’s financial position, financial performance and cash flows over the short, medium or long term.
Financial materiality	A sustainability matter is material from a financial perspective if it generates risks or opportunities that affect (or could reasonably be expected to affect) the undertaking’s financial position, financial performance, cash flows, access to finance or cost of capital over the short, medium or long term.
Forced labour	All work or service which is exacted from any person under the threat of penalty and for which the person has not offered himself or herself voluntarily. The term encompasses all situations in which persons are coerced by any means to perform work and includes both traditional ‘slave-like’ practices and contemporary forms of coercion where labour exploitation is involved, which may include human trafficking and modern slavery.
Fossil fuel	Non-renewable carbon-based energy sources such as solid fuels, natural gas and oil.
Free, Prior and Informed Consent (FPIC)	A manifestation of indigenous peoples’ right to self-determine their political, social, economic and cultural priorities. It constitutes three interrelated and cumulative rights of indigenous peoples : the right to be consulted; the right to participate; and the right to their lands, territories and resources. FPIC pertains to indigenous peoples and is recognized under international human rights law, notably the United Nations Declaration on the Rights of Indigenous Peoples (UNDRIP).
Freshwater	Groundwater and surface water, with a mean annual salinity of < 0,5 ‰ (i.e., the limit mentioned in Annex II of the Water Framework Directive).
GHG emission reduction	Decrease in the undertaking’s Scope 1, 2, 3 or total GHG emissions at the end of the reporting period, relative to emissions in the base year. Emission reductions may result from, among others, energy efficiency, electrification, suppliers’ decarbonisation, electricity mix decarbonisation, sustainable products development or changes in reporting boundaries or activities (e.g., outsourcing, reduced capacities), provided they are achieved within the undertaking’s own operations and upstream and downstream value chain . Removals and avoided emissions are not counted as emission reductions .
GHG removal and storage	(Anthropogenic) removals refer to the withdrawal of GHGs from the atmosphere as a result of deliberate human activities. These include enhancing biological anthropogenic sinks of CO ₂ and using chemical engineering to achieve long-term removal and storage. Carbon capture and storage (CCS) from industrial and energy-related sources, which alone does not remove CO ₂ from the atmosphere, can remove atmospheric CO ₂ if it is

	combined with bioenergy production (Bioenergy with Carbon Capture & Storage - BECCS). Removals can be subject to reversals, which are any movement of stored GHG out of the intended storage that re-enters the atmosphere. For example, if a forest that was grown to remove a specific amount of CO ₂ is subject to a wildfire, the emissions captured in the trees are reversed.
Global warming potential (GWP)	A factor describing the radiative forcing impact (degree of harm to the atmosphere) of one unit of a given GHG relative to one unit of CO ₂ .
Greenhouse Gases (GHG)	The gases listed in Part 2 of Annex V of Regulation (EU) 2018/1999 of the European Parliament and of the Council ⁽¹³⁾ . These include Carbon dioxide (CO ₂), Methane (CH ₄), Nitrous Oxide (N ₂ O), Sulphur hexafluoride (SF ₆), Nitrogen trifluoride (NF ₃), Hydrofluorocarbons (HFCs), Perfluorocarbons (PFCs).
Grievance mechanism	Any routinized, state-based or non-state-based, judicial or non-judicial processes through which stakeholders can raise grievances and seek remedy. Examples of state-based judicial and non-judicial grievance mechanisms include courts, labour tribunals, national human rights institutions, National Contact Points under the OECD Guidelines for Multinational Enterprises, ombudsperson offices, consumer protection agencies, regulatory oversight bodies, and government-run complaints offices. Non-state-based grievance mechanisms include those administered by the undertaking, either alone or together with stakeholders, such as operational-level grievance mechanisms and collective bargaining, including the mechanisms established by collective bargaining. They also include mechanisms administered by industry associations, international organisations, civil society organisations, or multi-stakeholder groups. Operational-level grievance mechanisms are administered by the organisation either alone or in collaboration with other parties and are directly accessible by the organisation's stakeholders. They allow for grievances to be identified and addressed early and directly, thereby preventing both harm and grievances from escalating. They also provide important feedback on the effectiveness of the organisation's due diligence from those who are directly affected. According to UN Guiding Principle 31, effective grievance mechanisms are legitimate, accessible, predictable, equitable, transparent, rights-compatible, and a source of continuous learning. In addition to these criteria, effective operational-level grievance mechanisms are also based on engagement and dialogue. It can be more difficult for the organisation to assess the effectiveness of grievance mechanisms that it participates in compared to those it has established itself.
Groundwater	All water which is below the surface of the ground in the saturation zone and in direct contact with the ground or subsoil ⁽¹⁴⁾ .

⁽¹³⁾ Regulation (EU) 2018/1999 of the European Parliament and of the Council of 11 December 2018 on the Governance of the Energy Union and Climate Action, amending Regulations (EC) No 663/2009 and (EC) No 715/2009 of the European Parliament and of the Council, Directives 94/22/EC, 98/70/EC, 2009/31/EC, 2009/73/EC, 2010/31/EU, 2012/27/EU and 2013/30/EU of the European Parliament and of the Council, Council Directives 2009/119/EC and (EU) 2015/652 and repealing Regulation (EU) No 525/2013 of the European Parliament and of the Council (OJ L 328, 21.12.2018, p. 1).

⁽¹⁴⁾ Article 2(20) of Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088 (OJ L 198, 22.6.2020, p. 13).

Habitat	The place or type of site where an organism or population naturally occurs. Also used to mean the environmental attributes required by a particular species or its ecological niche.
Habitat fragmentation	A general term describing the set of processes by which habitat loss results in the division of continuous habitats into a greater number of smaller patches of lesser total size and isolated from each other by a matrix of dissimilar habitats . Habitat fragmentation may occur through natural processes (e.g., forest and grassland fires, flooding) and through human activities (forestry, agriculture, urbanisation).
Harassment	A situation where an unwanted conduct related to a protected ground of discrimination (for example, gender under Directive 2006/54/EC of the European Parliament and of the Council ⁽¹⁵⁾ , or religion or belief, disability, age or sexual orientation under Council Directive 2000/78/EC ⁽¹⁶⁾) occurs with the purpose or effect of violating the dignity of a person, and of creating an intimidating, hostile, degrading, humiliating or offensive environment.
Hazardous waste	Waste which displays one or more of the hazardous properties listed in Annex III of Directive 2008/98/EC of the European Parliament and of the Council ⁽¹⁷⁾ on waste .
High climate impact sectors	Sectors that are listed in Sections A to H and Section L of Annex I to Regulation (EC) No 1893/2006 of the European Parliament and of the Council ⁽¹⁸⁾ (as defined in Commission Delegated Regulation (EU) 2022/1288 ⁽¹⁹⁾).
Impacts	The effect the undertaking has or could have on the environment and people, including effects on their human rights, connected with its own operations and upstream and downstream value chain , including through its products and services, as well as through its business relationships . The impacts can be actual or potential, negative or positive, intended or unintended, and reversible or irreversible. They can arise over the short-, medium-, or long-term. Impacts indicate the undertaking's contribution, negative or positive, to sustainable development.
Impact drivers	All the factors that cause changes in nature, anthropogenic assets, nature's contributions to people and a good quality of life. Direct drivers of change can be both natural and anthropogenic. They have direct physical (mechanical, chemical, noise, light etc.) and behaviour-affecting impacts on nature. They include, inter alia, climate change, pollution , different types of land use change, invasive alien species and zoonoses, and exploitation.

⁽¹⁵⁾ Directive 2006/54/EC of the European Parliament and of the Council of 5 July 2006 on the implementation of the principle of equal opportunities and equal treatment of men and women in matters of employment and occupation (OJ L 204, 26.7.2006, p. 23).

⁽¹⁶⁾ Council Directive 2000/78/EC of 27 November 2000 establishing a general framework for equal treatment in employment and occupation (OJ L 303, 2.12.2000, p. 16).

⁽¹⁷⁾ Directive 2008/98/EC of the European Parliament and of the Council of 19 November 2008 on waste and repealing certain Directives (OJ L 312, 22.11.2008, p. 3).

⁽¹⁸⁾ Regulation (EC) No 1893/2006 of the European Parliament and of the Council of 20 December 2006 establishing the statistical classification of economic activities NACE Revision 2 and amending Council Regulation (EEC) No 3037/90 as well as certain EC Regulations on specific statistical domains (OJ L 393, 30.12.2006, p. 1).

⁽¹⁹⁾ Commission Delegated Regulation (EU) 2022/1288 of 6 April 2022 supplementing Regulation (EU) 2019/2088 of the European Parliament and of the Council with regard to regulatory technical standards specifying the details of the content and presentation of the information in relation to the principle of 'do no significant harm', specifying the content, methodologies and presentation of information in relation to sustainability indicators and adverse sustainability impacts, and the content and presentation of the information in relation to the promotion of environmental or social characteristics and sustainable investment objectives in pre-contractual documents, on websites and in periodic reports (OJ L 196, 25.7.2022, p. 1).

	Indirect impact drivers operate diffusely by altering and influencing direct drivers (by affecting their level, direction or rate) as well as other indirect drivers. Interactions between indirect and direct drivers create different chains of relationship, attribution, and impacts , which may vary according to type, intensity, duration, and distance. These relationships can also lead to different types of spill-over effects. Global indirect drivers include economic, demographic, governance, technological and cultural ones. Special attention is given, among indirect drivers, to the role of institutions (both formal and informal) and impacts of the patterns of production, supply and consumption on nature, nature's contributions to people and good quality of life.
Impact materiality	A sustainability matter is material from an impact perspective when it pertains to the undertaking's material actual or potential, positive or negative impacts on people or the environment over the short-, medium- and long-term. A material sustainability matter from an impact perspective includes impacts connected with the undertaking's own operations and upstream and downstream value chain , including through its products and services, as well as through its business relationships .
Incident	A legal action or complaint registered with the undertaking or competent authorities through a formal process, or an instance of non-compliance identified by the undertaking through established procedures. Established procedures to identify instances of non-compliance can include management system audits, formal monitoring programs, or grievance mechanisms .
Incineration	The controlled burning of waste at high temperature with or without energy recovery.
Independent board member	Board members that exercise independent judgment free from any external influence or conflicts of interest. Independence generally means the exercise of objective, unfettered judgement. When used as the measure by which to judge the appearance of independence, or to categorise a non-executive member of the administrative, management and supervisory bodies or their committees as independent, it means the absence of an interest, position, association or relationship which, when judged from the perspective of a reasonable and informed third party, is likely to influence unduly or cause bias in decision-making.
Indigenous peoples	There is no single definition for indigenous peoples agreed on at the international level. In practice, there is convergence among international agencies on what groups can be considered indigenous peoples and should enjoy special protection as such. An important criteria for defining indigenous people is related to their connection to a traditional area, as defined in ILO Convention No. 169, Article 1, which states that the convention applies to: "(a) tribal peoples in independent countries whose social, cultural and economic conditions distinguish them from other sections of the national community, and whose status is regulated wholly or partially by their own customs or traditions or by special laws or regulations; (b) peoples in independent countries who are regarded as indigenous on account of their descent from the populations which inhabited the country, or a geographical region to which the country belongs, at the time of conquest or colonisation or the establishment of present state boundaries and who, irrespective of their legal status, retain some or all of their own social, economic, cultural and political institutions". ILO Convention 169 also states in Article 1(2) that: "[s]elf-identification as indigenous or tribal shall be regarded as a fundamental criterion for determining the groups to which the provisions of this Convention apply".

Indirect GHG emissions	GHG emissions that are a consequence of the activities of an entity but occur at sources owned or controlled by another entity. Indirect emissions are Scope 2 GHG emissions and scope 3 GHG emissions combined.
Installation	A stationary technical unit within which one or more activities are carried out which could have an effect on emissions and pollution .
Internal carbon price	Price used by an undertaking to assess the financial implications of changes to investment, production, and consumption patterns, and of potential technological progress and future emissions abatement costs.
Internal carbon pricing scheme	An organisational arrangement that allows an undertaking to apply carbon prices in strategic and operational decision making. There are two types of internal carbon prices commonly used by undertakings. The first type is a shadow price, which is a theoretical cost or notional amount that the undertaking does not charge but that can be used in assessing the economic implications or trade-offs for such things as risk impacts , new investments, net present value of projects, and the cost-benefit of various initiatives. The second type is an internal tax or fee, which is a carbon price charged to a business activity, product line, or other business unit based on its GHG emissions (these internal taxes or fees are similar to intracompany transfer pricing).
Invasive or alien species	Species whose introduction and/or spread by human action outside their natural distribution threatens biological diversity , food security, and human health and well-being. ‘Alien’ refers to the species’ having been introduced outside its natural distribution (‘exotic’, ‘non-native’ and ‘non-indigenous’ are synonyms for ‘alien’). ‘Invasive’ means ‘tending to expand into and modify ecosystems to which it has been introduced’. Thus, a species may be alien without being invasive, or, in the case of a species native to a region, it may increase and become invasive, without actually being an alien species.
Key Biodiversity Area (KBA)	Sites contributing significantly to the global persistence of biodiversity , in terrestrial, freshwater and marine ecosystems . Sites qualify as global KBAs if they meet one or more of 11 criteria, clustered into five categories: threatened biodiversity ; geographically restricted biodiversity ; ecological integrity ; biological processes; and, irreplaceability. The World Database of KBAs is managed by BirdLife International on behalf of the KBA Partnership.
Land degradation	The many processes that drive the decline or loss in biodiversity , ecosystem functions or their benefits to people and includes the degradation of all terrestrial ecosystems .
Landfill	A waste disposal site for the deposit of the waste onto or into land ⁽²⁰⁾ .
Land-system (change)	The terrestrial component of the Earth system, encompassing all processes and activities related to the human use of land. These include socio-economic, technological and organisational inputs and arrangements, as well as the benefits gained from land and the unintended social and ecological outcomes of societal activities. The land-systems concept

⁽²⁰⁾ Article 2 point (g) of Council Directive 1999/31/EC of 26 April 1999 on the landfill of waste (OJ L 182, 16.7.1999, p. 1).

	combines land-use (the activities, arrangements and inputs associated with land-use) with land cover (the ensemble of physical characteristics of land discernible by Earth Observation).
Land-use (change)	The human use of a specific area for a certain purpose (such as residential; agriculture; recreation; industrial, etc.). Influenced by, but not synonymous with, land cover. Land-use change refers to a change in the use or management of land by humans, which may lead to a change in land cover.
Legitimate representatives	Individuals recognised as legitimate under law or practice, such as elected trade union representatives in the case of workers, or other similarly freely chosen representatives of affected stakeholders .
Leverage	The ability of the undertaking to effect a change in the wrongful practices of another party that is connected with a negative sustainability-related impact.
Lobbying activities	Activities carried out with the objective of influencing the formulation or implementation of policy or legislation, or the decision-making processes of governments, governmental institutions, regulators, European Union institutions, bodies, offices and agencies or standard setters. Such activities include (non-exhaustive list): i. organising or participating in meetings, conferences, events; ii. contributing to/participating in public consultations, hearings or other similar initiatives; iii. organising communication campaigns, platforms, networks, grassroots initiatives; iv. preparing/commissioning policy and position papers, opinion polls, surveys, open letters, research work as per the activities covered by transparency register rules.
Locked-in GHG emissions	Estimates of future GHG emissions that are likely to be caused by an undertaking's key assets or products sold within their operating lifetime.
Longevity	Designed for maintenance and durability in such a way that encourages longer use than the industry standard in practice and at scale and in such a way that does not compromise circular treatment at the end of functional life.
Marine resources	Biological and non-biological resources found in the seas and oceans. Examples include but are not limited to deep sea minerals, gravels, and seafood products
Material opportunities	Sustainability related opportunities with positive financial effects that materially affect, (or could reasonably be expected to affect) the undertaking's cash flows, access to finance, or cost of capital over the short, medium or long term.
Material risks	Sustainability related risks with negative financial effects that materially affect (or could reasonably be expected to affect) the undertaking's cash flows, access to finance, or cost of capital over the short, medium or long term.
Materiality	A sustainability matter is material if it meets the definition of impact materiality , financial materiality , or both.

Metrics	Qualitative and quantitative indicators that the undertaking uses to measure and report on the effectiveness of the delivery of its sustainability-related policies and against its targets over time. Metrics also support the measurement of the undertaking's results in respect of affected people, the environment and the undertaking.
Microplastics	Small pieces of plastics, usually smaller than 5mm. A growing volume of microplastics is found in the environment, including the sea, and in food and drinking water. Once in the environment, microplastics do not biodegrade and tend to accumulate, unless they are specifically designed to biodegrade in the open environment. Biodegradability is a complex phenomenon, especially in the marine environment. There are increasing concerns about the presence of microplastics in different environment compartments (such as water), their impact on the environment and potentially human health.
Minimum Disclosure Requirement	A minimum disclosure requirement sets the required content of the information that the undertaking includes when it reports on policies, actions , metrics or targets , either pursuant to a Disclosure Requirement in an ESRS or on an entity-specific basis.
Natural resources	Natural assets (raw materials) occurring in nature that can be used for economic production or consumption.
Nature-based solutions	Actions to protect, conserve, restore, sustainably use and manage natural or modified terrestrial, freshwater , coastal and marine ecosystems which address social, economic and environmental challenges effectively and adaptively, while simultaneously providing human well-being, ecosystem services , resilience and biodiversity benefits.
Net-zero target	Setting a net-zero target at the level of an undertaking aligned with meeting societal climate goals means: i. achieving a scale of value chain emissions reductions consistent with the abatement required to reach global net-zero in 1.5°C pathways; and ii. neutralizing the impact of any residual emissions (after approximately 90-95% of GHG emission reduction with the possibility for justified sectoral variations in line with a recognized sectoral pathway) by permanently removing an equivalent volume of CO₂.
Non-employees	Non-employees in an undertaking's own workforce include both individual contractors supplying labour to the undertaking ("self-employed people") and people provided by undertakings primarily engaged in "employment activities" (NACE Code N78).
Non-renewable energy	Energy which cannot be identified as being derived from renewable sources.
Operational control	Operational control (over an entity, site , operation or asset) is the situation where the undertaking has the ability to direct the operational activities and relationships of the entity, site , operation or asset.
Opportunities	Sustainability-related opportunities with positive financial effects .
Overtime	The number of hours actually worked by a worker in excess of his or her contractual hours of work.

Own workforce/own workers	Employees who are in an employment relationship with the undertaking (employees) and non-employees who are either individual contractors supplying labour to the undertaking ('self-employed people') or people provided by undertakings primarily engaged in 'employment activities' (NACE Code N78).
Ozone-depleting substances	Substances listed in the Montreal Protocol on Substances that Deplete the Ozone Layer.
Packaging	Products made of any materials of any nature to be used for the containment, protection, handling, delivery, storage, transport and presentation of goods, from raw materials to processed goods, from the producer to the user or consumer ⁽²¹⁾ .
Pay	The ordinary basic or minimum wage or salary and any other remuneration, whether in cash or in kind which the worker receives directly or indirectly ('complementary or variable components'), in respect of his/her employment from his/her employer. ' Pay level' means gross annual pay and the corresponding gross hourly pay. 'Median pay level' means the pay of the employee that would have half of the employees earn more and half less than they do.
Persons with disabilities	Persons who have long-term physical, mental, intellectual or sensory impairments which in interaction with various barriers may hinder their full and effective participation in society on an equal basis with others.
Physical risks	All global economic enterprise depends on the functioning of earth systems, such as a stable climate and on ecosystem services , such as the provision of biomass (raw materials). Nature-related physical risks are a direct result of an organisation's dependence on nature. Physical risks arise when natural systems are compromised, due to the impact of climatic events (e.g., extremes of weather such as a drought), geologic events (e.g., seismic events such as an earthquake) events or changes in ecosystem equilibria, such as soil quality or marine ecology, which affect the ecosystem services organisations depend on. These can be acute, chronic, or both. Nature-related physical risks arise as a result of changes in the biotic (living) and abiotic (non-living) conditions that support healthy, functioning ecosystems . Physical risks are usually location-specific. Nature-related physical risks are often associated with climate-related physical risks .
Planetary boundaries	This concept allows to estimate a safe operating space for humanity with respect to the functioning of the Earth. The boundary level for each key Earth System process that should not be transgressed if we are to avoid unacceptable global environmental change, is quantified.
Policy	A set or framework of general objectives and management principles that the undertaking uses for decision-making. A policy implements the undertaking's strategy or management decisions related to a material sustainability matter. Each policy is under the responsibility of defined person(s), specifies its perimeter of application, and includes one or more objectives (linked when applicable to measurable targets). A policy is validated and reviewed following the undertakings' applicable governance rules. A policy is implemented through actions or action plans.

⁽²¹⁾ Article 3(1) of Directive 94/62/EC of the European Parliament and of the Council of 20 December 1994 on packaging and packaging waste (OJ L 365, 31.12.1994, p. 10).

Pollutant	A substance , vibration, heat, noise, light or other contaminant present in air, water or soil which may be harmful to human health and/or the environment, which may result in damage to material property, or which may impair or interfere with amenities and other legitimate uses of the environment ⁽²²⁾ .
Pollution	The direct or indirect introduction, as a result of human activity, of pollutants into air, water or soil which may be harmful to human health and/or the environment, which may result in damage to material property, or which may impair or interfere with amenities and other legitimate uses of the environment ⁽²³⁾ .
Pollution of soil	The introduction into soil – independent of whether that introduction occurs at the production site of an undertaking or outside or through the use of the undertaking's products and/or services – as a result of human activity, of substances , vibrations, heat or noise which may be harmful to human health or the environment, result in damage to material property, or impair or interfere with amenities and other legitimate uses of the environment ⁽²⁴⁾ . Soil pollutants include inorganic pollutants , persistent organic pollutants (POPs), pesticides, nitrogen and phosphorus compounds, etc.
Protected area	A clearly defined geographical space, recognised, dedicated and managed, through legal or other effective means, to achieve the long-term conservation of nature with associated ecosystem services and cultural values.
Purchased or acquired electricity, heat, steam, or cooling	When the undertaking has received its electricity, heat, steam, or cooling from a third party. The term “acquired” reflects circumstances where a company may not directly purchase electricity (e.g., a tenant in a building), but where the energy is brought into the undertaking's facility for use.
Raw material	Primary or secondary material that is used to produce a product.
Recognised quality standards for carbon credits	Quality standards for carbon credits that are verifiable by independent third parties, make requirements and project reports publicly available and at a minimum ensure additionality, permanence, avoidance of double counting and provide rules for calculation, monitoring, and verification of the project's GHG emissions and removals.
Recordable work-related injury or ill health	Work-related injury or ill health that results in any of the following: i. death, days away from work, restricted work or transfer to another job, medical treatment beyond first aid, or loss of consciousness; or ii. significant injury or ill health diagnosed by a physician or other licensed healthcare professional, even if it does not result in death, days away from work, restricted work or job transfer, medical treatment beyond first aid, or loss of consciousness.

⁽²²⁾ Article 2(10) of Regulation (EU) 2020/852 on the establishment of a framework to facilitate sustainable investment.

⁽²³⁾ Directive 2010/75/EU on industrial emissions (IED).

⁽²⁴⁾ Directive 2010/75/EU on industrial emissions (IED).

Recovery	Any operation the principal result of which is waste serving a useful purpose by replacing other materials which would otherwise have been used to fulfil a particular function, or waste being prepared to fulfil that function, in the plant or in the wider economy ⁽²⁵⁾ .
Recycling	Any recovery operation by which waste materials are reprocessed into products, materials or substances whether for the original or other purposes. It includes the reprocessing of organic material but does not include energy recovery and the reprocessing into materials that are to be used as fuels or for backfilling operations.
Resource regeneration	Promotion of self-renewal capacity of natural systems with the aim of reactivating ecological processes damaged or over-exploited by human action.
Remedy/remediation	To counteract or make good a negative impact. Examples: apologies, financial or non-financial compensation, prevention of harm through injunctions or guarantees of non-repetition, punitive sanctions (whether criminal or administrative, such as fines), restitution, restoration, rehabilitation.
Renewable energy	Energy from renewable non-fossil sources, namely wind, solar (solar thermal and solar photovoltaic) and geothermal energy, ambient energy, tide, wave and other ocean energy, hydropower, biomass, landfill gas, sewage treatment plant gas, and biogas ⁽²⁶⁾ .
Renewable materials	Materials that are derived from resources that are quickly replenished by ecological cycles or agricultural processes, so that the services provided by these and other linked resources are not endangered and remain available for the next generation.
Resource inflows	Resource that enters the undertaking's facilities.
Resource outflows	Resource that leaves the undertaking's facilities.
Resource use optimisation	The design, production and distribution of materials and products with the objective to keep them in use at their highest value. Eco-design and design for longevity , repair, reuse , repurposing, disassembly, remanufacturing are examples of tools to optimise resource use.
Reuse	Any operation by which products and components that are not waste are used again for the same purpose for which they were conceived. This may involve cleaning or small adjustments so it is ready for the next use without significant modification.
River basin	The area of land from which all surface run-off flows through a sequence of streams, rivers and, possibly, lakes into the sea at a single river mouth, estuary or delta.
Risks	Sustainability-related risks with negative financial effects arising from environmental, social or governance matters that may negatively affect the undertaking's financial position, financial performance, cash flows, access to finance or cost of capital in the short, medium or long term.

⁽²⁵⁾ Article 3(15) of Directive 2008/98/EC on waste.

⁽²⁶⁾ Article 2(1) Directive (EU) 2018/2001 of the European Parliament and of the Council of 11 December 2018 on the promotion of the use of energy from renewable sources (OJ L 328, 21.12.2018, p. 82).

Scenario	A plausible description of how the future may develop based on a coherent and internally consistent set of assumptions about key driving forces (e.g., rate of technological change, prices) and relationships. Note that scenarios are neither predictions nor forecasts but are used to provide a view of the implications of developments and actions .
Scenario analysis	A process for identifying and assessing a potential range of outcomes of future events under conditions of uncertainty.
Scope 1 GHG emissions	Direct GHG emissions from sources that are owned or controlled by the undertaking.
Scope 2 GHG emissions	Indirect emissions from the generation of purchased or acquired electricity, steam, heat or cooling consumed by the undertaking.
Scope 3 GHG emissions	All indirect GHG emissions (not included in scope 2 GHG emissions) that occur in the value chain of the reporting undertaking, including both upstream and downstream emissions . Scope 3 GHG emissions can be broken down into scope 3 categories .
Scope 3 category	One of the 15 types of Scope 3 GHG emissions identified by the GHG Protocol Corporate Standard and detailed by the GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard (adapted from GHG Protocol Corporate Value Chain (Scope 3) Accounting and Reporting Standard, Glossary (Version 2011)). Undertakings that choose to account for their Scope 3 emissions based on the indirect GHG emissions categories of ISO 14064-1:2018 may also refer to the category defined in clause 5.2.4 (excluding indirect GHG emissions from imported energy) of ISO 14064-1:2018.
Sensitive information	Sensitive information as defined in Regulation (EU) 2021/697 of the European Parliament and of the Council ⁽²⁷⁾ establishing the European Defence Fund.
Site	The location of one or more physical installations . If there is more than one physical installation from the same or different owners or operators and certain infrastructure and facilities are shared, the entire area where the physical installation are located may constitute a site .
Social dialogue	All types of negotiation, consultation or simply exchange of information between, or among, representatives of governments, employers, their organisations and workers' representatives , on issues of common interest relating to economic and social policy. It can exist as a tripartite process, with the government as an official party to the dialogue or it may consist of bipartite relations only between workers' representatives and management (or trade unions and employers' organisations).
Social protection	The set of measures designed to reduce and prevent poverty and vulnerability across the life cycle.
Soil	The top layer of the Earth's crust situated between the bedrock and the surface. The soil is composed of mineral particles, organic matter, water, air and living organisms ⁽²⁸⁾ .

⁽²⁷⁾ Regulation (EU) 2021/697 of the European Parliament and of the Council of 29 April 2021 establishing the European Defence Fund and repealing Regulation (EU) 2018/1092 (OJ L 170, 12.5.2021, p. 149).

⁽²⁸⁾ Article 3(21) of Directive 2010/75/EU on industrial emissions (IED).

Soil degradation	The diminishing capacity of the soil to provide ecosystem goods and services as desired by its stakeholders .
Soil sealing	Covering soil in a way that makes the covered area impermeable (e.g. a road). This non-permeability can create environmental impacts as described in Commission Regulation (EU) 2018/2026 ⁽²⁹⁾ .
Specific loads	Mass of pollutant released per mass of product manufactured. Specific loads allow for the comparison of the environmental performance of installations irrespective of their different production volumes and are not influenced by mixing or dilution ⁽³⁰⁾ .
Stakeholder engagement	An ongoing process of interaction and dialogue between the undertaking and its stakeholders that enables the undertaking to hear, understand and respond to their interests and concerns.
Stakeholders	Those who can affect or be affected by the undertaking. There are two main groups of stakeholders : i. Affected stakeholders: individuals or groups whose interests are affected or could be affected – positively or negatively – by the undertaking's activities and its direct and indirect business relationships across its value chain; and ii. users of sustainability statements: primary users of general purpose financial reporting (existing and potential investors, lenders and other creditors including asset managers, credit institutions, insurance undertakings), as well as other users, including the undertaking's business partners, trade unions and social partners, civil society and non-governmental organisations, governments, analysts and academics. Some, but not all, stakeholders may belong to the two groups.
Substances	Any chemical element and its compounds, with the exception of the following substances : i. radioactive substances as defined in Article 1 of Council Directive 96/29/Euratom ⁽³¹⁾ laying down basic safety standards for the protection of the health of workers and the general public against the dangers arising from ionising radiation; ii. genetically modified micro-organisms as defined in Article 2(b) of Directive 2009/41/EC of the European Parliament and the Council ⁽³²⁾ on the contained use of genetically modified micro-organisms;

⁽²⁹⁾ Commission Regulation (EU) 2018/2026 of 19 December 2018 amending Annex IV to Regulation (EC) No 1221/2009 of the European Parliament and of the Council on the voluntary participation by organisations in a Community eco-management and audit scheme (EMAS) (OJ L 325, 20.12.2018, p. 18).

⁽³⁰⁾ Commission Implementing Decision of 10 February 2012 laying down rules concerning guidance on the collection of data and on the drawing up of BAT reference documents and on their quality, assurance referred to in Directive 2010/75/EU of the European Parliament and of the Council on industrial emissions.

⁽³¹⁾ Council Directive 96/29/Euratom of 13 May 1996 laying down basic safety standards for the protection of the health of workers and the general public against the dangers arising from ionizing radiation (OJ L 159, 29.6.1996, p. 1).

⁽³²⁾ Directive 2009/41/EC of the European Parliament and of the Council of 6 May 2009 on the contained use of genetically modified micro-organisms (OJ L 125, 21.5.2009, p. 75).

	iii. genetically modified organisms as defined in point 2 of Article 2 of Directive 2001/18/EC of the European Parliament and of the Council ⁽³³⁾ on the deliberate release into the environment of genetically modified organisms. ⁽³⁴⁾
Substances of concern	A substance that: i. meets the criteria laid down in Article 57 and is identified in accordance with Article 59(1) of Regulation (EC) No 1907/2006 of the European Parliament and of the Council ⁽³⁵⁾; ii. is classified in Part 3 of Annex VI to Regulation (EC) No 1272/2008 of the European Parliament and of the Council ⁽³⁶⁾ in one of the following hazard classes or hazard categories: — carcinogenicity categories 1 and 2; — germ cell mutagenicity categories 1 and 2; — reproductive toxicity categories 1 and 2; — endocrine disruption for human health; — endocrine disruption for the environment; — Persistent, Mobile and Toxic or Very Persistent, Very Mobile properties; — Persistent, Bioaccumulative and Toxic or Very Persistent, Very Bioaccumulative properties; — respiratory sensitisation category 1; — skin sensitisation category 1; — chronic hazard to the aquatic environment categories 1 to 4; — hazardous to the ozone layer; — specific target organ toxicity, repeated exposure categories 1 and 2; — specific target organ toxicity, single exposure categories 1 and 2; or iii. negatively affects the re-use and recycling of materials in the product in which it is present, as defined in relevant Union product-specific ecodesign requirements.
Substances of Very High Concern (SVHCs)	Substances that meet the criteria laid down in Article 57 of Regulation (EC) No 1907/2006 (REACH) and were identified in accordance with Article 59(1) of that Regulation.
Supplier	Entity upstream from the organisation (i.e., in the organisation's supply chain), which provides a product or service that is used in the development of the organisation's own products or services. A supplier can have a direct business relationship with the organisation (often referred to as a first-tier supplier) or an indirect business relationship.

⁽³³⁾ Directive 2001/18/EC of the European Parliament and of the Council of 12 March 2001 on the deliberate release into the environment of genetically modified organisms and repealing Council Directive 90/220/EEC (OJ L 106, 17.4.2001, p. 1).

⁽³⁴⁾ Directive 2010/75/EU on industrial emissions (IED).

⁽³⁵⁾ Regulation (EC) No 1907/2006 of the European Parliament and of the Council of 18 December 2006 concerning the Registration, Evaluation, Authorisation and Restriction of Chemicals (REACH), establishing a European Chemicals Agency, amending Directive 1999/45/EC and repealing Council Regulation (EEC) No 793/93 and Commission Regulation (EC) No 1488/94 as well as Council Directive 76/769/EEC and Commission Directives 91/155/EEC, 93/67/EEC, 93/105/EC and 2000/21/EC (OJ L 396, 30.12.2006, p. 1)

⁽³⁶⁾ Regulation (EC) No 1272/2008 of the European Parliament and of the Council of 16 December 2008 on classification, labelling and packaging of substances and mixtures, amending and repealing Directives 67/548/EEC and 1999/45/EC, and amending Regulation (EC) No 1907/2006 (OJ L 353, 31.12.2008, p. 1).

Supply chain	The full range of activities or processes carried out by entities upstream from the undertaking, which provide products or services that are used in the development and production of the undertaking's own products or services. This includes upstream entities with which the undertaking has a direct relationship (often referred to as a first-tier supplier) and entities with which the undertaking has an indirect business relationship.
Surface water	Inland waters, except groundwater ; transitional waters and coastal waters, except in respect of chemical status for which it shall also include territorial waters ⁽³⁷⁾ .
Sustainability matters	Environmental, social and human rights, and governance factors, including sustainability factors defined in Article 2, point (24), of Regulation (EU) 2019/2088 of the European Parliament and of the Council ⁽³⁸⁾ .
Sustainability statement	The dedicated section of the undertaking's management report where the information about sustainability matters prepared in compliance with Directive 2013/34/EU of the European Parliament and of the Council ⁽³⁹⁾ and the ESRS is presented.
Sustainability-related opportunities	Uncertain environmental, social or governance events or conditions that, if they occur, could cause a potential material positive effect on the undertaking's business model , or strategy on its capability to achieve its goals and targets and to create value, and therefore may influence its decisions and those of its business relationship partners with regard to sustainability matters . Like any other opportunity , sustainability-related opportunities are measured as a combination of an impact's magnitude and the probability of occurrence.
Sustainability-related risks	Uncertain environmental, social or governance events or conditions that, if they occur, could cause a potential material negative effect on the undertaking's business model or strategy and on its capability to achieve its goals and targets and to create value, and therefore may influence its decisions and those of its business relationships with regard to sustainability matters . Like any other risks , sustainability-related risks are the combination of an impact's magnitude and the probability of occurrence.
Sustainability-related impacts	The effect the undertaking has or could have on the environment and people, including effects on their human rights, as a result of the undertaking's activities or business relationships . The impacts can be actual or potential, negative or positive, short-term, medium or long-term, intended or unintended, and reversible or irreversible. Impacts indicate the undertaking's contribution, negative or positive, to sustainable development.

⁽³⁷⁾ Directive 2000/60/EC of the European Parliament and of the Council of 23 October 2000 establishing a framework for Community action in the field of water policy (Water Framework Directive).

⁽³⁸⁾ Regulation (EU) 2019/2088 on sustainability-related disclosures in the financial services sector.

⁽³⁹⁾ Directive 2013/34/EU of the European Parliament and of the Council of 26 June 2013 on the annual financial statements, consolidated financial statements and related reports of certain types of undertakings, amending Directive 2006/43/EC of the European Parliament and of the Council and repealing Council Directives 78/660/EEC and 83/349/EEC (OJ L 182, 29.6.2013, p. 19).

Systemic risks	Risks arising from the breakdown of the entire system, rather than the failure of individual parts. They are characterised by modest tipping points combining indirectly to produce large failures with cascading of interactions of physical and transition risks (contagion), as one loss triggers a chain of others, and with systems unable to recover equilibrium after a shock. An example is the loss of a keystone species, such as sea otters, which have a critical role in ecosystem community structure. When sea otters were hunted to near extinction in the 1900s, the coastal ecosystems flipped and biomass production was greatly reduced.
Targets	Measurable, outcome-oriented and time-bound goals that the undertaking aims to achieve in relation to material impacts, risks or opportunities . They may be set voluntarily by the undertaking or derive from legal requirements on the undertaking.
Threatened species	Endangered species, including flora and fauna, listed in the European Red List or the IUCN Red List, as referred to in Section 7 of Annex II to Commission Delegated Regulation (EU) 2021/2139.
Training	Initiatives put in place by the undertaking aimed at the maintenance and/or improvement of skills and knowledge of its own workers . It can include different methodologies, such as on-site training, and online training.
Transition plan	A specific type of action plan that is adopted by the undertaking in relation to a strategic decision and that addresses: i. a public policy objective; and/or ii. an entity-specific action plan organised as a structured set of targets and actions, associated with a key strategic decision, a major change in business model, and/or particularly important actions and allocated resources.
Transition plan for climate change mitigation	An aspect of an undertaking's overall strategy that lays out the undertaking's targets, actions and resources for its transition towards a lower-carbon economy, including actions such as reducing its GHG emissions with regard to the objective of limiting global warming to 1.5°C and climate neutrality.
Transition risks	Risks that result from a misalignment between an organisation's or investor's strategy and management and the changing regulatory, policy or societal landscape in which it operates. Developments aimed at halting or reversing damage to the climate or to nature, such as government measures, technological breakthroughs, market changes, litigation and changing consumer preferences can all create or change transition risks .
Users	Users of sustainability statements are primary users of general-purpose financial reporting (existing and potential investors, lenders and other creditors including asset managers, credit institutions, insurance undertakings), as well as other users , including the undertaking's business partners, trade unions and social partners, civil society and non-governmental organisations, governments, analysts and academics.
Value chain	The full range of activities, resources and relationships related to the undertaking's business model and the external environment in which it operates.

	A value chain encompasses the activities, resources and relationships the undertaking uses and relies on to create its products or services from conception to delivery, consumption and end-of- life. Relevant activities, resources and relationships include: - those in the undertaking's own operations, such as human resources; - those along its supply, marketing and distribution channels, such as materials and service sourcing and product and service sale and delivery; and - the financing, geographical, geopolitical and regulatory environments in which the undertaking operates. Value chain includes actors upstream and downstream from the undertaking. Actors upstream from the undertaking (e.g., suppliers) provide products or services that are used in the development of the undertaking's products or services. Entities downstream from the undertaking (e.g., distributors, customers) receive products or services from the undertaking. ESRS use the term "value chain" in the singular, although it is recognised that undertakings may have multiple value chains.
Value chain worker	An individual performing work in the value chain of the undertaking, regardless of the existence or nature of any contractual relationship with the undertaking. In the ESRS, the scope of workers in the value chain include all workers in the undertaking's upstream and downstream value chain who are or can be materially impacted by the undertaking. This includes impacts that are connected to the undertaking's own operations, and value chain, including through its products or services, as well as through its business relationships. This includes all workers who are not in the scope of 'Own Workforce' ('Own Workforce' includes people who are in an employment relationship with the undertaking ('employees') and non-employees who are either individual contractors supplying labour to the undertaking ('self-employed people') or people provided by undertakings primarily engaged in employment activities. (NACE Code N78)
Wage	Gross wage, excluding variable components such as overtime and incentive pay, and excluding allowances unless they are guaranteed.
Waste	Any substance or object which the holder discards or intends or is required to discard ⁽⁴⁰⁾.
Waste hierarchy	Priority order in waste prevention and management ⁽⁴¹⁾: - prevention; - preparing for re-use; recycling; - other recovery (e.g., energy recovery); and - disposal.
Waste management	The collection, transport, recovery and disposal of waste, including the supervision of such operations and the after-care of disposal sites, and including actions taken as a dealer or broker ⁽⁴²⁾.

⁽⁴⁰⁾ Article 3(1) of Directive 2008/98/EC on waste.

⁽⁴¹⁾ Article 4(1) of the Directive 2008/98/EC on waste.

⁽⁴²⁾ Article 3(9) of the Directive 2008/98/EC on waste.

Wastewater	Water which is of no further immediate value to the purpose for which it was used or in the pursuit of which it was produced because of its quality, quantity, or time of occurrence. Wastewater from one user can be a potential supply to a user elsewhere. Cooling water is not considered to be wastewater .
Water consumption	The amount of water drawn into the boundaries of the undertaking (or facility) and not discharged back to the water environment or a third party over the course of the reporting period.
Water discharge	The sum of effluents and other water leaving the boundaries of the organisation and released to surface water, groundwater , or third parties over the course of the reporting period.
Water intensity	A metric providing the relationship between a volumetric aspect of water and a unit of activity (products, sales, etc.) created.
Water (recycled and reused)	Water and wastewater (treated or untreated) that has been used more than once before being discharged from the undertaking's or shared facilities' boundary, so that water demand is reduced. This may be in the same process (recycled) or in a different process within the same facility (own or shared with other undertakings) or in another of the undertaking's facilities (reused).
Water scarcity	The volumetric abundance, or lack thereof, of freshwater resources. Scarcity is human driven, it is a function of the volume of human water consumption relative to the volume of water resources in a given area. As such, an arid region with very little water, but no human water consumption would not be considered scarce, but rather arid. Water scarcity is a physical, objective reality that can be measured consistently across regions and over time. Water scarcity reflects the physical abundance of freshwater rather than whether that water is suitable for use. For instance, a region may have abundant water resources (and thus not be considered water scarce) but have such severe pollution that those supplies are unfit for human or ecological uses.
Water withdrawal	The sum of all water drawn into the boundaries of the undertaking from all sources for any use over the course of the reporting period.
Workers' representatives	Workers' representatives means: i. trade union representatives, namely representatives designated or elected by trade unions or by members of such unions in accordance with national legislation and practice; ii. duly elected representatives, namely representatives who are freely elected by the workers of the organisation, not under the domination or control of the employer in accordance with provisions of national laws or regulations or of collective agreements and whose functions do not include activities which are the exclusive prerogative of trade unions in the country concerned and which existence is not used to undermine the position of the trade unions concerned or their representatives.

Work-life balance	Satisfactory state of equilibrium between an individual's work and private life. Work-life balance in a broader sense encompasses not only the balance between work and private life given family or care responsibilities, but also time allocation between time spent at work and in private life beyond family responsibilities.
Work-related hazards	Work-related hazards can be: i. physical (e.g., radiation, temperature extremes, constant loud noise, spills on floors or tripping hazards, unguarded machinery, faulty electrical equipment); ii. ergonomic (e.g., improperly adjusted workstations and chairs, awkward movements, vibration); iii. chemical (e.g., exposure to carcinogens, mutagens, reprotoxic substances, solvents, carbon monoxide, or pesticides); iv. biological (e.g., exposure to blood and bodily fluids, fungi, bacteria, viruses, or insect bites); v. psychosocial (e.g., verbal abuse, harassment, bullying); vi. related to work-organisation (e.g., excessive workload demands, shift work, long hours, night work, workplace violence).
Work-related incident	Occurrence arising out of or in the course of work that could or does result in injury or ill health. Incidents might be due to, for example, electrical problems, explosion, fire, overflow, overturning, leakage, flow, breakage, bursting, splitting, loss of control, slipping, stumbling and falling, body movement without stress, body movement under/with stress, shock, fright, workplace violence or harassment (e.g., sexual harassment). An incident that results in injury or ill health is often referred to as an 'accident'. An incident that has the potential to result in injury or ill health but where none occurs is often referred to as a 'close call', 'near-miss', or 'near-hit'.